



CLASS OF BUSINESS/CPD

FOCUS: Subclasses 7.1, 7.2, 7.4, 7.9

SUBJECT: Asset Classes and Basic Investments

Subject: Asset Classes and Basic Investment Principles

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Subclasses: 7.1, 7.2, 7.4, 7.9

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Content

SUBJECT: ASSET CLASSES AND BASIC INVESTMENT PRINCIPLES	2
CONTENT.....	3
GLOSSARY OF TERMS	5
LEARNING OUTCOMES.....	7
ASSET CLASSES AND BASIC INVESTMENT PRINCIPLES	7
UNIT 1.....	9
ANALYSE AND DESCRIBE THE DIFFERENT ASSET CLASSES AND THEIR ROLE IN A FINANCIAL PLAN	9
KO1: WHAT ARE ASSET CLASSES?	12
KO2: ANALYSE ASSET CLASSES TO DETERMINE THEIR CHARACTERISTICS.....	12
SUMMARY	18
UNIT 1: SELF-ASSESSMENT.....	19
UNIT 1: SELF-ASSESSMENT: ANSWERS	20
UNIT 2.....	22
BRIEFLY DESCRIBE FINANCIAL MARKETS AND INSTRUMENTS IN TERMS OF INVESTMENTS	22
INTRODUCTION	23
KO1: REFORM OF THE FINANCIAL SECTOR REGULATORY SYSTEM.....	24
KO2: ROLE PLAYERS IN THE FINANCIAL MARKETS.....	25
KO3: FINANCIAL MARKETS	35
KO4: FINANCIAL INSTRUMENTS.....	49
SUMMARY	57
UNIT 2: SELF-ASSESSMENT.....	59
UNIT 2: SELF-ASSESSMENT: ANSWERS	62
UNIT 3.....	65
DISCUSS THE DIFFERENT TYPES OF INVESTMENT VEHICLES	65
INTRODUCTION	66
KO1: RSA RETAIL BONDS.....	67
KO2: COLLECTIVE INVESTMENTS.....	68
KO3: LINKED AND MARKET-RELATED INVESTMENT	71
KO7: EQUITIES.....	77
KO8: INTEREST-BEARING INVESTMENTS.....	77
KO9: INSURANCE AS AN INVESTMENT	79
KO10: SHIPPING CONTAINERS	83
KO11: HEDGE FUNDS	87
KO12: EXCHANGE-TRADED FUNDS	88
KO13: CONTRACT FOR DIFFERENCE (CFD) TRADING.....	89
KO14: FOREIGN/INTERNATIONAL INVESTMENTS.....	90
KO15: SUMMARY OF INVESTMENT OPTIONS.....	97
SUMMARY	99
UNIT 3: SELF-ASSESSMENT.....	102
UNIT 3: SELF-ASSESSMENT: ANSWERS	105
UNIT 4.....	107
ANALYSE THE EFFECT OF THE INVESTMENT ENVIRONMENT ON THE ASSET CLASSES	107
INTRODUCTION	108

KO1: RISKS IN THE INVESTMENT ENVIRONMENT	109
KO2: ACTIVE AND PASSIVE MANAGEMENT OF AN INVESTMENT PORTFOLIO.....	116
SUMMARY	119
UNIT 4: SELF-ASSESSMENT.....	121
UNIT 4: SELF-ASSESSMENT: ANSWERS.....	122
UNIT 5.....	123
INVESTIGATE HOW MARKET CONDITIONS IMPACT ON ASSET CLASSES.....	123
INTRODUCTION	124
KO1: KNOWLEDGE OF MARKET CONDITIONS	124
KO2: RELATIONSHIPS THAT EXIST BETWEEN THE ASSET CLASSES.....	131
SUMMARY	134
UNIT 5: SELF-ASSESSMENT.....	136
UNIT 5: SELF-ASSESSMENT: ANSWERS.....	138
UNIT 6.....	143
DISCUSS THE COMPOSITION OF THE INVESTMENT PORTION OF A FINANCIAL PORTFOLIO WITH REFERENCE TO ASSET CLASSES	143
PURPOSE	144
KO1: THE COMPOSITION OF THE INVESTMENT PORTION OF A FINANCIAL PORTFOLIO	145
SUMMARY	153
UNIT 6: SELF-ASSESSMENT.....	154
UNIT 6: SELF-ASSESSMENT: ANSWERS.....	156
UNIT 7.....	157
ANALYSE THE RISK PROFILE OF A CLIENT IN ORDER TO PROPOSE A FINANCIAL SOLUTION	157
PURPOSE	158
KO1: DETERMINE THE PERSONAL CIRCUMSTANCES OF A CLIENT IN TERMS OF NEEDS, WANTS, THE APPETITE FOR RISK AND LIFESTYLE.	158
KO2: ANALYSE A CLIENT`S FINANCIAL SITUATION AND DETERMINE A RISK PROFILE AT A SPECIFIC LIFE STAGE.	159
KO3: THE RISK PROFILE OF A CLIENT IS MATCHED TO THE APPROPRIATE ASSET CLASSES.....	161
SUMMARY	163
UNIT 7: SELF-ASSESSMENT.....	164
UNIT 7: SELF-ASSESSMENT: ANSWERS.....	165

Glossary of Terms

Asset Class

An asset class can be defined as a group of securities that exhibit similar characteristics, behave similarly in the marketplace, and are subject to similar laws and regulations. We can classify investments into four major asset classes, which are:

- cash;
- bonds;
- shares; and
- property.

Exchange

An **exchange** is a marketplace where securities, commodities, derivatives and other financial instruments are traded. The core function of an **exchange** is to ensure fair and orderly trading and the efficient dissemination of price information for any securities trading on that **exchange**.

Financial Market

A financial market is a market in which people trade financial securities and derivatives at low transaction costs. Securities include stocks and bonds, and precious metals.

The term "market" is sometimes used for what are more strictly exchanges, organizations that facilitate the trade in financial securities, e.g., a stock exchange or commodity exchange. This may be a physical location (such as the NYSE, LSE, JSE, BSE) or an electronic system (such as NASDAQ). Much trading of stocks takes place on an exchange; still, corporate actions (merger, spinoff) are outside an exchange, while any two companies or people, for whatever reason, may agree to sell stock from the one to the other without using an exchange.

Trading of currencies and bonds is primarily on a bilateral basis, although some bonds trade on a stock exchange, and people are building electronic systems for these as well, to stock exchanges.

FMAB

Financial Markets Advisory Board.

FSCA

Financial Sector Conduct Authority.

Investment risk

Investment risk can be **defined** as the probability or likelihood of occurrence of losses relative to the expected return on any particular **investment**. Description: Stating simply, it is a measure of the level of uncertainty of achieving the returns as per the expectations of the investor.

IOSCO

International Organisation for Securities Commission.

Issuer risk

Probability of loss resulting from the default of the issuer of a security. Issuer risk refers to the chance that the issuer of a security will default. Investors holding these securities would take a loss, which might vary in size depending on how much they paid and the market conditions.

JSE

Johannesburg Stock Exchange.

Market risk

Market risk is the **risk** that the value of an investment will decrease due to changes in **market** factors. ... **Market risk** is sometimes called "systematic **risk**" because it relates to factors, such as a recession, that impact the entire **market**.

NCD

Negotiable Certificates and Deposits.

OTC

Over-the-counter market.

Portfolio

A portfolio is a grouping of financial assets such as stocks, bonds, commodities, currencies and cash equivalents, as well as their fund counterparts, including mutual, exchange-traded and closed funds. A portfolio can also consist of non-publicly tradable securities, like real estate, art, and private investments.

Portfolios are held directly by investors and/or managed by financial professionals and money managers. Investors should construct an investment portfolio following their risk tolerance and investing objectives. Investors can also have multiple portfolios for various purposes. It all depends on one's objectives as an investor.

RA

Retirement Annuity.

Share

Shares are units of ownership interest in a corporation or financial asset that provide for an equal distribution in any profits, if any are declared, in the form of dividends. The two main types of shares are common shares and preferred shares. Physical paper stock certificates have been replaced with electronic recording of stock shares, just as mutual fund shares are recorded electronically.

Specific Risk

In finance, the **specific risk** is a **risk** that affects a minimal number of assets. It is sometimes referred to as "unsystematic **risk**". In a balanced portfolio of assets, there would be a spread between general market **risk** and **risks specific** to individual components of that portfolio.

SRO

A self-regulatory organisation (SRO) is a non-governmental organisation which has the power to create and enforce stand-alone industry and professional regulations and standards. In the case of a financial SROs, such as a stock exchange, the priority is to protect the investor by establishing rules, regulations, and set standards of procedures which promote ethics, equality, and professionalism.

SSA

The Securities Services Act No. 36 of 2004.

Systematic risk

Systematic risk is the *risk* inherent to the entire market or market segment. *Systematic risk*, also known as "undiversifiable *risk*," "volatility" or "market *risk*," affects the overall market, not just a particular stock or industry. This type of *risk* is both unpredictable and impossible to avoid completely.

Learning Outcomes

Asset Classes and Basic Investment Principles

Unit Standards

242594, 242576, 242572, 242577, 242595

Briefly describe financial markets and instruments in terms of investment:

- Analyse and describe the different asset classes and their role in a financial plan;
- What is an Asset Class?
- Overview of asset classes;
- Analyse asset classes to determine their characteristics;
- Briefly describe financial markets and instruments in terms of investments;
- Discuss the different types of investments including:
 - Analyse the effect of the investment environment on the asset classes;
 - Investigate how market conditions impact on asset classes;
 - Discuss the composition of the investment portion of a financial portfolio with reference to asset classes;
 - Analyse the risk profile of a client in order to propose a financial solution.

Outcome 1: Analyse and describe the different asset classes and their role in a financial plan.

Knowledge Outcome	Skills Outcome
• Overview of asset classes • What is an Asset Class? • Analyse asset classes to determine their characteristics: ○ Bonds; ○ Equities; ○ Property ○ Alternative investments; • Cash investments.	Analyse and describe the main asset classes in terms of structure.

Outcome 2: Briefly describe financial markets and instruments in terms of investments.

Knowledge Outcome	Skills Outcome
• Reform of the financial sector regulatory system; • Role players in the Financial Markets; • Financial Markets Description: ○ Money market; ○ Capital market; ○ Equity market; ○ Property market; ○ Hard Assets; • Derivatives.	• Calculate the required rate of return to reach the client's investment objectives.

Outcome 3: Discuss the different types of investment vehicles.

Knowledge Outcome	Skills Outcome
• RSA Retail bonds; • Collective Investment Schemes; • Linked and market-related Investments; • Investment trusts; • Guaranteed products; • Multi-manager funds; • Interest-Bearing Investments;	• Match the different types of investment products with the client's risk profile and investments.

- Insurance as an Investment;
- Shipping Containers;
- Hedge Funds;
- Exchange-Traded Funds;
- Contract for Difference (CFD) trading;
- Foreign/International Investments.

Outcome 4: Analyse the effect of the investment environment on the asset classes.

Knowledge Outcome	Skills Outcome
• Risks in the investment environment are analysed concerning the different asset classes; • Risks associated with active and passive management of an investment portfolio are analysed, and an indication is given of when each style is appropriate.	• Collect, organise and critically evaluate information in analysing the risks associated with the asset classes and investigating the impact of market conditions on asset classes.

Outcome 5: Investigate how market conditions impact asset classes.

Knowledge Outcome	Skills Outcome
• Knowledge of market conditions is applied to the asset classes, and an indication is given of how a change in market conditions would affect the asset class and a proposed investment strategy; Relationships that exist between the asset classes are described concerning changes in market conditions and investor behaviour.	• Identify and solve problems in which responses show that responsible decisions using critical thinking have been made in matching a client's needs to an asset class and market conditions.

Outcome 6: Discuss the composition of the investment portion of a financial portfolio with reference to asset classes.

Knowledge Outcome	Skills Outcome
• Impact of diversification; • Volatility; • Market risk; • Currency risk; • Optimal growth; • The expected rate of return; • Balancing of the portfolio.	Analyse and describe the composition of an investment portion of a financial portfolio concerning asset classes.

Outcome 7: Analyse the risk profile of a client in order to propose a financial solution.

Knowledge Outcome	Skills Outcome
• The personal circumstances of a client are determined in terms of needs, wants, the appetite for risk and lifestyle; • A client's financial situation is analysed to determine a risk profile at a specific life stage; • The risk profile of a client is matched to the appropriate asset classes; • The risk a client is prepared to take is matched to the risk associated with the different asset classes in order to recommend an investment solution for a specific client.	• Communicate effectively in proposing a financial solution to a client.

Unit 1

Analyse and describe the different asset classes and their role in a financial plan



Analysing the different asset classes and their role in a financial plan.



Knowledge of asset classes gives the intermediary an idea of possibilities available for investments. It can, therefore, assist you when you need to choose an asset or combination of assets for investment purposes.



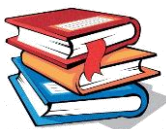
You will need to achieve the following:

- Overview of asset classes;
- What is an Asset Class?
- Analyse asset classes to determine their characteristics;
 - Bonds;
 - Equities;
 - Property;
 - Alternative investments;
- Cash investments.



You will need to achieve the following:

- Analyse and describe the main asset classes in terms of structure.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments, Nic Oldert, March 2019, Profile Media



Overview of Asset Classes

The four main asset classes, or principal investment markets, are cash (the short-term money market), bonds (the long-term money market), property and equities (the share market).¹

The characteristics of the asset classes are:



Cash is the safest asset class and provides the lowest return over time. It covers such investments as on-call bank deposits, cash management trusts and similar short-term, interest-bearing investments.

Because cash is the safest investment market, it is used as a benchmark against other investments. When cash rates are low, other investments become more attractive and tend to rise in price. Cash tends to have a low correlation with all other asset classes.



Bonds are also interest-bearing investments but involve a more extended maturity period, usually some years. Government, local authorities, parastatals, and corporates borrow money from investors by issuing them debt instruments called bonds. By holding a bond, an investor is usually entitled to an annual cash interest payment fixed at the purchase time. While this locked-in interest rate may seem safer, it exposes the investor to more risk. If inflation or short-term interest rates go up during the period to maturity, the investor loses out. Bonds are low- to medium-risk investments and provide low- to medium returns over time.



Property covers the whole ambit of real estate investment, from rural estates to office blocks. It is a medium to high-risk asset class, with returns proportionate to this risk. Because the property market is generally adversely affected by rises in interest rates, it tends to have a low correlation with interest-bearing investments – especially cash.



Equities are some of the higher-risk, higher-return categories of investment. Investors take a direct share in the profits or losses of companies and hence in the economy itself.

An essential principle in examining the asset classes is the time horizon and inflation. Although cash and bonds are safer in the short term, they provide less protection against inflation in the longer term. Long-term investments are riskier in terms of maintaining real buying power, while property and equities are safer. Tax considerations generally accentuate these factors.

Analysis of South African experience suggests that, over time, the four asset classes are likely to produce the following real (after inflation) returns in the long run:

Cash:	0 to 1%
Bonds:	1 to 3%
Property:	2 to 4%
Equities:	7 to 9%

¹ <https://www.savingsinstitute.co.za/resources/overview-of-asset-classes/>

It does not mean that the typical investor should put all funds into shares. Such a move would subject the investor to significant short-term risk, and there is no absolute right or wrong class of investment. The investor's time frame and objectives are both critical in the choice of asset class.

Based on *Fortune Strategy – The definitive guide* by Bradley, Higgins & Abey

The alternative asset classes would be:

- Derivatives;
- Currency funds;
- Hedge funds,
- Commodities.

It is acknowledged that investors should spread their investments between different asset classes to reduce risk and/or improve return. The secret is to find an asset class that performs differently from other asset classes. In technical terms, the assets should be uncorrelated; when the price of one asset class is declining, the other should be increasing or at least retaining its value.

Gold, for example, is a good hedge against inflation and political uncertainty. In such times, equities and bonds are likely to fall in value while gold retains or increases its value.

Traditionally equities, bonds, cash and property have been considered the investment classes to which investors should allocate their investments.

In recent years, however, investment horizons have broadened. Harvard and Yale universities, which manage considerable endowments, invest in a much more full spread of investments.

Investing in alternative investments aims to find investments whose risk and return characteristics differ substantially from those of equities or bonds.

Generally, such investments have the following characteristics:

- They are relatively illiquid. It is a major limiting factor when deciding how much money to allocate to alternative investments.
- They require proper due diligence investigations because they generally suffer from a lack of transparency.
- Dealing with them requires specialised knowledge and ordinarily considerable ability.
- Their performance is often difficult to evaluate because of the difficulty of ascertaining prices regularly.

Consequently, before committing funds to such an investment, the investor should carefully consider the following factors:

- the state of the market for the selected investments;
- the process by which the managers select investments;
- the depth and capabilities of the organisation managing the investment and the processes they have in place to manage risk;
- the character and capabilities of the people involved in managing the organisation, and
- the terms and structure relating to the particular investment. It should involve careful study of any documentation accompanying the investment.

KO1: What are Asset Classes?

1.1 Asset classes

An asset class is a group of similar investment vehicles. Different classes, or types, of investment assets – such as fixed-income investments – are grouped based on having a similar financial structure. They are typically traded in the same financial markets and subject to the same rules and regulations.

It should be noted that there are arguments about exactly how many different classes of assets there are. Many market analysts and financial advisors argue that Futures and other financial derivatives (**Advanced investments**) can also be viewed as an asset class. Each asset class will perform differently in each market environment and is expected to reflect different risk and return investment characteristics.

Asset classes and asset class categories are often mixed. In other words, describing large-cap stocks or short-term bonds asset classes is incorrect. These investment vehicles are asset-class categories and are used for diversification purposes.

1.2 Asset class categories

Stocks or equities – Equities are shares of ownership issued by publicly-traded companies. They are traded on stock exchanges such as the JSE, NYSE or NASDAQ. You can potentially profit from equities either through a rise in the share price or by receiving dividends. The asset class of equities is often subdivided by market capitalisation into small-cap, mid-cap, and large-cap stocks (Top 40).

Bonds or other fixed-income investments – Fixed-income investments are investments in debt securities that pay a rate of return in the form of interest. Such investments are generally considered less risky than investing in equities or other asset classes.

Cash or cash equivalents, such as money market funds – The primary advantage of cash or cash equivalent investments is their liquidity. Money held in the form of cash or cash equivalents can be easily accessed at any time.

Real estate or other tangible assets – Real estate and other physical assets are considered an asset class that offers protection against inflation. The tangible nature of such assets also leads to them being considered more of a “real” asset. In that respect, they differ from assets that exist only in the form of financial instruments, such as derivatives.

KO2: Analyse asset classes to determine their characteristics.

The characteristics can be determined by evaluating each class’s Risk versus return and the volatility attached to each asset class. The characteristics of the asset classes are:

2.1 Short-term money market (Cash)

Most of us can conjure images of the old-school stock market with traders shouting buy and sell prices from the floor, but the money market draws a blank. In simple terms, the money market is where companies, governments and banks raise money by getting short-term loans from investors. In practical terms, all transactions are now done electronically through a network of buyers and sellers, sometimes in auctions run by the banks, and there is no central or physical location where the money market exists



Recent events, like the collapse of African Bank and the global financial crisis of 2008, underlined the fact that no investment is without risk, however, investing in a money market instrument is generally considered to be low risk. Because cash is the safest investment market, it is used as a benchmark against other investments. When cash rates are low, other investments become more attractive and tend to rise in price.

When should I use a money market unit trust?²

Money market unit trusts are an excellent tool to use for money in transition or short-term savings or emergency plan; they are an effective parking place for your money. They allow you to store money that you will use shortly while getting some returns.

In some ways a money market fund is comparable in use to a fixed deposit account that you get from a bank, with some advantages:

- You can cash out whenever you want. With most fixed deposit accounts, you are locked in for a specified period where you may not withdraw your money without penalties. A money market unit trust is more liquid, which is something you should consider when comparing its returns to a fixed deposit from a bank.
- Your eggs are not all in one basket. A money market unit trust has investments across lots of issuers, whereas a deposit is only with a single bank (they guarantee your deposit, but banks do sometimes fail), so although your risk is low it is also concentrated.

2.2 Long-term money or Capital market (Bonds)

Capital markets are venues where savings and investments are channelled between the suppliers who have the capital and those who need capital. The entities with capital include retail and institutional investors, while those seeking capital are businesses, governments, and people.



Capital markets are composed of primary (Newly formed (issued) securities are bought or sold in primary markets) and secondary (Allow investors to sell securities that they hold or buy existing securities) markets. The most common capital markets are the stock market and the bond market.

These days, we use the term bonds rather than gilts and semi-gilts. Bonds are interest-bearing investments but involve a more extended maturity period, usually some years.

Gilts and semi-gilts operate in the same manner, and the only distinction between them is that:

Gilts³

A Gilt can be described as a government or quasi-government debt instrument - an IOU. Each Gilt has a fixed redemption rate (when the money will be repaid), interest rate and face value (the price for which the government sold it in the first place).

The Gilts are sold and redeemed (by the issuing authority) at their face value - known as "par" During this period, the holder receives a fixed rate of interest (say 15%). This interest rate is sometimes called the "coupon". Gilts are secure because the government underwrites them. Therefore, there is almost no risk that the debt will not be repaid.

The current level of interest rates determines the price of a gilt. A gilt paying a fixed interest rate of 16% becomes more valuable when interest rates fall because institutional buyers cannot get such a high-interest rate in the market. They are thus prepared to pay more than the face value for that gilt.

² <https://www.allangray.co.za/latest-insights/personal-investing/what-is-a-money-market-fund/>

³ https://www.sharenet.co.za/free/library/gt_01.htm

For example, if the interest rates were at 16% when Eskom first sold the gilt and subsequently declined to 15%, any Gilts paying 16% would immediately become more valuable - because of its higher rate.

The price of the gilt moves up until its effective interest rate comes into line with the current rate in the market. If you pay R1 010 000 for a gilt with a face value of R1 000 000, the effective interest rate will be approximately 0.25% lower than if you had paid the face value. The capital value generally increases by roughly R10 000 with each 0.25% interest rate fall. For this reason, gilt prices move inversely with interest-rate levels.

In the gilt market, a round lot is R1 million worth of stock at face value. In other words, the minimum quantity that can be bought or sold is R1 million worth - which puts this market way outside the range of most private investors. For this reason, the market also allows trading in gilt options for as little as R2 500.

Semi-gilts

Semi-gilts are like gilts, with the main difference that they are issued by Semi-government institutions (parastatals) (such as Eskom and Transnet), local authorities (for example, municipalities) and sundry public sector borrowers (such as water boards).

Bonds

Today the use of the term 'gilts' (which comes from the fact that historically they were printed with Gilded borders) is now considered by some to be archaic, and the general term 'bonds' is in more common usage. So, when someone refers to owning a gilt or semi-gilt, they own a government or semi-government bond.

You can use Bonds to lower your risk or to diversify your portfolio. These used to be called Spot Bonds.

The following bonds are listed on the JSE:

- Green Bonds
- Government Bonds
- Corporate Bonds
- Repo Bonds

A debenture

Debentures are a type of Debt Instrument, similar to a Bond, that companies issue in order to raise capital. Details of Debentures are documented in an indenture, which is a written agreement between the issuer and the holder. Companies pay investors interest for the term of the Debenture. At the end of the lending period, issuing companies usually offer the choice of converting the Debentures into Shares. Physical assets or collateral do not secure debentures.

Features

- Typically provide higher rates of financial return than Government Bonds or bank interest rates.
- At the end of the lending period, issuing companies usually offer the choice of converting the Debentures into Shares. These are called Convertible Debentures and usually pay a lower interest rate to the lender (the investor).
- Interest is paid to investors whether the issuing company makes a profit or loss.
- Are transferable (from investor to investor).
- The debt-equity ratio: The investor should consider the ratio in which debt is used to finance projects and capital compared to that used for Equity. If more debt is used to finance the company, the risk of default should be considered.

- Debentures are unsecured and only backed by the issuing company's creditworthiness and reputation. The investor is lending money to a business, and a Debenture carries all the risks that this involves.

A debenture like a bond is a loan, where an individual lends money to a company (to finance specific projects). So, the holder of the debenture (buyer) does not take part in the profits or losses suffered by the company.

Like a bond, the description of the debenture has three indicators:

- the coupon rate, which indicates the annual interest income per R100 nominal capital value (face value);
- the name of the company that issued it;
- the year(s) in which redemption of the capital amount borrowed, will take place.

2.3 Property

There are two ways of investing in property:

2.3.1 Direct property investment

Direct property is the term commonly used to describe real estate investments, whether it be the purchase of a commercial, industrial, retail, bulky goods, residential or any other property asset, which can either be held directly (direct ownership on the title).



Over the last two decades, Direct Property Investment has grown dramatically and has become a core investment class for the growth of wealth through substantial risk-adjusted returns, while also providing a stable source of income through regular distributions of underlying rental income.

2.3.2 Indirect property investment

You can also invest in property indirectly through collective ownership vehicles such as managed property investments: funds, trusts and syndicates (Property Funds). Investors in Direct Property Investment Funds, including those offered by large institutions, public and private companies, are wholesale and retail investors.

2.4 Equities

The term equity has a different definition depending on the context. Let us talk about the definition of equity in the context of the stock market. In simplest terms, equities are shares in the ownership of a company. When a company issues bonds, it is taking loans from buyers. When a company offers shares, on the other hand, it is selling partial ownership in the company.



People invest in equities because of their potential for high returns. In your investing portfolio, your "equity exposure" is another way of describing your exposure to the risk that you will *lose* money when the value of the stocks you own declines. Conventional wisdom states that young people can afford more equity exposure, and therefore will likely want more stocks in their portfolio because of their potential for returns over time. As you are planning to retire, equity exposure becomes more of a risk, which is why many people transition at least part of their investments from stocks to bonds as they get older.

2.4.1 Listed equities can be classified as follows:**2.4.1.1 Ordinary shares:**

Ordinary Shares are the most common type of Shares traded on the JSE's Equity Market. Ordinary Shares give you full voting rights at annual general meetings, dividends (should the company pay these) and a share of the residual economic value should the company unwind (after bondholders and preference shareholders are paid). They also allow you to benefit from capital growth should the company do well.

2.4.1.2 Ordinary preference shares:

Companies issue preference shares to raise capital. Preference shares carry many of the benefits of both debt and equity capital and are considered to be hybrid security.

A benefit for investors who hold preference shares is that they receive dividend payments before common stock shareholders. A drawback is that they have no voting rights as common shareholders typically do.

2.4.1.3 Cumulative preference shares:

The dividend is accumulated if the company does not earn sufficient profit to pay the dividend, i.e., if the dividend is not paid in one year it will be carried forward to successive years

2.4.1.4 Non-cumulative preference shares:

If the company is unable to pay the dividend on preference shares because of insufficient profits, the dividend is not accumulated. Preference shares are cumulative unless expressly stated otherwise.

2.4.1.5 Participating preference shares:

Participating preference shares, in addition to their fixed dividend, share in the profits of a company at a specific rate.

2.4.1.6 Redeemable preference shares:

Redeemable preference shares can be redeemed at the option of the company either at a fixed rate on a specified date or over a certain period.

2.4.1.7 Irredeemable preference shares:

Such shares cannot be redeemed during the lifetime of the company but can only be obtained at the time of winding up (liquidation) of assets.

2.4.1.8 Convertible preference shares:

Apart from earning a fixed dividend, convertible preference shares can be converted into ordinary shares on specified terms.

2.4.1.9 Deferred shares:

A deferred share is a share that does not have any rights to the assets of a company undergoing bankruptcy until all common and preferred shareholders are paid. It may also be a share that is issued to company founders that restricts their receipt of dividends until dividends have been distributed to all other classes of shareholder. Deferred shares can also be awarded to venture capital and other private investor groups as part of a long-term investment in a company.

2.4.1.10 Debentures

In corporate finance, a debenture is a medium- to long-term debt instrument used by large companies to borrow money, at a fixed rate of interest. Debentures are generally freely transferable by the debenture holder.

2.5 Other Assets Classes

- **Rare coins** – The market for rare numismatic coins is much tougher to quantify, as it covers such a wide variety of coins within that term. These types of coins should probably be viewed as a niche investment strategy, and if you are looking for high-growth strategy involving rare coins, it is probably the rare bullion coins which will give you less sleepless nights.
- **Gemstones** – They are aesthetically appealing, rare, durable and of high quality. These characteristics distinguish them from minerals;
- **Kruger Rands** – Physical gold coins in full, half, quarter or tenth sizes. Bullion rare coins are generally considered to be one of the safest investments on the market, and this is where the overall perception of the rare coin market comes from, so you need to understand the different forms of rare coin investing if you have not already made this point.
- **Futures contracts** – A futures contract is a contract between two parties where both parties agree to buy and sell a particular asset of a specific quantity and at a predetermined price, at a specified date in future.
- **Shipping Containers** – A shipping container is a container with strength suitable to withstand shipment, storage, and handling. Shipping containers range from large reusable steel boxes used for intermodal shipments to the ubiquitous corrugated boxes. In the context of the international shipping trade, "container" or "shipping container" is virtually synonymous with "intermodal freight container," a container designed to be moved from one mode of transport to another without unloading and reloading.

Summary

The four main asset classes, or principal investment markets, are cash (the short-term money market), bonds (the long-term money market), property and equities (the share market).

Analysis of South African experience suggests that, over time, the four asset classes are likely to produce the following real (after inflation) returns in the long run:

• Cash:	• 0 to 1%
• Bonds:	• 1 to 3%
• Property:	• 2 to 4%
• Equities:	• 7 to 9%

The alternative asset classes would be:

- Derivatives;
- Currency funds;
- Hedge funds,
- Commodities.

Asset classes

An asset class is a group of similar investment vehicles. Different classes, or types, of investment assets – such as fixed-income investments – are grouped based on having a similar financial structure. They are typically traded in the same financial markets and subject to the same rules and regulations. You can use Bonds to lower your risk or to diversify your portfolio. These used to be called Spot Bonds.

The following bonds are listed on the JSE:

- Green Bonds
- Government Bonds
- Corporate Bonds
- Repo Bonds

Like a bond, the description of the debenture has three indicators:

- the coupon rate, which indicates the annual interest income per R100 nominal capital value (face value);
- the name of the company that issued it;
- the year(s) in which redemption of the capital amount borrowed, will take place.

Ordinary shares:

Ordinary Shares are the most common type of Shares traded on the JSE's Equity Market. Ordinary Shares give you full voting rights at annual general meetings, dividends (should the company pay these) and a share of the residual economic value should the company unwind (after bondholders and preference shareholders are paid). They also allow you to benefit from capital growth should the company do well.

Other Assets Classes

- Rare coins
- Gemstones
- Kruger Rands
- Futures contracts
- Shipping Containers

Unit 1: Self-Assessment

1. Name the four main asset classes and provide an example of each.

2. Name the other asset classes and give a short explanation of each.

3. Name four (4) alternative asset classes:

Unit 1: Self-Assessment: Answers

1. Name the four main asset classes and provide an example of each.

The four main asset classes, or principal investment markets, are cash (the short-term money market), bonds (the long-term money market), property and equities (the share market).

The characteristics of the asset classes are:



Cash is the safest asset class and provides the lowest return over time. It covers such investments as on-call deposits in banks, cash management trusts and similar short-term, interest-bearing investments.

Because cash is the safest investment market, it is used as a benchmark against other investments. When cash rates are low, other investments become more attractive and tend to rise in price. Cash tends to have a low correlation with all other asset classes.



Bonds are also interest-bearing investments but involve a more extended period of maturity, usually some years. Government, local authorities, parastatals, and corporates borrow money from investors by issuing them with debt instruments called bonds. By holding a bond, an investor is usually entitled to an annual cash interest payment that is fixed at the time of purchase. While this locked-in interest rate may seem safer, it exposes the investor to more risk: if inflation or short-term interest rates go up during the period to maturity, the investor loses out. Bonds are low to medium risk investments and provide low to medium returns over time.



Property covers the whole ambit of real estate investment, from rural estates to office blocks. It is a medium to high-risk asset class, with returns proportionate to this risk. Because the property market is generally adversely affected by rises in interest rates, it tends to have a low correlation with interest-bearing investments –, especially cash.



Equities are some of the higher risk, higher return category of investment. Investors take a direct share in the profits or losses of companies, and hence in the economy itself.

2. Name the other asset classes and give a short explanation of each.

Other Assets Classes

- **Rare coins** – The market for rare numismatic coins is much tougher to quantify, as it covers such a wide variety of coins within that term. These types of coins should probably be viewed as a niche investment strategy, and if you are looking for high-growth strategy involving rare coins, it is probably the rare bullion coins which will give you less sleepless nights.

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3. Name four (4) alternative asset classes:

The alternative asset classes would be:

- Derivatives;
- Currency funds;
- Hedge funds,
- Commodities.

Unit 2

Briefly describe financial markets and instruments in terms of investments



To apply their knowledge of the financial markets and instruments to select the best investments that are suitable for the specific client.



It is for intermediaries to apply their knowledge of the financial markets and instruments to select the best investments that are suitable for the specific client. This knowledge can improve your level of advice.



You will need to achieve the following:

- Reform of the financial sector regulatory system;
- Role players in the Financial Markets;
- Financial Markets Description:
 - Money market;
 - Capital market;
 - Equity market;
 - Property market;
 - Hard Assets;
 - Derivatives.
- Financial Instruments Description.

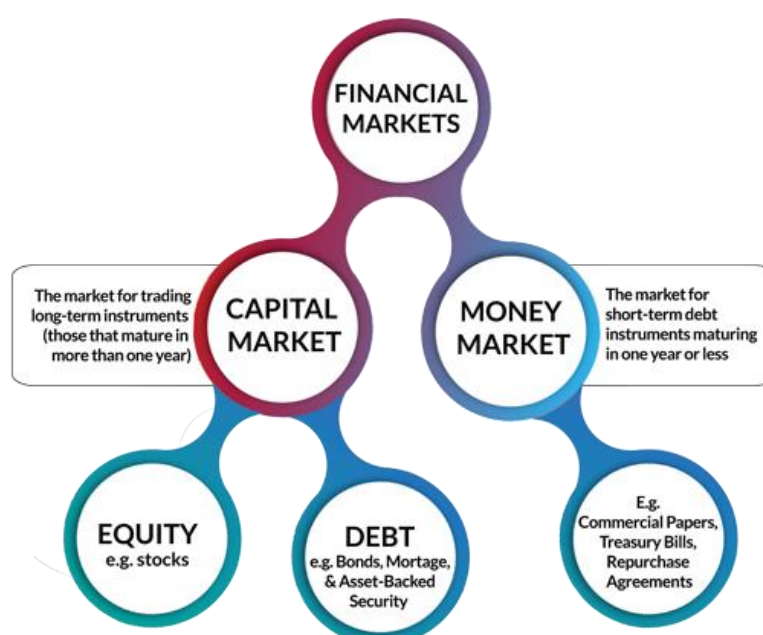


You will need to achieve the following:

- Calculate the required rate of return to reach the client's investment objectives.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments, Nic Oldert, March 2019, Profile Media



Introduction

Financial Market

Financial markets, from the name itself, are a type of marketplace that provides an avenue for the sale and purchase of assets such as bonds, stocks, foreign exchange, and derivatives. Often, they are called by different names, including “Wall Street” and “capital market,” but all of them still mean the same thing. Simply put, businesses and investors can go to financial markets to raise money to grow their business and to make more money, respectively.

Some financial markets only allow participants that meet specific criteria, which can be based on factors like the amount of money held, the investor’s geographical location, knowledge of the markets or the profession of the participant.



Financial market prices may not indicate the actual intrinsic value of stock due to macroeconomic forces like taxes. Also, the prices of securities are heavily reliant on informational transparency to ensure the market sets efficient and appropriate prices.

Financial markets can be found in nearly every nation in the world. Some are very small, with only a few participants, while others – like the New York Stock Exchange (NYSE) and the forex markets – trade trillions of dollars daily.

The stock market is a financial market that enables investors to buy and sell shares of publicly traded companies. The primary stock market is where new issues of stocks are first offered. Any subsequent trading of stock securities occurs in the secondary market.

For the financial market to perform efficiently, Information transparency is essential as it increases the confidence of participants.

Interest rate contracts dominate derivatives trading in South Africa.

Financial Instrument

An instrument is a tradable asset or negotiable items such as a security, commodity, derivative or index, or any item that underlies a derivative. An instrument is a means by which something of value is transferred, held or accomplished.

In today's financial marketplace, financial instruments can be classified generally as:

- equity-based, representing ownership of the asset; or
- debt-based, representing a loan made by an investor to the owner of the asset;
- foreign exchange instruments comprise a third, unique type of instrument.

Different subcategories of each instrument type exist, such as:

- preferred share equity; and
- common share equity, for example.

Financial instruments are assets that can be traded, or they can also be seen as packages of capital that may be traded. Most types of financial instruments provide efficient flow and transfer of capital throughout the world's investors. These assets can be cash, a contractual right to deliver or receive cash or another type of financial instrument, or evidence of one's ownership of an entity.

KO1: Reform of the financial sector regulatory system⁴

National Treasury's proposed reform of the financial sector regulatory system in South Africa is guided by fifteen governing principles, of which the following are most relevant for financial markets:⁵

Principle 1: Financial service providers must be appropriately licensed or regulated, meaning that entry into the market must be subject to an appropriate licensing or registration process, depending on the type of financial services provided. No financial service provider should be allowed to operate outside the regulatory perimeter.

Principle 2: There should be a transparent approach to regulation and supervision, meaning that where appropriate, regulation and supervision should be risk-based. It should also be proportional to the nature, scale and complexity of risks present in a regulated entity and the system.

Principle 3: The quality of supervision must be sufficiently intense, intrusive and effective. The ability to supervise requires appropriate resources, authority, organisation and constructive working relationships with other agencies and must be complemented by the will to act. The will to act requires supervisors to have a clear and unambiguous mandate, operational independence coupled with accountability, skilled staff, and a relationship with the industry that avoids regulatory capture.

Principle 4: The government and the legislature set policy and legislation, providing the operational framework for regulators. It means that the policy framework should be set transparently via the executive, and Parliament will approve legislative proposals. While regulators do not set policy, it is critical to clearly demarcate what constitutes policy and empower regulators to set the supervisory framework.

Principle 5a: Regulators must operate objectively with integrity, be operationally independent, and be accountable for their actions and performance. Regulators must, therefore, be empowered to work without fear or favour and be operationally independent within an approved legislative and policy framework.

Principle 6: Regulations should be of universal applicability and comprehensive in scope in order to reduce regulatory arbitrage so that individual institutions, or classes of institutions, should not arbitrarily be exempted from regulation and supervision.

⁴ <http://www.treasury.gov.za/public%20comments/FMB/FMB%20policy%20document.pdf>

⁵ "A Safer Financial Sector to Serve South Africa Better," page 25.

- Principle 7:** The legislative framework should allow for a lead regulator for every financial institution that is regulated by multiple sets of financial regulators. All regulators involved must strive to coordinate their supervisory activities. As financial institutions are generally regulated or supervised by more than one regulator (often falling under different Ministries), regulators should be obliged to coordinate their activities, formalised through legislation or a Memoranda of Understanding. The lead regulator must ensure that effective consultation takes place between regulators and should not inadvertently undermine other regulators.
- Principle 11:** Market conduct oversight must be sufficiently strong to complement prudential regulation.
- Principle 15:** The above principles are reflected in international standards like the International Organisation of Securities Commissions (IOSCO). To the extent that there are any contradictions or inconsistencies in the above principles, the international standards will apply.

In consolidating these principles, the effectiveness of the SSA can be measured by how well it delivers on the three core objectives of securities regulation, namely: -

- The protection of investors;
- Ensuring that markets are fair, efficient and transparent;
- The reduction of systemic risk.

These three objectives are closely related and, in some respects, overlap, as many of the requirements that help to ensure fair, efficient and transparent markets also provide investor protection and help to reduce systemic risk. Similarly, measures that reduce systemic risk protect investors. It is essential to translate these broad objectives into tangible and meaningful protection for the financial markets. This examination follows.

The Securities Services Act No. 36 of 2004 (SSA) took effect on 1 February 2005. It governs the regulation of securities services in South Africa to include:

- Securities exchanges;
- Central securities depositories (CSDs);
- Clearinghouses and their respective members.

It consolidated the South African regulatory framework for capital markets and aligned the regulation and supervision of South African financial markets with the current international developments and regulatory standards.

The SSA does not apply to collective investment schemes regulated by the Collective Investment Schemes Control Act No. 45 of 2002, or activities regulated by the Financial Advisory and Intermediary Services Act No. 37 of 2002.

KO2: Role players in the Financial Markets

2.1 Regulators

2.1.1 FMAB (Financial Markets Advisory Board)⁶

FMA advises financial institutions, regulators and government entities on their most critical and often most complex financial issues. We work with senior management at top financial institutions, official institutions and market intermediaries and utilities around the globe, with a focus on their balance sheet and capital markets exposures as well as a wide range of other strategic, regulatory and operational challenges.

⁶ <https://www.blackrock.com/financial-markets-advisory/about-fma>

Our technology and analytical infrastructure help us provide a unique value proposition for our clients. We leverage our Aladdin® platform in addition to the firm's sophisticated capital markets, risk analytics, data management and financial modelling capabilities to deliver results-oriented consulting and advisory skills.

FMA was established in 2008 to address the unique challenges that arose globally as a consequence of the financial crisis. Since inception, we have completed over 650 assignments for more than 250 unique clients in over 35 countries.

Our professionals are spread across geographies and time zones to serve clients in all locations and respond to urgent needs as they arise. For assignments demanding cross-disciplinary expertise, we unite professionals from multiple offices to deliver the most effective team for any client situation.

FMA operates behind an informational barrier, separating it from the firm's traditional portfolio management activities. It creates a conflict-avoidant environment and further serves to protect client data and proprietary information.

2.1.2 The Financial Sector Conduct Authority (FSCA)⁷



The Financial Sector Conduct Authority (FSCA) has given an update on various market abuse investigations. The FSCA is mandated to investigate, and in appropriate instances, take enforcement action in cases of market abuse on the financial markets. Three kinds of market abuses are prohibited in South Africa, namely insider trading, market manipulation (prohibited trading practices) and false reporting relating to the affairs of a public company. Our investigation procedures include interviews under oath, acquiring documentary evidence and obtaining assistance from foreign Regulators. In matters of insider trading, the FSCA may order that the alleged offender pay an amount equal to the profit made or the losses avoided because of the offending transactions, and a penalty of up to three times such amount. These funds are distributed, after recovery of costs, to persons who may have been prejudiced by the offending transactions. Also, the FSCA may impose a range of administrative sanctions on the alleged offenders. Market abuse transgressions are criminal offences in terms of the FMA (Financial Markets Act, No. 19 of 2012). The Director of Public Prosecutions may institute criminal action against any person. It is not the function of the FSCA to institute criminal prosecutions but would provide all information necessary to assist the Director of Public Prosecutions. Since 1999, the FSCA; its predecessors; the Directorate of Market Abuse and the Insider Trading Directorate investigated a total of 421 cases. A total of 307 cases were closed because there was either no evidence, or insufficient evidence existed to indicate that the FMA (or the now-repealed Insider Trading Act and Securities Services Act) was contravened. In 91 cases the FSCA/DMA decided to proceed with enforcement action. The penalties imposed on offenders to date amounts to approximately R138 million.

2.2 Associations

2.2.1 IOSCO (International Organisation for Securities Commission)⁸



IOSCO was established in 1983. Its membership regulates more than 95% of the world's securities markets in more than 115 jurisdictions; securities regulators in emerging markets account for 75% of its ordinary membership.

The *IOSCO Objectives and Principles of Securities Regulation* have been endorsed by both the G20 and the FSB as the relevant standards in this area. They are the overarching core principles that guide IOSCO in the development and implementation of internationally recognized and consistent standards of regulation, oversight and enforcement.

⁷ <https://www.fsca.co.za/News%20Documents/FSCA%20Market%20Abuse%20Investigations%20Press%20Release%20-%202004%20March%202019.pdf>

⁸ https://www.iosco.org/about/?subsection=about_iosco

They form the basis for the evaluation of the securities sector for the Financial Sector Assessment Programs (FSAPs) of the International Monetary Fund (IMF) and the World Bank.

By providing high-quality technical assistance, education and training, and research to its members and other regulators, IOSCO seeks to build sound global capital markets and a robust global regulatory framework.

2.2.2 ACI SA⁹



The Financial Markets Association ([www. aciforex.co.za](http://www.aciforex.co.za))

"A leading, global association of wholesale financial market professionals, contributing to market development through education, market practices, technical advice and networking events."

ACI is a leading non-profit, non-political association of wholesale financial market professionals. Members of ACI are in large part engaged in professional trading, broking, operations, regulatory and compliance activities in foreign exchange, money fixed income and derivatives markets.

ACI was founded in Paris in 1955 as Association Cambiste Internationale and had a proud and illustrious history of involvement in helping its membership through various market interactions. ACI currently counts some 13,000 international members from more than 60 countries, with growing interest globally.

2.2.3 SAIFM¹⁰



The South African Institute of Financial Markets (SAIFM) is a non-profit voluntary association established to promote professionalism and integrity among members and the financial markets as a whole and is registered as a professional body in terms of the National Qualifications Act.

2.3 Exchange

An exchange is a marketplace where securities, commodities, derivatives and other financial instruments are traded. The core function of an exchange is to ensure fair and orderly trading and the efficient dissemination of price information for any securities trading on that exchange.

2.3.1 Functions of the Stock Exchange

Function # 1. Ensure Liquidity of Capital:

The stock exchanges provide a place to convert shares and stock into cash. The exchanges provide a ready market where buyers and sellers are always available, and those who need hard cash can sell their holdings. Had this not been possible, many people would have feared for blocking their savings in securities as they could not convert them into cash again.

Function # 2. Continuous Market for Securities:

The stock exchanges provide a ready market for securities. The securities, once listed, continue to be traded at the exchanges irrespective of the fact that owners go on changing. The exchanges provide a regular market for trading in securities.

Function # 3. Evaluation of Securities:

Investors can evaluate the worth of their holdings from the prices quoted at different exchanges for those securities. The securities are quoted under the free atmosphere of demand and supply,

⁹ <https://aci-uk.com/aci-fma-international/>

¹⁰ <http://saifm.co.za/about/>

and the prices are set based on the free market. Stock exchanges help evaluate any security listed there.

Function # 4. Mobilising Surplus Savings:

The stock exchanges provide a ready market for various securities. Investors do not have any difficulty investing their savings by purchasing shares, bonds, etc., from the exchanges. If this facility is not there, many persons who want to invest their savings will not find avenues. In this way, stock exchanges play an essential role in mopping up the surplus funds of investors.

Function # 5. Helpful in Raising New Capital:

The new and existing concerns need capital for their activities. The new concerns raise capital for the first time, and existing units increase their capital for expansion and diversification purposes. The shares of new concerns are registered at stock exchanges, and existing companies also sell their shares through brokers etc., at exchanges.

The exchanges help raise capital both through new and old concerns. The intending buyers also remain in touch with the exchanges for investing money in securities.

Function # 6. Safety in Dealings:

There is no scope for manipulating transactions. Every contact is done according to the procedure laid down, and there is no fear in the minds of the contracting parties. Safety in dealings brings confidence in the minds of all concerned parties and helps increase various dealings.

Function # 7. Listing of Securities:

Only listed securities can be purchased at stock exchanges. Every company desirous of listing its securities will apply to the exchange authorities. The listing is allowed only after a critical examination of the company's capital structure, management and prospects.

The listing of securities gives privileges to the company. The investors can form their views about the securities because listing security does not guarantee the company's financial stability.

Function # 8. A platform for Public Debt:

The increasing government's role in economic development has necessitated raising huge amounts for this purpose. The stock exchanges provide a platform for raising public debts. The stock exchanges are also organised markets of government securities. However, there is no provision for a separate counter for government securities, but these are traded through brokers dealing in these securities.

Function # 9. Clearing House of Business Information:

The companies listing securities with exchanges must provide financial statements, annual reports and other reports to ensure maximum publicity of corporation operations and working. The financial and other information provided at stock exchanges helps companies to decide their policies.

2.3.2 Examples of stock exchanges

JSE

 **JSE Limited** (previously the **JSE Securities Exchange** and the **Johannesburg Stock Exchange**) is the largest stock exchange in Africa. The JSE is presently the 16th largest stock exchange worldwide.

A Brief Overview and History of the JSE:

1887: The JSE is established as a stock exchange.

1947: The first legislation applicable to the operation of exchanges is introduced with the Stock Exchanges Control Act.

- 1963:** JSE becomes a member of the World Federation of Exchanges.
- 1978:** The JSE achieves a market capitalisation of R51 billion, eight times the market size in 1961 – a record for the JSE.
- 1979:** Kruger Rands are officially listed.
- 1995:** Substantial amendments are made to the legislation applicable to stock exchanges. The South African Institute of Stockbrokers is formed to represent, train and set standards for the qualification of stockbrokers.
- 1996:** The open outcry-trading floor is closed on 7 June and replaced by an order-driven, centralised, automated trading system known as the Johannesburg Equities Trading (JET) system. Dual trading capacity and negotiated brokerage are introduced.
- 1997:** SENS (Securities Exchange News Service – known then as Stock Exchange News Service), a real-time news service for the dissemination of company announcements and price-sensitive information, is introduced. SENS ensures early and wide dissemination of all information that may affect the prices of securities that trade on the JSE.
- 1999:** In January, the new Insider Trading Act is introduced based on recommendations made by the King Task Group on Corporate Governance, which included representatives from the JSE. The JSE establishes, in collaboration with South Africa's four largest commercial banks, the electronic settlement system, STRATE, and the process to dematerialise and electronically settle securities listed on the JSE on a rolling, contractual and guaranteed basis is initiated.
- 2000:** The JSE successfully lists Satrix 40, the JSE's first exchange-traded fund, which tracks the top 40 companies listed on the JSE's Main Board.
- 2001:** The JSE acquires SAFEX, the South African Futures Exchange, and becomes the leader in both equities and equity and agricultural derivatives trading in the South African market. The JSE enters into a joint venture with GL Trade SA to provide an internationally accepted trading front-end to the equities market, known in South Africa as TALX.
- 2002:** All listed securities are successfully dematerialised and migrated to the STRATE electronic settlement environment, with rolling, a contractual and guaranteed settlement for equities taking place five days after the trade (T+5). Since the completion of this process, the JSE has had a zero failed trade record, thereby improving market integrity immeasurably and representing a significant milestone in winning both local and international investor confidence.

The JET system is replaced by the LSE's SETS system, hosted by the LSE in London. The system, operated from London by the LSE, is called "JSE SETS". The JSE also introduces the LSE's LMIL system, known in South Africa as InfoWiz to provide a world-class information dissemination system and substantially improve the distribution of real-time equities market information. More than just a change in technology platforms, the introduction of JSE SETS also represented the forging of a strategic alliance with the LSE and improved the international visibility of the JSE.

The JSE also takes a significant step forward in its campaign to modernise its operations with the launch of a new free-float indexing system in conjunction with FTSE, namely the FTSE/JSE African Index Series to replace the then existing indices.

The FTSE/JSE African Index Series has enhanced the investibility of South African stocks by providing foreign investors with an indexing system with which they are familiar with. Two new exchange-traded funds are launched, namely Satrix Fini, which tracks the top 15 financial counters and Satrix Indi, which tracks the top 25 industrial counters, on the Main Board of the JSE.

- 2003:** The JSE launches AltX. AltX has been developed in partnership with the DTI.
- 2004:** The JSE launches the Socially Responsible Investment (SRI) Index, which measures compliance by companies with triple bottom line criteria around economic, environmental and social sustainability.
- 2005:** The JSE launches Yield-X, it's market for a wide range of interest rate products. This world-first allows for the trading of both spot and derivative interest rate products on one platform with multi-lateral netting across all products.

The JSE demutualises and incorporates in South Africa as JSE Limited, an unlisted public company on 1 July 2005. Existing rights holders of the JSE become its first shareholders, and for the first time in the JSE's history, a person who is not an Authorised User of the JSE or a stockbroker can obtain an ownership interest in the JSE.

Immediately on demutualisation, JSE rights were converted into JSE Shares, and each rights holder received 1 000 JSE Shares for every 1 JSE right held. It resulted in the JSE having authorised share capital of R40 million made up of 40 000 000 ordinary shares of R1.00 each, of which 8 340 250 ordinary shares were issued to previous rights holders.

Over the counter trading in JSE Shares commences with the settlement of the trades occurring through STRATE.

- 2006:** In June 2006 the JSE Ltd lists on the Main Board.

2.3.3 BESA (Bond Exchange of South Africa Limited)¹¹



**BOND EXCHANGE
OF SOUTH AFRICA**

The Bond Exchange of South Africa (BESA) was a South African Bond exchange based in Johannesburg that was acquired by JSE Limited in 2009. Before its acquisition, it was constituted as a public company and was responsible for operating and regulating the debt securities and interest rate derivatives markets in South Africa.

2.3.4 Over-The-Counter Market¹²



A decentralised market, without a central physical location, where market participants trade with one another through various communication modes such as the telephone, email and proprietary electronic trading systems. An over-the-counter (OTC) market and an exchange market are the two primary ways of organising financial markets. In an OTC market, dealers act as market-makers by quoting prices at which they will buy and sell a security, currency, or other financial products. A trade can be executed between two participants in an OTC market without others being aware of the price at which the transaction was completed. In general, OTC markets are typically less transparent than exchanges and are also subject to fewer regulations.

2.4 CSDs (Central securities depositories)¹³



A central securities depository (CSD) is an institution that holds financial instruments, including equities, bonds, money market instruments and mutual funds.

It allows ownership of those instruments to be transferred in electronic form through updating electronic records which are often known as 'book-

¹¹ https://en.wikipedia.org/wiki/Bond_Exchange_of_South_Africa

¹² <https://www.investopedia.com/terms/o/over-the-countermarket.asp>

¹³ <https://www.fca.org.uk/markets/central-securities-depositories>

entry records’.

The UK CSD is Euroclear UK and Ireland (EUI). The Bank of England is the competent authority for the authorisation, supervision and policy for EUI. The basic function is:

- To maintain the register of securities;
- Issuance of the international securities identification number (ISIN) for all issues of securities;
- Clearance and settlement of securities on principle “delivery versus payment”;
- Provision of additional services to issuers of securities.

2.4.1 STRATE (Share Transactions Totally Electronic)¹⁴

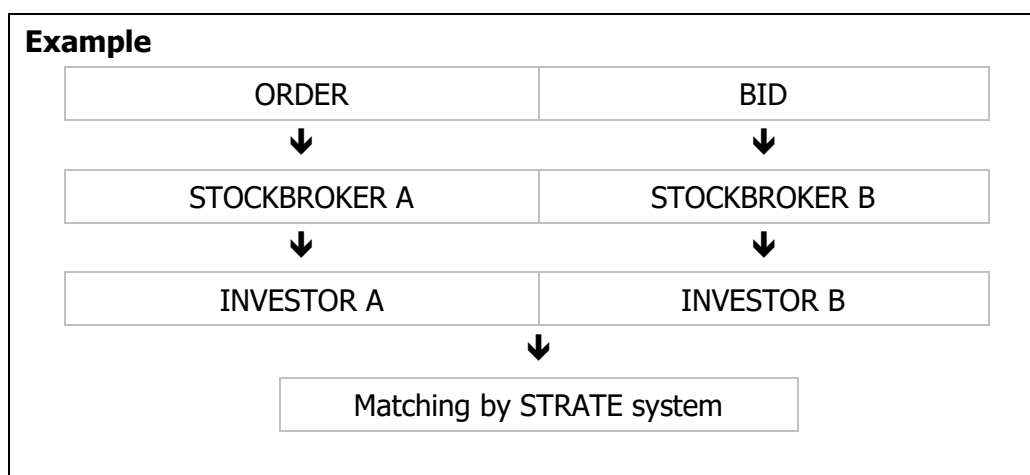
Strate is South Africa's Central Securities Depository. It is an FSCA-licensed financial market infrastructure that owns the technology to securely hold equities, bonds and money market securities in electronic form so that buyers and sellers can exchange ownership of these securities once they are successfully traded.

Given that records are electronic, rather than transferring physical certificates, Strate records the transaction via book entry. This shareholder database held at Strate is recognised as the legal record of ownership in South Africa.

Strate is an independent company, serving multiple stock exchanges in South Africa as well as their respective issuer clients.

It also facilitates corporate action (such as dividends) payments for those issuers, as well as other services in terms of South African legislation. Also, value-adding services are available, such as collateral management, IT services and training. It also continues to explore new, advanced and even disruptive technologies that could be identified as new opportunities in the financial markets.

STRATE system



2.5 Clearinghouses

What is a Clearinghouse?¹⁵

A clearinghouse acts as an intermediary between a buyer and seller and seeks to ensure that the process from trade inception to settlement is smooth. Its primary role is to make certain that the buyer and seller honour their contractual obligations. Responsibilities include settling trading accounts, clearing trades, collecting and maintaining margin monies, regulating delivery of the bought/sold instrument, and reporting trading data. Clearinghouses act as third parties to all

¹⁴ <https://www.strate.co.za/>

¹⁵ <https://www.investopedia.com/terms/c/clearinghouse.asp>

futures and options contracts, as buyers to every clearing member seller and as sellers to every clearing member buyer.

Understanding Clearinghouses

After a buyer and seller have executed the trade, the clearinghouse enters the picture. Its role is to consolidate the steps leading to the transaction settlement. In acting as the middleman, a clearinghouse provides the security and efficiency integral to financial market stability.

Clearinghouses take the opposite position of each side of a trade, significantly reducing the cost and risk of settling multiple transactions among multiple parties. While their mandate is to reduce risk, the fact that they must be both buyer and seller at trade inception means that they are subject to default risk from both parties. To mitigate this, clearinghouses impose margin (initial and maintenance) requirements.

The futures market is most commonly associated with a clearinghouse since its financial products are leveraged and require a stable intermediary. Each exchange has its clearinghouse. All members of an exchange are required to clear their trades through the clearinghouse at the end of each trading session and deposit a sum of money based on the clearinghouse's margin requirements, enough to **cover the member's debit balance**.

Stock Market Clearing Houses

Stock exchanges like the New York Stock Exchange (NYSE) and the NASDAQ have clearing firms. They ensure that stock traders have enough money in their accounts, whether using cash or broker-provided margin, to fund their trades.

The clearing division of these exchanges acts as the middleman, helping facilitate the smooth transfer of funds. Investors who sell a stock they own want to know that the money will be delivered to them. The clearing firms make sure this happens. Similarly, when someone buys a stock, they need to be able to afford it. The clearing firm makes sure that the appropriate amount of funds is set aside for trade settlement when someone buys stocks.

Key take away

- A clearinghouse acts as an intermediary between a buyer and seller and seeks to ensure that the process from trade inception to settlement is smooth.
- In acting as the middleman, a clearinghouse provides the security and efficiency that is integral for financial market stability.
- To mitigate default risk, clearinghouses impose margin (initial and maintenance) requirements.

2.6 Intermediary Services

2.6.1 Nominees¹⁶

A company, usually a brokerage, holds legal ownership of security while someone else, usually a client, holds beneficial ownership. Allowing the nominee to hold title to the security facilitates trade; the brokerage can sell the security directly rather than needing to seek the client's permission for each transaction. The client receives all dividends and other benefits of ownership.

2.6.2 Brokers

2.6.2.1 What is a Stockbroker?¹⁷

A stockbroker is a professional who executes buy and sell orders for stocks and other securities on behalf of clients. A stockbroker may also be known as a registered representative, investment adviser or broker. Stockbrokers are usually associated with a brokerage firm and handle transactions for retail and institutional customers alike. Stockbrokers often receive commissions

¹⁶ <https://financial-dictionary.thefreedictionary.com/nominee>

¹⁷ <https://www.investopedia.com/terms/s/stockbroker.asp>

for their services, but individual compensation can vary greatly depending on where they are employed. Brokerage firms and broker-dealers are also sometimes referred to as stockbrokers themselves.

Individuals who work as brokers, but are employed by discount broker firms, may work as over-the-phone agents that answer brief questions or as branch officers in a physical location. However, a comparatively smaller number of stockbrokers work for investment banks or specialised brokerage firms. These companies handle large and specialised orders such as the purchase or sale of large blocks of stock or the exchange of shares not actively traded.

Because of discount brokers, nearly anybody can afford to invest in the stock market, even individuals based overseas. A more recent development in broker services is the introduction of Robo-advisers, algorithmic investment management carried out via web or mobile app interface with minimal human interaction, for even less servicing fees. One downside to these discount platforms is the lack of personalised service only a dedicated stockbroker can offer.

2.6.3 The three main categories of investors

2.6.3.1 What is a Speculator¹⁸

A speculator utilises strategies and typically a shorter time frame in an attempt to outperform traditional longer-term investors. Speculators take on risk, especially anticipating future price movements, in the hope of making large gains to offset the risk.

Speculators that take on excessive risk typically do not last long. Speculators exert control over long-term risks by employing various strategies such as position sizing, stop-loss orders, and monitoring the statistics of their trading performance. Speculators are typically sophisticated risk-taking individuals with expertise in the markets in which they are trading.

Basics of Speculators

Speculators attempt to predict price changes and extract profit from the price moves in an asset. They may utilise leverage to magnify returns (and losses), although this is the individual's personal choice.

There are different types of speculators in the market. For example, individual traders can be speculators if they purchase a financial instrument for short periods with intentions of profiting from its price changes. Market makers can also be considered speculators because they take the opposite position to market participants and profit from the difference in bid and ask spreads. Prop shops or proprietary trading firms can also be considered speculators because they use leverage to purchase securities and make profits from price changes.

Typically, speculators operate in a shorter time frame than traditional investors.

For example, a person may call themselves an investor if they buy 20 influential companies and plan to hold those stocks for at least 10 years, assuming the companies continue to perform well. On the other hand, a speculator may use all their portfolio capital to buy five stocks or several futures contracts, expecting them to rise over the next few days, weeks, or months. Speculators typically utilise trading strategies that tell them when to buy, when to sell (at a loss or profit), and how big of a position to take.

Key take away

- Speculators are sophisticated investors or traders who purchase assets for short periods and employ strategies to profit from price changes.
- Speculators are essential to the markets because they bring liquidity and assume the market risk. Conversely, they can also hurt markets, when their trading actions result in a speculative bubble that drives up to an asset's price to unsustainable levels.

¹⁸ <https://www.investopedia.com/terms/s/speculator.asp>

2.6.3.2 What Is an Investor?¹⁹

An investor is any person or other entity (such as a firm or mutual fund) who commits capital with the expectation of receiving financial returns. Investors utilise investments in order to grow their money and/or provide an income during retirement, such as with an annuity.

A wide variety of investment vehicles exist including (but not limited to) stocks, bonds, commodities, mutual funds, exchange-traded funds (ETFs), options, futures, foreign exchange, gold, silver, retirement plans and real estate. Investors typically perform technical and/or fundamental analysis to determine favourable investment opportunities and generally prefer to minimise risk while maximising returns.

An investor typically is made distinct from a trader. An investor puts capital to use for long-term gain, while a trader seeks to generate short-term profits by buying and selling securities over and over again.

Investors typically generate returns by deploying capital as either equity or debt investments. Equity investments entail ownership stakes in the form of company stock that may pay dividends in addition to capital gains. Debt investments may be as loans extended to other individuals or firms, or in the form of purchasing bonds issued by governments or corporations which pay interest in the form of coupons.

How Investors Work

Investors are not a uniform bunch. They have varying risk tolerances, capital, styles, preferences and time frames. For instance, some investors may prefer very low-risk investments that will lead to conservative gains, such as certificates of deposits and certain bond products. Other investors, however, are more inclined to take on additional risk in an attempt to make a larger profit. These investors might invest in currencies, emerging markets or stocks.

A distinction can be made between the term's "investor" and "trader" in that investors typically hold positions for years to decades (also called a "position trader" or "buy and hold investor") while traders generally hold positions for shorter periods. Scalp traders, for example, hold positions for as little as a few seconds. Swing traders, on the other hand, seek positions that are held from several days to several weeks.

Institutional investors are organisations such as financial firms or mutual funds that invest in stocks and other financial instruments and build sizable portfolios. Often, they can accumulate and pool money from several smaller investors (individuals and/or firms) in order to make more significant investments. Because of this, institutional investors often have far greater market power and influence than individual retail investors.

Key take away

- Investors can be distinguished from traders in that investors take long-term strategic positions in companies or projects.
- Investors build portfolios either with an active orientation that tries to beat the benchmark index or a passive strategy that attempts to track the index.
- Investors may also be oriented toward either growth or value stock-picking strategies.

¹⁹ <https://www.investopedia.com/terms/i/investor.asp>

2.6.3.2 The inflation-fighting investor

This investor may not be interested in dividend income at all but is buying shares to protect capital against inflation. In order to avoid being classed as a dealer, the reason for investing should be given as long-term investment.

KO3: Financial Markets

A financial market is a market in which people trade financial securities and derivatives at low transaction costs. Securities include stocks and bonds, and precious metals.

The term "market" is sometimes used for what are more strictly exchanges, organisations that facilitate the trade in financial securities, e.g., a stock exchange or commodity exchange. It may be a physical location (such as the NYSE, LSE, JSE, BSE) or an electronic system (such as NASDAQ). Much trading of stocks takes place on an exchange; still, corporate actions (merger, spinoff) are outside an exchange, while any two companies or people, for whatever reason, may agree to sell stock from the one to the other without using an exchange.

Trading of currencies and bonds is primarily on a bilateral basis, although some bonds trade on a stock exchange, and people are building electronic systems for these as well, to stock exchanges. Financial Interest-Bearing Investment markets are normally divided into:

- The money market; and
- The capital markets.

3.1 Understanding the Money Market²⁰

The money market provides short-term funds to borrowers from the government and the corporate sector. Short-term typically means a period not exceeding twelve months. The investors are financial institutions as well as other lenders who have short-term surplus funds available. The instruments of the money market offer high liquidity and low risk.

The money market can be divided into a primary market and a secondary market. The primary market refers to the initial issue of the money market instrument. Instruments of the money markets are negotiable and transferable. Payments are made to the bearer of the relevant document. For this reason, there is also a secondary market.

3.2 Participants in the money market

3.2.1 The South African Reserve Bank

The SARB conducts monetary policy within an inflation-targeting framework. The current targets are for average inflation to be within the target range of 3% to 6%.

The SARB regards its primary goal in the South African economic system as the achievement and maintenance of price stability. However, the bank's role has recently been extended to consider the impact of its policies on economic growth.

3.2.2 The Corporation for Public Deposits

The Corporation for Public Deposits, a subsidiary of the SARB, accepts deposits from a broad range of sources. The corporation accepts minimum amounts and, in a liquid market, acts as a borrower of last resort. Most of its funds go to the public sector and are invested in, for example, Treasury bills, Land Bank bills, and promissory notes of the Industrial Development Corporation.

²⁰ The South African Financial Planning Handbook 2020, 16.1

3.2.3 The Public Investment Corporation

The traditional role of the Public Investment Corporation (PIC) is to receive long-term deposits from the public sector for long-term investment. It manages money for Government, provincial administrations, the South African Transport Services, the Post Office, social security, pension and provident funds and university and public corporation funds.

3.2.4 The Industrial Development Corporation

The Industrial Development Corporation is a public corporation that provides specialised finance for industrial projects and the development of tourism. Loans are repayable over periods between three and ten years.

3.2.5 The Land and Agriculture Bank

Advances are made to farmers and agricultural co-operatives by the Land Bank. Funds are raised through the issue of Land Bank bills. Deposits are received from farmers, co-operatives, control boards and certain other financial institutions.

3.3 Money market instruments

3.3.1 Treasury bills

A Treasury bill (TB) involves a short-term debt issued by the government which usually have maturities of 91 or 182 days. TBs are issued for two main reasons: to fund part of the government budget deficit and for monetary policy purposes. They are an essential source of information as interest rates on TBs serve as a benchmark indicator of money market conditions and act as a reference rate for the calculation of interest rates on several other money market assets. Financial institutions consider these bills as liquid assets, and because they involve government debt, they offer excellent security; they are readily negotiable and offer good short-term investment opportunities.

TBs are discount instruments. The tender is sold at a discounted rate that is worked out as a percentage per annum of the redemption price. This discount acts as an insurance of interest to be earned on loan to the value of the discounted price paid by the investor.

3.3.2 Call deposits

Money is deposited in an interest-bearing account and can be called back on demand. Typically, the more significant the amount invested, the higher the interest rate. Interest rates are subject to daily fluctuations. Interest is calculated on a daily balance and paid monthly.

3.3.3 Notice deposits

There is no specific due date for the deposited funds, but a period of notice must be given before the withdrawal of the funds. Rates are increased automatically, but investors are informed of any decreases with the same period of notification before the decrease.

3.3.4 Bankers' acceptances

A bank acceptance (BA) is a bill of exchange, drawn on and accepted by a bank. The maturity period is usually between 30 and 120 days; the most popular period is 90 days. The face value is the amount the investor will receive on the maturity date.

Short-term finance may come in the form of an overdraft or a bank acceptance. The interest rates will dictate which option is most cost-effective. The fixed rate of the BA is preferable to fluctuating interest rates of an overdraft, but if funds are needed only intermittently over the 30–120-day period an overdraft may prove to be cheaper.

A drawer applies for a credit acceptance from a bank. The bankers accept the bills by signing across the face of the bills. The drawer can then sell them at the ruling discount rate. BAs are no longer issued or traded in South Africa, though they are used in other countries.

3.3.5 Promissory notes

A promissory note is an unconditional promise in writing made by one person to another, signed by the maker who agrees to pay on demand or at a fixed or determinable future time, a certain sum to a specified person or order or bearer. A bank is usually approached to endorse the note.

Banks will accept a promissory note in lieu of funds as an alternative to overdrafts or loans. A promissory note does not affect the bank's liquid assets in the way that these alternatives do. The bank discounts the note on the open market, and the bearer is then paid the face value. The debt will appear as a liability only on the maturity date. Banks must reflect their dealings in promissory notes on their balance sheets.

3.3.6 Negotiable certificates of deposit

A negotiable certificate of deposit (NCD) is issued as a receipt in bearer form for time deposits. They are liquid as a negotiable asset and offer a market-related rate of interest. They are payable to the bearer but may also be made out to a specific person. The institution issuing the certificate undertakes to pay the amount of the deposit plus interest to the holder on maturity. They are normally issued for less than a year, but banks do tailor the maturity period to the needs of their clients.

NCDs are not eligible for a rediscount at the Reserve Bank, but they remain prevalent due to their higher yields, negotiability and status as a claim on a bank.

3.4 Understanding of the Capital Market²¹

The capital markets

As with the money market, the bond, or capital, the market has a primary and secondary market. In the capital market securities can be issued by the borrower directly to lenders (the primary market) and then sold and purchased by either role players in the secondary market.

Institutions in the capital market

The following institutions' issue bonds:

- the South African Reserve Bank (SARB);
- public corporations (for example, Eskom);
- public utilities (for example, Rand Water Board);
- municipalities; and
- listed companies.

The three areas in which bonds are issued are, therefore:

- **The private sector** – Companies need funds to finance long-term investments. They do this by the issuing of shares, corporate bonds, debentures and rights issues.
- **The central government** – The government needs long-term funding to finance its expenditure. It is done by issuing long-term bonds. As an investment with the government is the safest investment one can make, the interest paid by the government on its bonds will be less than that paid by other borrowers. Here we are talking of the risk that the borrower may default on payment. It does not consider interest rate or inflation risk.
- **Municipalities and public corporations** – These issue bonds to finance long-term expansion projects.

3.5 Role players in the capital market

The following are role players in the capital market:

- **banks** act as deposit takers who offer mortgage finance for housing. They also help provide funds for capital investments and working capital for businesses;

²¹ The South African Financial Planning Handbook 2020, 17.2

- **insurance companies** are an essential channel through which personal savings by way of insurance premiums can be used as a source of funds for the public sector, and
- **the stock exchange** plays a significant role in listing new bonds.

3.6 Types of bonds²²

There are various types of bonds. Interest-bearing investments provide the investor with a regular bi-annual interest payment and the original capital invested at maturity. On the other hand, discounted instruments do not provide the investor with a regular income but give a discount on the initial nominal amount. The most common types of bonds are:

3.6.1 Coupon bonds

Coupon bonds, also called straight or vanilla bonds are, directly speaking, an IOU that obligates the issuer to pay the bondholder a fixed sum of money at the bond's maturity along with regular, periodic interest payments during the life of the bond.

In addition to a straight bond component, bonds can have additional features attached. These features are sometimes designed to enhance a bond's appeal to investors and marketability. For example, convertible bonds have a conversion feature that grants bond-holders the right to convert their bonds into shares of the issuing company. Bonds may have a call or put options embedded in them. A callable bond grants the issuer the right to repurchase the bond, for example, if interest rates decrease. A bond with a put option has a feature that grants bondholders the right to sell their bonds back to the issuer at a special put price.

Example

Investor A purchases a bond on 1 January 2015, maturing on 31 December 2020. The maturity value of the bond is R1 million. Investor A invests R1 million on 1 January 2007 and will receive a regular bi-annual interest payment, otherwise known as a coupon rate, for the period of the investment. At maturity, Investor A will receive his original R1 million back.

3.6.2 Zero-coupon bonds

Zero-coupon bonds are discount bonds that do not pay periodic interest. They pay the par value at maturity and the interest results from the fact that zero-coupon bonds are initially sold at a price below par value.

Example

Investor B purchases a zero-coupon bond on 1 January 2015, maturing on 31 December 2020. Investor B will only invest, let us say, R700 000 on 1 January 2007 and will not receive any income during the period of the investment. A formula is used to calculate the exact amount to be discounted, based on the current and future value of the coupon rate and nominal amount. This phenomenon is called discounting.

3.6.3 Inflation-linked bonds

Inflation-linked bonds pay an interest rate that adjusts to keep track with inflation. The amount that is repaid on maturity would also be adjusted for inflation. It contrasts with a vanilla bond where the rate of interest is fixed for the life of the bond and the amount paid out on maturity is known when one invests in the bond. For example, if the coupon on the bond is 8% per annum, and the investment is R1 million, the interest paid per annum is R80 000. If inflation in the next year is 5%, the capital value of the bond is adjusted to R1 050 000. The coupon rate of 8% per annum remains unchanged but is payable on the higher capital value; it is, therefore, R84 000 ($R1\,050\,000 \times 8\%$). Inflation-linked bonds are attractive for those investors who want to protect

²² The South African Financial Planning Handbook 2020, 17.3

their investments from the impact of inflation; however, their yields are usually initially lower compared to vanilla bonds.

The table below summarises the significant differences between an inflation-linked and vanilla bonds.

Inflation-linked bonds	Vanilla bonds
The bond provides a real return over the long-term, which is known when the bonds are purchased.	The bond provides a steady nominal return over the long term, which is known when the bond is purchased.
The nominal return received would depend upon the rate of inflation. The inflation figure used is CPI.	The real return received would depend upon the rate of inflation.
The nominal interest rate varies depending upon the rate of inflation. The real interest rate for the purchaser remains constant.	The interest rate is fixed for the life of the bond.
The end value is not fixed, and value depends upon the rate of inflation.	The nominal end value is known at the time of the purchase.

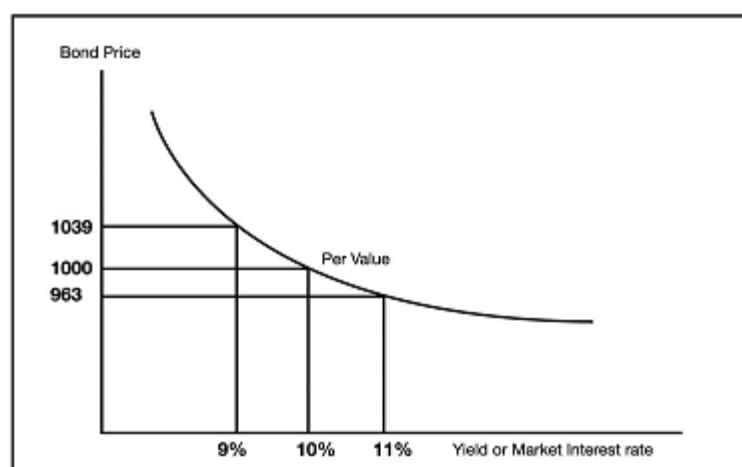
3.7 Taxation of inflation-linked bonds²³

Section 24J of the Income Tax Act states that interest on bonds is taxed on a yield-to-maturity basis. It is important to note that both coupon payments and the difference between the acquisition cost and the bond's nominal value are defined as interest and taxable for income tax purposes. A CPI (inflation) linked bond is a variable rate instrument for section 24J. A variable rate is a rate determined concerning an interest or indexation rate or similar factor, being a rate or factor that varies during the instrument's term. Furthermore, all bonds are included in the definition of an instrument for section 24J. The effect of these provisions is that amounts in respect of adjustments for inflation in the case of CPI bonds will be treated as interest and subject to the accrual rules contained in section 24J. The full amount of the inflation adjustment is, therefore, taxable.

3.8 Bond pricing and yields²⁴

Bond arithmetic, at first glance, can appear daunting. It is essential, however, to understand it because only by doing this can one appreciate how different economic scenarios are likely to affect bond prices.

Calculating the present value of a bond



The price of a bond is determined by the level of interest rates currently in the country. Since a bond has a fixed interest rate for perhaps 20 years, interest rates in the country vary above or below that fixed rate during its lifetime. If a bond has a 15% coupon interest rate and current rates decrease to 13%, the value of the investment rises as the investor cannot receive such a high-interest rate anywhere else in the marketplace. Investors are, therefore, prepared to pay more than

²³ The South African Financial Planning Handbook 2020, 17.3.3.1

²⁴ The South African Financial Planning Handbook 2020, 17.6

the face value of that bond. Thus, the price of a bond rises as the current market interest rate falls and vice versa. Therefore, we can say that bonds have a negative relationship with interest rates, illustrated graphically in the following diagram.

The bond's purchase price is calculated by finding the present value of these payments, which is by discounting the payments at the current interest rate. When asked to perform calculations regarding bonds, the most common will be to calculate the present value of the bond or the interest rate, which can be done using a financial calculator.

Example²⁵

An investor wishes to invest in an Eskom bond with a par value of R1 000 000. The coupon rate is 8,5% with a term to maturity of five years. What is the purchase price of the bond if the current interest rate is 8%?

As the coupon payments will take place at the end of every six months the calculator needs to be in **END mode**. There are two methods to calculate the bond price:

Method 1:	(Per coupon payment)	Method 2:	(Per annum)
1 P/YR		2 P/YR	
N	$5 \times 2 = 10$	N	$5 \times 2 = 10$ (5 SHIFT N)
I/YR	$8\% / 2 = 4\%$	I/YR	8%
PMT	42 500	PMT	42 500
FV	1 000 000	FV	1 000 000
PV	-1 020 277	PV	-1 020 277

where:

N	=	number of interest periods (Method 1 implies 4% over each of the N = 10 six-month periods, while Method 2 tells the calculator to split the 8% up two times per year over the N = 10 years)
PMT	=	the semi-annual coupon payment
I/Y	=	the discount rate
FV	=	the par value or selling price at the end of an assumed holding period
PV	=	the present value of all future cash flows and the market value of the bonds
PMT	=	half-yearly interest on the bond, i.e. $R1\ 000\ 000 \times 8,5\% \div 2$

The investor will thus pay R1 020 277 today for an investment that matures in five years and gives him a fixed income of R85 000 per annum until maturity, at which point he will receive the nominal value of R1 000 000.

Assume the investor wishes to purchase the same bond in the example above, except that current interest rates are 9%. What is the market value of the bond?

2 P/YR	
N	$5 \times 2 = 10$
I/YR	9%
PMT	42 500
FV	1 000 000
PV	-980 218

²⁵ South African Financial Planning Handbook, 2020

This example illustrates the principle that when the current interest rate rises above the coupon interest rate, then the price of the bond falls below the nominal value.

Bonds – advantages

- Bonds pay a higher and steadier income than cash;
- Government is seen as a secure and safe credit risk;
- Bonds are generally less volatile than equities;
- Income is paid out regularly;
- Bonds can offer returns above inflation.

Bonds – disadvantages

- In the short term, bonds can make capital losses, although usually less than equities;
- Bonds may also be subject to capital gains tax, and the interest income is taxable.

3.9 Risks of bonds²⁶

There are various types of bonds. Interest-bearing investments provide the investor with an asset class that historically has been considerably less volatile than equities. It is discussed more fully in the section on asset class returns.

- **Interest rate risk** – refers to the effect of changes in the current interest rate bond values. When interest rates rise, bond values fall. It is the source of interest rate risk, which is approximated by a measure called duration.
- **Yield curve risk** – arises from the possibility of changes in the shape of the yield curve. While duration is a useful measure of interest rate risk for equal changes in yield at every maturity, changes in the shape of the yield curve mean that yields change by different amounts for bonds with different maturities.
- **Call risk** – arises from the fact that when interest rates fall, a callable bond investor's principal may be returned and must be reinvested at the new lower rates. When interest rates are more volatile, callable bonds have relatively more call risk because an increased probability of bond yields falling to a level where the bonds will be called.
- **Reinvestment risk** – refers to the fact that when interest rates fall, the cash flows, both interest and principal, from bonds must be reinvested at lower rates, reducing the returns an investor will earn. Note that investors can be faced with a choice between reinvestment risk and price risk. A non-callable zero-coupon bond has no reinvestment risk over its life since there are no cash flows to reinvest, but a zero-coupon bond has more interest rate risk than a coupon bond of the same maturity. Therefore, the coupon bond will have more reinvestment risk and less price risk.
- **Credit risk** – is the risk that the creditworthiness of a bond's issuer will deteriorate, increasing the required return and decreasing the bond's value.
- **Liquidity risk** – is the risk that the sale of a bond must be made at a price less than the prevailing market value because of a lack of liquidity for a particular issue.
- **Inflation risk** – refers to the possibility that prices of goods and services will increase more than expected. Since fixed coupon bonds pay a constant periodic stream of interest income, an increasing price level decreases the amount of real goods and services that bond payments will purchase. Inflation risk is thus also referred to as purchasing power risk. When expected inflation increases, the resulting increase in nominal rates and required yields will decrease the values of previously issued bonds.

²⁶ The South African Financial Planning Handbook 2020, 17.4

- **Volatility risk** – is present for bonds that have embedded options, such as a call or put options. Changes in interest rate volatility affect the value of these options and therefore affect the values of bonds with embedded options.
- **Sovereign risk** – refers to changes in governmental attitudes and policies toward there payment and servicing of debt. Governments may impose restrictions on the outflows of foreign exchange to service debt even by private borrowers.

3.10 Understanding of the Equity Market (Stock Market)²⁷

Equity means ownership. With ownership comes the risk that you could lose every rand – and more. Why, then, should one even consider investing in equities? The reason is simple; you can be surprised on the upside. A sound portfolio of equities can provide you with an income for life, which may even keep pace with inflation.

The stock market is both part of the primary market and the secondary market of the country. As part of the primary market, it is used to raise capital both as shares or in fixed interest bonds as explained above. As part of the secondary market, it is used to trade the securities that have been issued.

What is a share or equity?²⁸

Each share represents part ownership in a company. In return for investing capital in the company, shareholders are entitled to certain rights. These rights may include specific or a combination of the following rights:

- the right to a cash dividend out of the company profits when declared by the company;
- the right to share in the ultimate benefits flowing from reinvested earnings;
- the right to attend the company's annual general meeting, ask questions and vote on resolutions;
- the right to elect the board of directors of the company; and
- the right to share in any proceeds if a company is dissolved.

3.11 Types of shares listed on the JSE

The classification of shares²⁹

Listed equities can be classified as follows:

- **Ordinary shares** – These entitle the holder to a proportionate share of the company's profits after the claims of long- and short-term creditors, debenture holders and preference shareholders have been met. They are paid by way of dividends. Ordinary shareholders are the ultimate beneficiaries of the retained profits of a company. However, these shares are more speculative than, for example, preference shares as ordinary shareholders are more likely to lose their money if the company becomes insolvent. The prices are therefore, likely to fluctuate more than other classes of equity, and higher returns can also be expected.
- **Ordinary preference shares** – Shareholders of these shares are entitled to a preference dividend only when such dividends are declared.
- **Cumulative preference shares** – These entitle the holder to a fixed percentage dividend each year. If in any year no dividends are paid out, the arrear dividends must be paid out in future years and must be settled before any dividends are paid to ordinary shareholders. It is attractive to an investor wanting a fixed income and a certain amount of security.
- **Non-cumulative participating preference shares** – The holder is entitled to fixed dividends as well as the right to vote on management matters in the company. There is no right to a share of the company's profits or any claim to arrear dividends.

²⁷ The South African Financial Planning Handbook 2020, 19.1

²⁸ The South African Financial Planning Handbook 2020, 19.2

²⁹ The South African Financial Planning Handbook 2020, 19.3

- **Profit-sharing preference shares** – Shareholders are entitled to a preference dividend as well as a share in the remaining distributable reserves.
- **Non-redeemable preference shares** – In recent years, several banks have issued preference shares. The yield on these shares is linked to the prime rate, for example, 70% of prime. As these are dividends, the return is tax-free in the hands of the recipient. In a period when interest rates are low, these preference shares have become extremely attractive for investors taxed at a high rate. Consider a trust with money in a fixed deposit paying 10% and taxed at 40%. A trust does not get the interest exemption available to individuals. The return after tax is 6%. If the yield for a preference share is, say, 7%, for the trust this is a 7% tax-free return.
- **Redeemable preference shares** – The holder is entitled to a fixed percentage dividend (cumulative or non-cumulative) which is participating or non-participating. The shares are redeemable by the company at a fixed date in the future and can be redeemed by the company at a discount, at par or a premium.
- **Irredeemable preference shares** – These shares exist until the company is liquidated. The holder is entitled to a fixed percentage dividend, which may be cumulative or non-cumulative.
- **Convertible preference shares** – These may be converted to ordinary shares on or after an option date. The shareholder is entitled to a fixed percentage dividend (cumulative or non-cumulative). In order to exercise the option, the shareholder usually must pay the company an option price.
- **Deferred shares** – These are often awarded to original company founders as remuneration. They are like ordinary shares but specify that dividends should be paid only after a certain period has elapsed or after a minimum dividend has been paid to ordinary shareholders.
- **Debentures** – Debentures have become less popular as a way of raising funds since dividends became tax-exempt. Distributions paid to investors from debentures are classed as interest, not dividends. Debentures are debt instruments. They are loans made by a company at a fixed rate of interest repayable on a fixed date in the future. Debentures are often secured over the property of the company. Being a more secure investment, the returns are generally lower than ordinary loans.

The ownership of shares is one way in which the individual can share in the wealth of the company. Owners of ordinary shares are the proprietors of the net assets of the company whose shares they own. They participate in the profits of the company by way of dividends after the claims of long- and short-term creditors, preference shareholders and debenture holders have been met. In contrast, holders of debentures and preference shares are creditors of the company receiving a kind of fixed interest from their investment.

One of the attractions of dividend income is the way dividends are taxed. Until recently dividends received by an individual investor were tax-free in the recipients' hands. Changes have been made whereby tax will be deducted before the dividend is paid out. As already pointed out, the tax status of dividend-bearing investments can make them an attractive investment for certain groups of investors.

3.12 Understanding of the Property Market³⁰

As an economic commodity, property is valuable because it can be used, and it is relatively scarce. As an investment, property has several features that distinguish it from other investments, namely:

- properties differ from one another, that is, they are not homogeneous;
- it is not always easy to convert a property built for one use to another because the design of a building may be specialised, and

³⁰ The South African Financial Planning Handbook 2020, 18.1

- property tends to be an illiquid investment.

3.12.1 Factors affecting property values

Property is particularly sensitive to changes in political, social and economic conditions. Consider, for example, the different performance of residential property prices in Cape Town and most other parts of South Africa in recent years. Consider also the impact on prices of the movement away from stand-alone homes to cluster developments that provide security services.



Interest rates greatly influence the value of the residential property because buyers often need to raise a mortgage to buy a house. The amount they can borrow depends on the interest rate being charged for mortgage bond finance.

In recent years, the value of commercial and business property in central business districts declined as tenants tried to escape from the “crime and grime” of the central business district by moving to the suburbs. However, the decline in value of these properties attracted developers who saw an opportunity to profit by refurbishing and selling them. In contrast, listed property has been the best-performing asset class for several years.

The decision to invest in property is also affected by the costs involved. Transfer duty, conveyancing costs, bond registration costs and estate agents’ commissions are a few of the expenses to be considered.

3.12.2 Instruments that you find in the Property Market

• Full title to the property

Residential property is purchased as an investment to earn a monthly income from rental revenue and to make a profit when the property is resold. It is challenging to ensure that a property purchased will be a good investment. Certain factors should be taken into account, namely:

- the price of the property purchased is relative to similar properties on sale in the area;
- a reputable area is likely to ensure that the property values will rise with market levels;
- value will be affected by any impending developments taking place near the property;
- the condition of the property will hint at future maintenance costs. The features of the property can add to its value and attract tenants, and
- the crime rate in the area is also an important consideration.

- **Sectional title**

A person may become a registered owner of part of a building as well as part-owner of the land and common property under the Sectional Titles Act 95 of 1986. The complex is controlled by the body corporate. The owner of any section of the building is a member of the body corporate. Management and administration of the building fall to the body corporate, which acts as a separate legal person. A property management company may be appointed to take over the responsibilities of the body corporate at a fee.

- **Property syndication**

Property syndication involves a group of investors who pool funds in order to purchase a commercial or industrial property through a company. To invest in property syndication, units are bought from the syndication management company. The units typically comprise of a share and a loan component. These units are usually for R10 000 each. The number of units acquired by one investor is limited to 25% of the overall shareholding in the property.

The income from the property is received quarterly and is paid out as a percentage of the net rental received, in proportion to shareholding. Units may be sold at a capital loss or gain depending on the market conditions. It would depend on the demand for syndications at the time of sale. When the property is sold, unitholders receive their initial loan amount and a capital profit on their shares.

Example

An R1 million property is sold after ten years for R2 million. If R1 of the initial R10 000 investment is the share and the rest is the loan account, unitholders will receive:

- R9 999 on their loan account;
- R1 for the share + a capital profit of R10 000.

Property syndications are not very liquid investments. They also respond sluggishly to new opportunities, which may increase the profit margin of the investment. Large institutional investors are usually the first to take up desired projects. The investment can be very successful if the syndication company is well organised and rolls profits from one project to another. The skills of a developer, attorney, accountant, contractor and financier are useful in this regard.

- **Retirement villages**

The percentage of the population classed as aged is increasing. The South African crime situation has also led to the security of a retirement villages becoming more attractive. However, legislation governing housing development schemes for retired people has decreased the number of units coming to the market. A developer may not receive money until the complex is certified as complete. If any money is received in advance, it must be placed in a trust account and may not be used by the developer. To secure the elderly participant's tenure, the developers must provide financial and completion guarantees.

No developer may alienate a housing interest unless the title deed has been endorsed to the effect that such land is subject to a housing development scheme. The resident's right of occupation will be favoured above the claims of all creditors. The person's right of occupation is protected even if the retired person has not already received ownership.

Only if 75% of the holders of the rights of occupation consent to the sale may a sale of land free from these rights be affected, thereafter, holders' claims are ranked above the claims of any mortgagee for the amount already paid by the retired person for the housing unit. Alienations without consent from the holders are not valid.

An income tax exemption is conferred to a company or association involved with residential accommodation, under-sale or lease, for aged persons over the age of 60 years if:

- the aged persons in question, or their spouses or dependants, exclusively occupy the accommodation;
- there is provision for a meal a day and nursing services;
- funds are used solely for investment to fulfil the obligations of the association;
- employees do not receive excessive remuneration; and
- assets remaining after winding-up must be transferred to a similarly orientated tax-exempt institution.

- **Share block schemes**

Similar to time-share, a share block scheme gives the right of occupancy in a specific section of a building owned by a company in which the investor owns shares. It is governed by the Share Blocks Control Act 59 of 1980. If the property is converted to sectional title development, residential units may be purchased. As shares are being purchased and not assets, a prospective investor would be required to take out a personal loan as opposed to a mortgage bond. It may result in higher interest rates.

- **Participation mortgage bonds**

Participation in mortgage bond schemes makes investors' money available as loans to buyers and developers of commercial and industrial property. Relatively small amounts of capital are accumulated to create a mortgage bond for not less than R20 000. The bond is a loan secured by property and is thus only indirectly a property investment.

The management company, a banking group or financial institution, collects the funds and matches them to a particular borrower. The participation bond is registered to a nominee company. The Registrar of Collective Investment Schemes must approve a set of rules written out by the scheme. The nominee company acts as the security custodian and is prohibited, by law, from incurring any liabilities. Participants have the same rights as registered mortgagees. The participation bond may not form part of the insolvent estate of the nominee company or the management company should insolvency arise.

The Collective Investment Schemes Control Act 45 of 2002 protects investors. It ensures that:

- the part bond is a first mortgage bond;
- a maximum of 75% of the value of the property may be loaned;
- a minimum investment of R1 000 and a minimum investment period of five years are stipulated;
- the debt is owed to the participants; and
- the scheme manager must submit the full particulars relating to the amounts outstanding to each scheme member.

Income is received from monthly or quarterly interest earnings and is taxable. A participation bond can be used as security for a loan. However, the capital is tied up for at least five years, and there is no capital growth on the investment.

- **Real Estate Investment Trusts (REIT)**

Before the introduction of Real Estate Investment Trusts (REITs), listed property tended to fall into two categories, namely, property loan stock companies (PLS) and property unit trusts (PUT).

These entities were subject to different regulatory controls and tax treatment. A collective investment scheme in property operated as a trust both for income tax purposes, while a property loan stock company operated as a company. A unified approach was adopted, and REITs were introduced in South Africa on 1 April 2013. The REIT is the international standard, and more than 25 countries use a similar REIT model.

South African REITs own several kinds of commercial property like shopping centres, office buildings, factories, warehouses, hotels, hospitals and, to a lesser extent, residential property in South Africa. Some REITs also invest in property in other countries. The objective of a REIT is to provide investors with steady rental income and capital growth in the underlying properties. SARS lays down the following criteria an entity must meet to qualify as a REIT. The requirements are as follows:

- the REIT entity must have a minimum amount of gross property assets (direct interests in immovable property (such as land and buildings), interests in a lease relating to immovable property, interests in a property subsidiary or holdings in another REIT) above R300 million;
- the REIT entity must solely invest in immovable property assets and collateral debt instruments, and hedges used to reduce the risk associated with property-related loans; at least 75% of its income must be for property rental;
- the REIT entity must distribute at least 75% of its profits yearly, and
- the REIT entity must not have excessive borrowings (i.e., gearing) concerning the total gross asset value of all immovable property held by that entity. Debt may not exceed 60% of assets.

The above requirements must be contained within the trust deed in the case of a PUT and in the memorandum of incorporation in the case of a PLS. In the case of PUT, the trustee will be responsible for submitting the certificate of compliance to the JSE. In the case of a PLS, the directors will be responsible.

A REIT will be exempt from capital gains tax. The holders of the shares or participatory interests in a REIT will be subject to tax. Receipts and accruals received by a REIT from financial instruments will be treated as ordinary income.

3.12.3 Property loan stock

Property loan stocks are listed on the JSE. They offer the investor the opportunity to gain exposure to the property market without the restrictions of a PUT.

The following table itemises the differences between a PUT and a PLS.

Property unit trust	Property loan stock
Must have a financial institution as a trustee.	The trustee does not have to be a financial institution – it may be an attorney or accountant.
Collective Investment Schemes Control Act governs the affairs of a PUT.	There is no equivalent legislation governing a PLS.
Must pay out all income earned over a particular year to the investors.	May elect to hold back income.
Could historically not gear more than 5% – can now gear up to 30%, which does increase the risk element.	Many options and choices are available to investors – investors can buy either shares or debentures.

Property – advantages

- It is a secure, stable long-term investment;
- Prospects of capital appreciation are high;
- Property investments provide long-term stable investments for the client;
- The risk is low and not very volatile;
- There is a lucrative second-hand market;
- Paying off a bond is an effective after-tax return of the prevailing bond rate;
- Maintenance costs may be offset against rental income, thus providing effective tax-structuring.

Property – disadvantages

- Performance is reliant on interest rates;
- Property investments are subject to capital gains tax on the sale of the property;
- Property investments have high costs, for example, transfer and legal fees;
- There are maintenance costs;
- Property investments are not very liquid, depending on demand;
- The location can be risky.

3.13 Understanding Hard Assets³¹

Hard assets can be described as those assets that do not provide income and are tangible to the investor. An example of hard assets is collectables, such as rare coins, gemstones or Kruger Rands. These investment vehicles offer the investor the opportunity to make a capital gain over a period.

Hard assets – advantages

- There are low upfront or management fees;
- Hard assets may have an aesthetic value;
- Hard assets may be used in a personal capacity.

Hard assets – disadvantages

- Hard assets are a long-term investment;
- There is not much capital growth over the short-term;
- Hard assets may be damaged by nature, for example, a fire;
- There may be capital gains tax implications;
- Liquidity depends on demand and supply;
- Costs may be high due to the insurance cost;
- Values are volatile and offer no guarantees;
- Investors may need specialised expertise.

³¹ The South African Financial Planning Handbook 2020, 20.2

KO4: Financial Instruments³²**4.1 Instruments that you find in the Money Market**

All instruments, including certificates of deposits and commercial paper, which repay the lender within a year, are called money market instruments.

4.1.1 Discounted instruments

- **Bankers' acceptance³³**

A bank acceptance (BA) is a bill of exchange drawn on and accepted by a bank. The maturity period is usually between 30 and 120 days; the most popular period is 90 days. The face value is the amount the investor will receive on maturity.

Short-term finance may come in the form of an overdraft or a bank acceptance. The interest rates will dictate which option is most cost-effective. The fixed rate of the BA is preferable to fluctuate interest rates of an overdraft. Still, if funds are needed intermittently over the 30–120-day period, an overdraft may be cheaper.

A drawer applies for a credit acceptance from a bank. The bankers accept the bills by signing across the face of the bills. The drawer can then sell them at the ruling discount rate. BAs are no longer issued or traded in South Africa, though they are used in other countries.

Example

Period of investment:	92 days
Investor nominal amount:	R1 000 000
The borrower receives:	R 980 000
The borrower pays the investor at the end:	R1 000 000
The yield on investment:	8.10%

- **Treasury Bills³⁴**

A Treasury bill (TB) involves a short-term debt issued by the government, which usually has maturities of 91 or 182 days. TBs are issued for two main reasons: to fund part of the government budget deficit and monetary policy. They are an essential source of information as interest rates on TBs serve as a benchmark indicator of money market conditions and act as a reference rate for calculating interest rates on several other money market assets. Financial institutions consider these bills as liquid assets, and because they involve government debt, they offer excellent security; they are readily negotiable and offer good short-term investment opportunities.

TBs are discount instruments. The tender is sold at a discounted rate that is worked out as a percentage per annum of the redemption price. This discount acts as an insurance of interest to be earned on a loan to the value of the discounted price paid by the investor. All prices are quoted in Rands per cent, for example, R92.61%. For every R100 face value, the purchaser must pay R92.61.

The formula used to calculate the price paid for a Treasury bill is:

$$\text{Price} = \text{Redemption value} - (\text{Discount rate} \times \text{days}/365)$$

Note: The yield the investor receives is higher than the discount rate. It is because the yield is a percentage of the purchase value, and the discount rate is a percentage of the redemption value.

³² The South African Financial Planning Handbook 2020, 16

³³ The South African Financial Planning Handbook 2020, 16.3.4

³⁴ The South African Financial Planning Handbook 2020, 16.3.1

- **Promissory Notes and commercial paper³⁵**

A promissory note is an unconditional promise in writing made by one person to another, signed by the maker who agrees to pay on demand or at a fixed or determinable future time, a certain sum to a specified person or order or bearer. A bank is usually approached to endorse the note.

Banks will accept a promissory note in lieu of funds as an alternative to overdrafts or loans. A promissory note does not affect the bank's liquid assets as these alternatives do. The bank discounts the note on the open market, and the bearer is then paid the face value. The debt will appear as a liability only on the maturity date. Banks must reflect their dealings in promissory notes on their balance sheets.

4.1.2 Interest-bearing instruments

- **Negotiable Certificates of Deposit (NCDs)³⁶**

A negotiable certificate of deposit (NCD) is issued as a receipt in bearer form for time deposits. They are liquid as a negotiable asset and offer a market-related interest rate. They are payable to the bearer but may also be made out to a specific person. The institution issuing the certificate undertakes to pay the deposit amount plus interest to the holder on maturity. They are normally issued for less than a year, but banks tailor the maturity period to the needs of their clients.

NCDs are not eligible for a rediscount at the Reserve Bank, but they remain very popular due to their higher yields, negotiability and status as a claim on a bank. The formula to calculate the value is:

$$\text{Maturity value} = \text{Amount invested} \times [1 + (\text{Days}/365) \times (\text{Rate}/100)]$$

- **Short-term debentures**

A short-term debenture is an investment where the borrower issues a certificate specifying a fixed interest and nominal investment amount to the investor. The investor provides the borrower with an amount and receives the nominal amount plus interest at maturity. These debentures are usually for three months and are issued by the Reserve Bank and other corporate companies.

4.1.3 Money market or bank deposit products

- **Notice deposits³⁷**

There is no specific due date for the deposited funds, but a period of notice must be given before withdrawing the funds. Rates are automatically increased, but investors are informed of any decreases with the same notification period before the decrease.

- **Call accounts/ deposits³⁸**

Money is deposited in an interest-bearing account and can be called back on demand. Typically, the more considerable the amount invested, the higher the interest rate. Interest rates are subject to daily fluctuations. Interest is calculated on a daily balance and paid monthly.

- **Fixed deposits**

The investor places his funds with an institution for a fixed period, for example, from three to 24 months.

³⁵ The South African Financial Planning Handbook 2020, 16.3.1

³⁶ The South African Financial Planning Handbook 2020, 16.3.6

³⁷ The South African Financial Planning Handbook 2020, 16.3.3

³⁸ The South African Financial Planning Handbook 2020, 16.3.2

- **Linked deposits**

The investor invests the money for a fixed period, but the rate is linked to the prime rate. If the prime moves up, the investor receives more interest, whereas if the prime moves down, the investor receives less interest.

- **Savings and fixed deposits**

The investor places money in a savings account with a bank and receives interest monthly.

The interest rate is not very competitive and merely offers the client a short-term solution. Savings accounts are mostly used to save small amounts and are popular with elderly investors. The investor can access the funds anytime and can even draw a cheque against the account.

4.1.4 The JSE Limited classification system³⁹

By allocating companies to specific sectors or sub-sectors, the JSE aims to create homogeneous sub-sectors so that companies in the same sub-sector can be expected to react similarly to political or economic events.

In January 2006, the JSE introduced a four-tier system to replace the old three-tier system of share classification. The four-tier system breaks the market listings down by industries, super-sectors, sectors and sub-sectors.

JSE indices

The JSE publishes information on share prices and indices each day to reflect the movement of share prices on the JSE.

An index is a barometer or indicator of the movement of share prices. It allows the individual to measure performance and make comparisons. Each sector of the JSE has an index. Various sectors are grouped into broader indices to give a broader view. The indices compare today's prices against yesterday's closing prices. The performance of one sector can be compared to another. By checking the performance of a particular share against the index for its sector, an investor can see if that share is doing better or worse than the average share of that sector.

The management and composition of the indices used by the JSE were revised in 2001 and brought into effect on 2 January 2002 to bring them into line with international standards. The indices are now called the FTSE/JSE Africa Index Series (FTSE stands for *Financial Times*). These indices are designed to measure the performance of the African market's major capital and industrial segments.

The FTSE/JSE Africa Index Series indices are in ten different categories. The indices may be grouped into the following categories:

- **Headline Indices** – Five indices make up the headline series (All Share, Top 40, Mid Cap, Small Cap and Fledgling).
- **Tradable Indices** – In addition to the Top 40, there are five other derivative indices based on the classification of companies under the FTSE Global Classification system. The FTSE/JSE Tradable Indices are calculated in real-time and published every 15 seconds.
- **All Share Economic Group Indices** – The FTSE Global Classification system consists of three classification levels; at the highest level, there are ten economic groups. The classification of the All Share Index constituents at an economic level is used to calculate the sector indices.
- **All Share Sector Indices** – The next level of the FTSE Global Classification System is Sectors. The classification of the All Share at the sector level is used to calculate the sector indices.

³⁹ The South African Financial Planning Handbook 2020, 19.4.2

- **All Share Sub-Sector Indices** – The final level of the classification is Sub-Sector. Using the classification of the All Share at the sub-sector level, the six sub-sectors that make up the Mining Sector will be calculated as indices.
- **Secondary Markets** – The South African Market has three separate secondary markets: Development Capital, Venture Capital and Alternative Exchange. Indices are calculated for these secondary markets.
- **Specialist Indices** – Several specialist indices are included. Their constituents are not limited to All Share or any specific industry sector.

4.1.5 Institutions and players in the stock market⁴⁰

The market is composed of buyers and sellers of securities. The main participants in the stock market are:

- **large financial institutions**, who are the largest buyers and sellers on the JSE Limited;
- **brokers**, who make the transactions on behalf of buyers and sellers and earn a commission. They can now act in a dual capacity as an agent and as principals;
- **government** acts in two capacities as a market regulator through legislation and as a seller of securities to raise money for the implementation of government monetary policy.

The three main categories of investors who are subsets of the above are:

- **Dealers or speculators** – The main aim of the speculator is to make a capital gain over the short to medium term. Income from dividends is seen as irrelevant. Profits made by an investor who has been termed a trader by the Receiver of Revenue are taxable in the year received. The so-called “bulls” and “bears” are the two main types of speculators. A **bull** buys shares hoping to sell them at a profit. They trade on price advances. A **bear** sells shares not possessed at the time to repurchase them at a lower price before the date of settlement arrives. They trade on price declines. Another speculator is the **stag** who buys shares offered to the public for the first time, hoping to sell them at a profit as soon as they are listed.
- **Investors** – The investor buys shares in the hope of enjoying long-term capital growth and long-term growth in dividend income. Capital profits of this nature are not taxable if they have been held as a long-term investment but are taxable as capital gains.
- **Inflation-fighting investors** may not be interested in dividend income but buy shares to protect capital against inflation. To avoid being classed as a dealer, the reason for investing should be given as a long-term investment.

Investors should remember reinvested income as share prices increase, and so do the dividends. Income growth combined with capital growth is a powerful way of accumulating capital. Investing in equities is one way of protecting one's capital against inflation. Still, a direct holding of shares is a high-risk investment that requires a good knowledge of the stock market to be successful.

⁴⁰ The South African Financial Planning Handbook 2020, 19.4.3

4.1.6 Share valuation

Valuation of equities

The basic principle affecting the fluctuation of prices of shares on the stock exchange is that of supply and demand. If the demand for certain shares is higher than the supply, one can expect those prices to rise. If the supply for certain shares exceeds the demand, one can expect those prices to fall.

Price fluctuations can also be affected by business cycles. In the upswing phase, business activity increases, and there is likely to be more demand than supply of good shares, which will generally increase the prices of shares. The downswing phase will have the opposite effect on share prices as the mood of the investors becomes more pessimistic, business activity decreases, and demand declines.

Reports and rumours can often have a sudden and dramatic effect on the prices of shares. Thus, psychological factors such as anxiety or optimism for the future can also play a part in decreasing or increasing the prices of shares.

Three major categories of equity valuation models are as follows:

- **Discounted cash flow techniques** – These models estimate a security's intrinsic value as the present value of the future benefits expected to be received from the security. In discounted cash flow calculations, benefits are often defined as cash expected to be distributed to shareholders.
- **Relative valuation models** – These models are based mainly on share price multiples. These models estimate the intrinsic value of a share from a price multiple for some fundamental variable such as earnings, dividends and cash flow.
- **Asset valuation models** – These models estimate the intrinsic value of a share from the estimated value of a company's assets minus the estimated value of its liabilities. This approach is based on the theory that the value of a business is equal to the sum of the value of the company's assets.

In a field as competitive as investment management, there is a continuous search for those factors which lead to out-performance. Such factors are, for example, shares with low price-earnings ratios and shares whose book value exceeds their share price. These models are typically constructed using historical data. Two points are often made about such models. Firstly, the past may not be repeated in the future. Secondly, if one model works, will others not use it and arbitrage the advantage away?

4.1.7 Fundamental analysis

In fundamental analysis, the analyst analyses the fundamental factors underlying a particular enterprise or company and focuses on three areas in particular, namely:

- economic trends;
- the industry; and
- the company.

This analyst makes use of ratios as an aid, which is especially useful in determining whether a company is profitable compared to other companies in the same sector. The analyst also uses various models to determine whether the expected return is sufficient compensation for the expected risk, namely:

- the expected return on a share;
- the expected internal rate of return;
- the dividend discount model; and

- proprietary in-house valuation models.

4.1.8 Technical analysis

Technical analysis is the visual study of how prices move and provide the analyst with a summary of the market perception of future price movements. There are three major factors to remember when studying modern technical analysis, namely:

- markets are inherently efficient and thus take all fundamental factors into account;
- prices move in easily identifiable trends; and
- human nature and psychology determine cycles, meaning history will always repeat itself.

Technical analysis measures the effect of certain events, while, in contrast, fundamental analysis measures the cause of an event. These are interwoven and cannot be measured independently.

There are several technical analysis theories, as follows:

- The **Dow Theory** focuses on three trends in stock markets. Volume flow confirms the direction of the trend, and a trend must be assumed to continue until there are proven signals for reversal;
- The **Elliot Wave Theory** indicates that stock markets reflect recurrent rhythms or cycles that repeat indefinitely;
- The **Kondratieff Wave Theory** identified three cycles in the US economy, each of which lasted about 50 years.

4.1.9 Random walk hypothesis

So far, we have assumed that markets price individual securities logically. Not everybody accepts this. Some argue that tomorrow's price is independent of today's or yesterday's price. A monkey throwing darts at a page of share prices is as likely to perform as well as most investment managers. It is known as the random walk theory. At the start of the century, a French mathematician, Louis Bachelier, argued in his doctoral thesis, *The Theory of Speculation*, that past, present and future events are reflected in the current market price. When changes occur, they occur randomly. The probability of prices going up is the same as that of prices going down, that is 50/50, and no one knows in which way they will move when they do change. The speculator has an equal chance of winning or losing. Mathematically, the expectation of the speculator is, therefore, zero.

Research has shown enough anomalies to cast doubt on the random walk theory. Small capitalisation shares tend to outperform large capitalisation shares. In his book *What Works on Wall Street*, James O'Shaughnessy shows that selecting shares by different criteria produces different results. Sometimes the differences are dramatic.

4.1.10 How does one calculate a fair price to pay for a share?⁴¹

Dividend yield

The last column gives the dividend yield of that share. The dividend yield is:

$$\frac{\text{dividend paid per share for the latest financial year}}{\text{share price}} \times 100$$

The D/Y column gives the company's dividend yield, that is, the cash paid out to shareholders per share expressed as a percentage of the price.

⁴¹ The South African Financial Planning Handbook 2022, 19.5

Price/Earnings ratio

The P/E ratio refers to the price per share divided by the headline earnings per share. For example, if a share is priced at 100 cents per share and earns 10 cents per share, its P/E ratio is $100/10 = 10$. The price is taken on the publication date, and the earnings are given annually in the company's financial statements. The result of this calculation is to show the number of years' future earnings that are bought today. You may pay more for the share because you believe it will produce substantial earnings in the future.

For example, the P/E column gives the price/earnings ratio of the share. It is the company's current price divided by the headline earnings per share. Remember that the P/E is based on historical earnings and is a number which indicates the number of years' earnings it would require to "pay for" the share at its current price. However, what often interests investors are future earnings.

The P/E ratio can also be calculated by dividing 100 by the earnings yield.

Earnings yield

The earnings yield is the inverse of the P/E ratio and shows the yield percentage at the current share price:

$$\frac{\text{earnings per share}}{\text{share price}} \times 100$$

Earnings per share

Earnings per share (EPS) are the total earnings divided by the number of shares outstanding. Earnings per share are generally considered to be the single most crucial variable in determining a share's price. It is also a major component of the price-to-earnings valuation ratio. EPS is the profit attributable to ordinary shareholders divided by the weighted average number of shares. It is the profit attributable to the holder of one ordinary share.

4.1.12 Instruments for Hard Assets

4.1.12.1 Rare coins

The collection of rare coins is very exclusive and demands a high level of expertise. Coins are valued according to age but could also have valuable minerals. Imported coins are subject to value-added tax.

4.1.12.2 Gemstones

Gemstones are aesthetically appealing, rare, durable and of high quality. These characteristics distinguish them from minerals. Ninety of the three thousand minerals have attained investment status. The ten most popular stones for collection are:

- diamonds;
- rubies;
- emeralds;
- sapphires;
- tsavorite;
- aquamarine;
- tanzanites;
- blue tourmalines;
- red tourmalines; and
- green tourmalines.

4.1.12.3 Gold

Many South Africans have invested in gold for years as a hedge against inflation and political uncertainty. Traditionally they did this by buying Kruger Rands.

The value of Kruger Rands is determined by several factors, including the dollar price of gold.

They are more secure than direct investments in gold and mining companies as their value is unaffected by local disturbances. The rand/dollar exchange rate and the premium at which the coins trade above the value of their bullion content also impact price.

The number of coins minted by the Reserve Bank determines the premium; the fewer coins in circulation, the higher the premium. The one-ounce denomination is the most sought-after.

Gold is purchased to hedge against the rand's declining value on international markets and inflation. Today it is also possible to buy gold bullion in bar form. Previously, it was illegal for South Africans to do this.

4.1.12.4 Futures contracts

The investor can buy commodities utilising futures contracts for agricultural and mining activities.

The investor does not have to take delivery of his purchase and can sell it without owning it.

What to look out for when investing in hard assets

- It is essential to do proper research, and it is advisable to consult a professional before a hard asset is purchased;
- Investors should be wary of unscrupulous dealers;
- Investors must be patient as the asset may take a long time to appreciate;
- Investors should at least like what they buy and make sure it suits their lifestyle.

Summary

A financial market is a broad term describing any marketplace where buyers and sellers participate in trading assets such as equities, bonds, currencies and derivatives. Financial markets are typically defined by having transparent pricing, basic regulations on trading, costs and fees and market forces determining the prices of securities that trade.

A financial instrument is a real or virtual document representing a legal agreement involving some monetary value.

In today's financial marketplace, financial instruments can be classified generally as:

- equity-based, representing ownership of the asset; or
- debt-based, representing a loan made by an investor to the owner of the asset.

Foreign exchange instruments comprise a third, unique type of instrument.

In consolidating these principles, the effectiveness of the SSA can be measured by how well it delivers on the three core objectives of securities regulation, namely:

The protection of investors.

- Ensuring that markets are fair, efficient and transparent;
- The reduction of systemic risk.

The Securities Services Act No. 36 of 2004 (SSA) took effect on 1 February 2005. It governs the regulation of securities services in South Africa to include:

- Securities exchanges;
- Central securities depositories (CSDs);
- Clearinghouses and their respective members.

P/E Ratio

It is the company's current price divided by the headline earnings per share.

Remember that the P/E is based on historical earnings and is a number which indicates the number of years' earnings it would require to 'pay for' the share at its current price.

It is the current price of the share divided by the headline earnings per share.

$$\text{P/E Ratio} = \frac{\text{Current share price}}{\text{Earnings per share}}$$

A high P/E ratio indicates that investors expect the company to do well in future.

The dividend yield

The **DY column** gives the dividend yield of that share. The dividend yield is:

$$\frac{\text{Dividend paid per share for the latest financial year}}{\text{Share price}} \times 100$$

The D/Y column gives the dividend yield of the company, i.e. the cash paid out for shareholders per share, expressed as a percentage of the price.

There are three approaches to valuing a share, namely:

- fundamental analysis;
- technical analysis; and
- random walk hypothesis.

How does one calculate a fair price to pay for a share?

The method that is used is called the price-earnings-to-growth ratio (PEG). The formula to calculate this is as follows:

$$\text{PEG} = \text{Price-earnings ratio of share} / \text{Historical growth rate of share.}$$

A PEG ratio of 1 is considered the fair value, and a ratio of 1,25 and more would indicate that the share is overpriced. A ratio of 0,75 or less would indicate that the share is underpriced.

How to calculate the coefficient of variation

The coefficient of Variation is expressed as the ratio of standard deviation and mean. It is often abbreviated as a CV. The coefficient of variation is the measure of the variability of the data. When the value of the coefficient of variation is higher, the data has high variability and less stability.

When the value of the variation coefficient is lower, the data has less variability and high stability.

The formula for the coefficient of variation is given below:

$$\text{The coefficient of variance} = \frac{\text{Standard deviation}}{\text{Mean}}$$

What to look out for when investing in hard assets

- It is essential to do proper research, and it is advisable to consult a professional before a hard asset is purchased;
- Investors should be wary of unscrupulous dealers;
- Investors must be patient as the asset may take a long time to appreciate;
- Investors should at least like what they buy and make sure it suits their lifestyle.

Unit 2: Self-Assessment

Please note that the questions which follow are formative.

1. Explain your understanding of a debenture and describe the general features of a debenture.

2. Explain the price-earnings ratio. Why would it be essential to understand the application of price-earnings ratio?

3. Explain why you would expect a “value” share to have a lower P/E ratio than a “growth” share.

4. Mr X is thinking about investing a relatively modest amount in shares of one of two companies listed on a specific sector of the JSE Securities Exchange. He produces a recent media report, which provides the following information about the shares of the companies he is interested in:

	Share A	Share B
Historical P/E ratio	12,0	12,0
The anticipated future rate of return on the current market price	25,9%	18,6%
Standard deviation	12,4%	9,6%

He wants to buy the share that has the lowest risk. By using all the above figures, briefly explain to him why he should buy either share A or share B. Show any calculations.

5. List at least 5 instruments that you find in the Money Market.

6. Explain your understanding of the Capital Market in your own words.

7. There are two ways of investing in property. Give a brief description of each.

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Unit 2: Self-Assessment: Answers

Please note that the questions which follow are formative.

1. Explain your understanding of a debenture and describe the general features of a debenture.

A debenture is a promise to pay interest and principal, but they promise no specific assets as collateral if the firm does not fulfil its promise.

General features

A debenture is like a bond, but the borrower is a company (to finance specific projects). So the holder of the debenture (buyer) does not take part in the profits or losses suffered by the company.

Like a bond, the description of the debenture has three indicators:

- the coupon rate, which indicates the annual interest income per R100 nominal capital value (face value);
 - the name of the company that issued it;
 - the year(s) in which redemption of the capital amount borrowed, will take place.
2. Explain the price-earnings ratio. Why would it be essential to understand the application of price-earnings ratio?

Price-earnings ratio (P/E Ratio)

It is the current price of the share divided by the headline earnings per share. The P/E ratio indicates the number of year's earnings it would require to "pay for" the share at its current price.

$$\text{P/E Ratio} = \frac{\text{Current share price}}{\text{Earnings per share}}$$

A high P/E ratio indicates that investors expect the company to do well in future.

3. Explain why you would expect a "value" share to have a lower P/E ratio than a "growth" share.

A "growth" share is one that is expected to grow in the future by increased earnings or perhaps a take-over or merger of the company.

A value share is a share of a (mature) company, which is deemed to be more stable.

The market expectation of future growth in the earnings of mature companies is generally low, and the market rating (market price of the share) is thus typically lower than that of a growth share.

4. Mr X is thinking about investing a relatively modest amount in shares of one of two companies listed on a specific sector of the JSE Securities Exchange. He produces a recent media report, which provides the following information about the shares of the companies he is interested in:

	Share A	Share B
Historical P/E ratio	12,0	12,0
The anticipated future rate of return on the current market price	25,9%	18,6%
Standard deviation	12,4%	9,6%

He wants to buy the share that has the lowest risk. By using all the above figures, briefly explain to him why he should buy either share A or share B. Show any calculations.

Answer:

Calculate coefficient of variance:

$$\text{Coefficient of variance} = \frac{\text{Standard deviation}}{\text{Mean}}$$

Share A: $12,4\% \div 25,9\% = 0,48$

Share B: $9,6\% \div 18,6\% = 0,52$

The factor for A is lower than the factor for B, and, assuming all other variables to be the same, she should buy A shares as they offer lower risk.

5. List at least 5 instruments that you find in the Money Market.

- Discounted instruments:
 - Bankers' acceptance;
 - Treasury Bills;
 - Promissory Notes and commercial paper.
- Interest-bearing instruments:
 - Negotiable Certificates of Deposit (NCDs);
 - Short-term debentures.
- Money market or bank deposit products:
 - Notice deposits;
 - Call accounts/ deposits;
 - Fixed deposits;
 - Linked deposits;
 - Savings and fixed deposits;
 - Debit cards.

6. Explain your understanding of the Capital Market in your own words.

The capital market refers to investments that have a lifespan of between 3 and 30 years. There are various capital market instruments available in South Africa, e.g. bonds paying a fixed rate of return, zero-coupon bonds and inflation-linked bonds. The capital market consists of the primary market and the secondary market. Newly formed (issued) securities are bought or sold in primary markets. Secondary markets allow investors to sell securities that they hold or buy existing securities.

7. There are two ways of investing in property. Give a brief description of each.

Direct property investment

Investors can buy the freehold of a property, in which case they assume the role of landlord. Subject to planning laws and restrictions, the freeholder can develop the property in order to make it as attractive as possible to potential tenants and leaseholders.

Indirect property investment

Because it is challenging to create a well-diversified portfolio of property investments via direct holdings, and because direct property holdings require maintenance and are thus very costly to manage relative to a well-diversified portfolio of ordinary shares or bonds, many small investors prefer to access the commercial property via indirect property holdings. With these indirect holdings, professional property managers assume the burden of managing the property portfolio and investors can obtain smaller holdings in the broader range of property types and locations.

Introduction

The importance of asset allocation was highlighted in the previous section, which is the primary determinant of how an investor's portfolio will perform. Once this decision has been made, the investor can decide which investment vehicles will be used to achieve their investment objectives. Surprisingly, most investors start by chasing several investment vehicles in which to invest and leave the most critical decision, asset allocation, to chance. This wide array of investment vehicles can confuse a potential investor, and care and diligence need to be exercised in chasing the right vehicle. An Investment Vehicle is a product used by investors to have positive returns.

An investment vehicle should not be confused with an asset class. An investment vehicle is merely the basket in which the various asset classes are invested. For example, a person may invest in equities through direct shares, a collective investment scheme, an endowment, a retirement annuity or a living annuity. Investors often get confused between these two concepts and comment, "my retirement annuity is not performing". The distinction between the two must be made clear.

A practical example may help to clarify this point. Over the past 116 years, South African equities have given an annual average return of over 12%. However, there have been periods when returns have been negative. Over these periods, an investment in cash or bonds would have outperformed an investment in equities. Extend the comparison to a ten-year term horizon, and the position will likely look quite different. With the best will in the world, an equity fund will not do well in a period when markets are in decline. Likewise, no matter how competent a fixed interest manager may be, they will likely outperform an equity manager over the long term.

Investment vehicles can be low-risk, such as certificates of deposit (CDs) or bonds or carry a higher degree of risk, such as stocks, options and futures. Other investment vehicles include annuities, collectables (art or coins, for example), mutual funds and exchange-traded funds (ETFs).

The term "investment vehicle" refers to any method by which individuals or businesses can invest and grow their money. There is a wide variety of investment vehicles, and many investors choose to hold at least several types in their portfolios. It can allow for diversification while minimising risk.

We will be discussing the following investment vehicles:

- RSA Retail Bonds;
- Collective Investment Schemes;
- Linked and market-related Investments;
- Investment trusts;
- Guaranteed products;
- Multi-Manager funds;
- Interest-Bearing Investments;
- Insurance as an Investments;
- Shipping Containers;
- Hedge Funds;
- Exchange-Traded Funds;
- Contracts for Difference;
- Foreign/International Investments.

KO1: RSA Retail Bonds⁴²

In 2004 the Government of South Africa, through the National Treasury, started issuing Retail Bonds to the general public. In November 2018, the following interest rates applied to retail bonds:

2 years	8.25%
3 years	8.75%
5 years	9.25%

National Treasury also issues inflation-linked bonds. The applicable real rates as of November 2018 were as follows:

3 years' inflation 2.5%

5 years' inflation 2.75%

10 years' inflation 3%

Investors can withdraw from the investment before the maturity date. The following rules apply to withdrawals:

- After 12 months, you will pay a penalty equal to a percentage of the interest calculated on the amount withdrawn, which will be deducted from your amount. A balance of R1 000 should remain if the total investment is not withdrawn.
- Within the first year, only in extraordinary circumstances. You must write a letter to the National Treasury to motivate this early withdrawal. A penalty will be deducted from the amount payable to you on such an early withdrawal. The penalty shall be a total forfeiture of all interest accrued and/or previously paid to you on the amount to be withdrawn.
- An investor can nominate one or more beneficiaries on death. The nominated beneficiary will be paid out the capital balance on that date.
- Suppose an RSA Retail Bond owner dies before the expiry date of the saving without nominating a beneficiary. In that case, the ownership of their investment shall, at the executor's request, either be transferred to the deceased estate or paid in full to an account determined by the executor. If the RSA Retail Bond owner had nominated a beneficiary, it would be paid to that beneficiary.
- Investors over the age of 60 may draw interest on their existing fixed-rate bonds.

The introduction of inflation-linked bonds gives investors added flexibility as they can decide whether traditional bonds compensate them for inflation risk or not.

The government introduced these retail bonds geared to smaller investors to encourage saving. The interest rates are competitive, especially for smaller investors and compare favourably with fixed deposits issued by banks. The other advantage is that these bonds are available in small denominations, a minimum of R1 000 per bond. However, there is a limit to how much an individual may invest in them, namely, R5 million. Only South African citizens or permanent residents can purchase the bonds.

Treasury now also offers retail investors inflation-linked retail savings bonds for three, five and ten years. The capital value of the bond is adjusted for inflation every six months. The interest earned is then calculated on the adjusted value. At maturity, the investor is paid out the inflation-adjusted value of the bond.

⁴² The South African Financial Planning 2019, 22.3

The interest rates on the RSA Retail Bonds are priced off the bond yield curve. The prevailing interest rate of the retail bond will be fixed from purchase until maturity. If rates move more than 50 basis points during a month, new rates will be determined for the following month. The new rates will be published on the RSA

Retail Bonds website and in the newspapers. The public can buy two-year, three-year or five-year maturity retail bonds. They can also combine these three bonds with a minimum of R1 000 per bond.

KO2: Collective Investments⁴³

It will be covered in detail in a separate subject. We will refer to it as an investment vehicle in this chapter.

The unit trust industry in South Africa came about in 1965 when Louis Shill from Sage group launched the first unit trust. The original shareholders in the first fund were Liberty, Nedbank, Industrial Underwriting Ltd, Liberty Chairman, Donald Gordon, Louis Shill and some of their friends.

2.1 Structure of a collective investment scheme

A collective investment scheme pools the money of several investors who want to invest in shares, bonds and money market instruments. The total fund is then divided into individual units containing the same portion of assets as the fund. The collective investment schemes concept offers full-time management by professionals. It allows investors to benefit from investing in a diversified portfolio, even if investing a small amount.

The investor may purchase participatory interests in a collective investment scheme portfolio and, by so doing, participate proportionately in the income or profits of that managed portfolio. A portfolio usually consists of quoted shares but may include fixed-interest securities and cash. The price of a participatory interest is directly related to the underlying value of the trust's assets. As these are mainly shares on the stock market, each participatory interest's value fluctuates with the price change of its shares.

After management fees have been taken, a collective investment scheme distributes all its income in dividends and interest to its investors. Capital growth of the participatory interests is linked to the capital growth of the shares held in the collective investment scheme portfolio. Such investment provides an investor with professional portfolio management at a low cost and with a well-diversified portfolio to limit risk.

Capital profits realised when underlying units are sold unlikely to be taxed as income. This kind of investment is usually made on a long-term basis but will be subject to capital gains tax. Taxation would be according to standard tax principles. For further information, consult the chapters on tax.

Different collective investment schemes' objectives vary to include capital and income growth through dividend distributions. Some investors may require growth and income from their collective investment schemes. Collective investment schemes offer a higher degree of security than a direct share investment. They also offer the prospect of long-term superior performance. Investors share in the gains, losses, income and expenses of the fund proportionately. The management company decides on the minimum investment amount, which can be as low as R100 per month. The fund's value fluctuates according to the value of the underlying securities.

South Africa was experiencing an average growth rate of 5.6% per annum at the time, and unit trusts offered the man in the street an opportunity to access the growing equity market. Unfortunately, this industry took a knock when the JSE share prices declined in 1969. Due to a lack of knowledge and understanding of equity investments, many investors burnt their fingers

⁴³ The South African Financial Planning 2019, 22.4

and lost a great deal. Investors were borrowing to fund additional investments, which led to increased debt and negative returns.

A Collective Investment scheme is a fund operated by a trust company or a bank and handles a pooled group of trust accounts. Collective investment funds combine the assets of various individuals and organisations to create a more substantial, well-diversified portfolio. The following are two types of collective investment funds:

- **A1 Fund:** A fund of grouped assets contributed by either the holding bank or affiliated banks for the exclusive purpose of investment and reinvestment;
- **A2 Fund:** A fund of grouped assets contributed by pension, profit sharing, retirement, or other trusts that are exempt from income tax.

The idea of a collective fund is to lower costs through economies of scale by combining pensions and profit-sharing funds. These pooled funds are grouped into what is known as a master trust account under the control of the bank, which acts as trustee, guardian, executor or administrator.

Diversification – Unit Trusts represent a basket of shares, commodities or properties and provide broad exposure rather than the focused exposure of underlying share trading.

Liquidity – Unit Trusts can be bought and sold daily, which means your investment is always available should you need it.

Accessibility – Unit Trusts can be traded using your Provider Unit Trust account as a once-off transaction or via monthly debit orders.

Flexibility – Your Provider offers you access to a wide range of Unit Trusts from several different providers, including PSG Fund Management, Allan Gray, Coronation and Investec. Unit Trusts do not restrict you to funds from one management company.

Tax Efficient – Unit Trust managers may trade within the unit trust portfolio without becoming liable for any income tax on profits. Long-term investors can, therefore, benefit from active and frequent trades on the part of the fund manager while only becoming liable for Capital Gains Tax (CGT).

Transparency – Unit Trust owners know exactly what stocks or underlying assets they hold and their value.

Long-Term Savings – Unit Trusts work very well within a retirement portfolio - such as a Retirement Annuity (RA), Pension - or Provident Fund. That allows you all the tax benefits of a retirement fund with the added advantage of choosing your underlying fund managers.

Income – Because the underlying assets earn dividends or interest, you can receive an income from your Unit Trust portfolio without reducing your total investment.

Costs – You can make a once-off purchase into a Unit Trust or monthly debit order. If you wish to make a once-off purchase, you must deposit funds into your collective investment scheme account before making the purchase. Debit orders are collected monthly from your bank account.

Unit Trust investing costs vary depending on your choice of collective investment scheme. Collective investment schemes also charge performance fees when outperforming an established benchmark.

2.2 The structure of a collective investment scheme

Legal entities

Each collective investment scheme has three legal entities: the fund, the trustee and the management company.

The fund

The fund consists of the cash contributions of the investors. The cash pool is invested in shares, cash, bonds and property. The fund cannot be declared insolvent. It can only be liquidated to payout unitholders.

The trustee

A trust deed governs collective investment schemes under the authority of the Financial Sector Conduct Authority (FSCA). Collective investment schemes are obliged to appoint a trustee to exercise fiduciary control. A bank usually takes up this position.

The trustee is the custodian of all cash and securities within the fund. The fund's assets are held in the trustee's name. The appointed trustee ensures that the fund is managed within the specific terms of the trust deed. The trustee's job is to protect the investor from the misappropriation of funds.

The deed specifies the goals of the fund. The deed shows the charges and fees paid to the management company. The pricing and details of the formula for unit pricing are also set out.

The management company

This body acts as the administrator of the fund. A team of investment managers, either working within the company or outsourced, make the investment decisions and control the buying and selling of securities. The collective investment scheme manager charges a once-off fee at entry and an annual administration fee. The annual charges of specific collective investment schemes vary with the performance of the underlying portfolio.

Asset manager

The asset manager of a collective investment scheme may be part of the CIS manager, or it could be a separate company. The CIS company often outsources the portfolio's management to an outside manager. A team of analysts or researchers would typically back up the asset manager. In the past year, there has been a good deal of debate about the advantages of investment houses with in-depth support *vis-à-vis* smaller boutique management houses.

Fees

Collective investment scheme management companies normally levy management fees at a rate of 1% per annum, plus vat, of the average monthly market value of the portfolio.

Fee prices are now more flexible than they have been in the past. Some funds now link the fee charged to the performance of the fund. The management company can only deduct management fees from the accrued income of the fund and not the capital invested.

Broker's fees are part of the initial fees charged by the management company. These comprise about 3% of the initial investment. This amount usually decreases as the size of the investment increases.

There has been an international move towards the direct buying and selling of collective investment schemes. It can be done through the internet, toll-free numbers or direct desks at the collective investment scheme management company.

There appears to be a growing resistance to paying broker's fees, and some companies have chosen the route of direct selling. The Insurance Brokers Council have reacted strongly in light of their members' livelihoods being threatened. They also point out that consumers will not get a better deal as they will not get the advice brokers to offer. Some collective investment scheme companies rely on brokers to bring them business and are thus reluctant to alienate them by introducing direct desks.

Brokers' commissions are negotiable. Investors can ask for a discount. Some collective investment scheme companies have toll-free numbers with consultants who answer questions on collective investment schemes and also sell collective investment schemes. They can discount the initial fees by up to 1.5% if asked to do so.

Collective investment scheme management charges were deregulated in June 1998.

New funds created after that date were permitted to set their fees, and they notified unitholders of those fees. Existing funds were only allowed to alter their fees with unitholders' approval. Unitholders were not in favour of increased fees.

Consequently, in April 2000, further deregulation occurred. Existing funds had to maintain their old fee structure for existing unitholders (Class R fees) but could introduce a different scale of fees for new investors (Class A fees).

A different fee structure applies to institutional or wholesale clients, i.e. class B and C fees.

A management company may, therefore, have four or five sets of charges for its collective investment scheme funds. These could vary from 0.25% per annum to 1.5% per annum. In some cases, performance fees may also be charged if an agreed benchmark is exceeded.

This variation in fees applies not only to management fees but also to initial charges.

KO3: Linked and market-related investment⁴⁴

Linked product managers invest funds in collective investment schemes on behalf of their clients. They do not manage the collective investment schemes. They act as intermediaries between the client and the collective investment scheme manager. LSPs must register with the FSCA in terms of the FAIS Act. In terms of this Act, they are required to submit annual audited statements together with an auditor's report and satisfy requirements in terms of solvency and insurance cover. Linked product companies came into being in the late 1980s. Many investors were frustrated with the inflexibility of traditional investment products. People were also becoming increasingly unhappy about the lack of transparency concerning fees and charges.

The linked product concept involves the creation of several "traditional" investment products, such as retirement annuities, pension funds, provident funds, guaranteed products and savings schemes. These products are then invested in collective investment schemes. Their performance is, therefore, linked to the performance of the underlying units.

In May 1998, the Linked Investor Service Providers Association (LISPA) was formed. The purpose of this body is to represent its members on matters of legislation and in their dealings with other financial and investment associations.

Linked product managers invest funds in collective investment schemes on behalf of their clients. They do not manage the scheme. They act as intermediaries between the client and the collective investment scheme management company. Linked product companies must be registered with the Financial Services Board as they fall outside the jurisdiction of the Collective Investment Schemes Control Act. The Securities Services Act No. 36 of 2004 governs them.

Linked product companies came into being in the late 1980s. Many investors were frustrated with the inflexibility of traditional investment products. People were also becoming increasingly unhappy about the lack of transparency regarding fees and charges.

UAL Merchant Bank introduced linked products to offer products that would enable investors to arrange their investments according to their needs and objectives. They also decided to give investors the power to adjust their portfolios following their changing needs.

The life assurance industry had to respond to the changes in the investment market or miss a large portion of their income. Many of these companies have since launched their range of linked products in response to the threat coming from linked product companies.

⁴⁴ The South African Financial Planning 2020, 22.5

The linked product concept involves the creation of several “traditional” investment products like retirement annuities, pension funds, provident funds, guaranteed products and savings schemes. These products are then invested in collective investment schemes. Therefore, their performance is linked to the underlying units' performance.

Linked products can be classified into three broad categories:

3.1 Equity-linked endowment

It is another way that investors can buy a share in a professionally managed and diversified portfolio. Investment trusts are, in fact, closed-end investment companies because their basic capitalisation is limited or closed. These companies sell shares to raise capital but use the proceeds to purchase securities of other companies.

After the initial offering, the shares of the closed-end company are bought and sold on regulated stock exchanges. Investment company shares rarely trade at asset value but market prices either at a discount of asset value or at a premium.

The net asset value of closed-end companies is published regularly, based on the market values of the shares it holds at the end of the week. By buying shares at a net asset value discount, the investor hopes to increase the return as the size of the discount value varies over time.

It is a more complex and riskier investment than collective investment schemes.

3.2 Pure collective investment scheme investments with the switching facility⁴⁵

Investors can place a lump sum or regular monthly investment with a linked product company. Linked product companies buy units in bulk from collective investment scheme management companies. It allows the company to negotiate better charges and switching fees with the relevant management companies than individuals have the power to obtain.

Investors can then invest in any of the collective investment schemes on offer. The linked product company offers investors a broad spectrum of investment options under one administrative umbrella.

This option offers a hands-on approach to the investor, allowing him or her the freedom to change the investment portfolio as desired.

A linked product company allows an investor to switch between collective investment schemes at a lower cost than would be applicable in a typical buying and selling transaction.

If one compares the fees of a linked product with those of a collective investment scheme, the following points need to be made.

- Both charge an initial fee, with the fee reducing the amount invested increases.
- A collective investment scheme company charges an annual management fee. A linked product company charges an annual administrative fee of up to 1% per annum. It is on top of the management fee charged by the collective investment scheme. Once again, the fee is reduced as the amount invested increases.
- A linked product company charges a fee to switch from a collective investment scheme to a collective investment scheme of 0.25% plus VAT. Switching within a collective investment scheme family usually is free of charge if the investor is switching between like funds, e.g. equity to equity. An investor switching from a money market or bond fund to an equity fund will incur additional charges as the initial front-end loading would have been less.
- Switching units from one management company to another is expensive, as a new set of charges must be incurred.

⁴⁵ The South African Financial Planning 2020, 22.5.1.1

3.3 The typical fees for a linked general investment product would be as follows:

- An initial administration charge of up to 2.5%. It is reduced on a sliding scale as the amount invested increases;
- An initial service fee of up to 2.5% per annum; this is flexible;
- An annual administration fee of 0.5% per annum;
- An annual service fee of 0.5% per annum;
- All fees would be subject to VAT;
- Fees do vary and need to be re-checked regularly.

3.4 Advantages and disadvantages of linked products⁴⁶

Linked products allow an investor to control his investments more easily and flexibly. In the past, an investor would purchase a fund from individual management companies. They now have the facility to buy a complete range of funds from various management companies.

The popularity of linked products is due to the many **advantages** that they offer to investors:

- Low-cost exposure to a broad spread of shares;
- A professionally managed portfolio;
- Guaranteed liquidity;
- Tax benefits;
- Long-term inflation-beating returns;
- Lower initial charges;
- A higher degree of flexibility;
- Phase in option;
- Full disclosure of costs.

Some of the **disadvantages** that an investor may face include the following:

- Higher annual service fees, as one fee is paid to the linked product company and another is paid to the collective investment scheme management company;
- Abuse of switching from fund to fund by trying to time the market or following the top performers will reduce returns;
- Complicated pricing structures exist and vary from company to company. Fees also vary from making “standard fees” a generalisation, which is not always accurate.

⁴⁶ The South African Financial Planning 2020, 22.5.2

KO4: Investment Trusts⁴⁷

Investment trusts are holding companies that make their shares accessible to be traded on the JSE.

Investment trusts differ from collective investment schemes in the following ways:

- they are available through a holding company; financial institutions offer collective investment schemes;
- costs are lower;
- trading is done only through a stockbroker, not a financial intermediary or the holding company;
- they are controlled by the Companies Act, not the Collective Investment Schemes Control Act;
- investment trust values are quoted on the JSE Limited; collective investment schemes are not;
- investment trusts are classed as closed-ended funds. It means there is a limit to the number of shares available, and invariably there has to be a willing seller for an investor to buy shares. Collective investment schemes are open-ended. There is no limit to the number of shares available as the investor's money is used to purchase more securities;
- no limitations are placed on the holdings – both listed and unlisted shares can be held in any quantity; and
- all proceeds and distributions are paid as dividends out of after-tax income. There is no interest portion as with a collective investment scheme that pays the pre-tax investor income.

Investment trusts offer the same diversity and accessibility to different securities as collective investment schemes. However, they are more flexible in that they are not governed as strictly as collective investment schemes. The costs are also lower as no initial charges are levied. However, when buying investment trusts via JSE Limited, normal brokerage and compulsory charges will have to be paid.

Investment trusts can invest in several listed and unlisted securities.

An investment trust is a listed company and shares are traded on JSE Limited. Shareholders do not have rights over the holding company's assets, and all securities are held in the name of the trust. The holding company is obliged to hold an annual general meeting of shareholders to adopt the company's financial reports.

The trust is closed-ended, so an investor must have a seller to buy shares. The holding company offers no guarantee on the buy-back of shares, and the price of shares directly results from demand and supply. The proceeds from stock sales are used to buy securities of other firms.

The only way the shares in an issue can grow is through a rights issue. Existing shareholders have the first right to buy the newly issued shares, and those not taken up are then offered to the general public. The share price does not mirror the underlying value of the investment trust. Shares can trade at a discount or premium to the nett asset value.

The fact that the price of the investment trust differs from its net asset value introduces an added source of risk and potential return.

⁴⁷ The South African Financial Planning 2020, 22.6

Net asset value is calculated by aggregating the market value of the individual shares and securities held by the trust and then dividing by the number of shares issued.

Due to their nature, collective investment schemes are not allowed to borrow money or write future contracts. Investment trusts can raise capital through the issuing of ordinary shares and by taking on debt. They can borrow by raising a commercial loan. Borrowing, however, increases the portfolio's risk and the skills the portfolio manager needs.

Some years ago, investment trusts made their investments available through a share plan whereby an individual could invest a regular amount into the trust, much like a monthly plan placed with a collective investment scheme manager. However, the tax authorities refused to apply capital gains tax for investment trusts in the same way as it was applied to unit trusts. What this meant, in effect, was that investors in investment trusts paid capital gains tax twice. The trust was taxed on the capital profits it made in its portfolio, and investors paid tax on the capital gains it made when it sold its units. Collective investment schemes do not pay capital gains tax on the gains made in their portfolio. Instead, the investor pays capital gains tax when he realises his units. It is, therefore, not surprising that investment trusts have all but disappeared from the South African investment scene. They are still prevalent in the United Kingdom. However, because they can borrow, use derivatives and are less regulated, they are generally considered riskier than collective equity investments. In recent years many investors suffered massive losses of capital in investment trusts.

Investment trusts are no longer quoted as a separate sector on JSE Limited. However, some companies hold a diversified portfolio of significant companies that give broad exposure to the South African economy and market. An example would be a share like Remgro, which is listed in the diversified industries sector. Often such companies trade at a significant discount to their net asset value and can offer an investor an attractive entry into a professionally and actively managed portfolio of companies.

K05: Guaranteed Products⁴⁸

Guaranteed products are usually linked to a long-term insurance policy, such as an endowment policy or sinking fund. Certain guaranteed products guarantee the initial capital sum invested as well as the growth on a specific index or indices. These indices can be either local or offshore. The guarantee on the returns can sometimes be geared up to a factor of the index or indices.

During volatile times investors wonder if they should place their money on call and reinvest when the time is appropriate. The problem is that they never know when the appropriate time is to get back into the stock market. For example, between 1982 and 1990, the Standard and Poor index grew at 18% per annum. However:

- if you were out of the market on the ten best-performing days, your return declined to 12%;
- if you missed out on the 20 best-performing days, your return declined to 8%;
- if you missed out on the 30 best-performing days, your return declined to 5%.

Only 4% of trading days generated 80% of the returns.

A possible solution is to invest in a product that guarantees you against capital loss but provides you with some participation in stock market growth. These products are favoured during volatile times in the stock market.

⁴⁸ The South African Financial Planning 2020, 22.7

There are several guaranteed products available on the market. These amounts are usually invested for a fixed period, generally from three to ten years, although investment for five years seems to be the norm.

Guarantees must be paid for, generally via reduced returns. However, some will be happy to pay this premium for the peace of mind it brings. These products are particularly useful if the investor does not want to be out of the market but is nervous about suffering a loss of capital.

Guaranteed products allow the peace of mind of knowing that, in nominal terms, your capital will remain intact while still participating in the market.

In recent years some structured products have offered to finance the guarantees by asking the investor to forego the dividend return on the investment. The typical term for these investments is five years. Investors should be aware of the importance of dividends in arriving at total equity returns. For example, from 1961 to 2006, the SA equity market gave a total return of 18,9%. Of that return, 4,9% consisted of dividends. If one looks at five-year rolling returns on JSE Limited since 1961, one notes that the market gave a negative return in no five-year rolling period.

Certain guaranteed funds that have matured in recent years merely paid the client back the guaranteed amount.

KO6: Multi-Manager funds⁴⁹

Multi-manager management may be the association of several unrelated managers who each manage a portfolio strategy, style or asset. The overall manager is responsible for the performance of the total or aggregate portfolio. For example, a multi-manager might split the total portfolio between a growth manager, value manager, small company manager, financial sector manager and international manager.

Each blended multi-manager solution must be structured to target a specific market segment and achieve maximum return at the level of risk specified for the product or specific fund within the product umbrella.

In this section, we discuss the reason for multi-manager management. We look at the multi-manager management process. We then look at the various multi-manager products offered on the South African market. We also examine the factors that determine multi-manager management performance.

Multi-manager management should be distinguished from a multi-strategy management approach. In a multi-strategy operation, a single manager divides the portfolio that they manage into various assets or market segments. For example, 50% of the portfolio may be invested in growth companies, 30% in value companies and 20% in small-cap companies.

A market segment may be defined as a group of shares that share similar characteristics and tend to perform as a group over several economic and market cycles. Proponents of multi-strategy management argue that this approach is cheaper than a multi-manager approach as only one set of management fees is incurred.

⁴⁹ The South African Financial Planning 2020, 22.8

KO7: Equities⁵⁰**7.1 What is a share or equity?⁵¹**

Each share represents part ownership in a company. In return for investing capital in the company, shareholders are entitled to certain rights. These rights may include some or a combination of the following rights:

- The right to a cash dividend out of the company profits when declared by the company;
- The right to share in the ultimate benefits flowing from reinvested earnings;
- The right to attend the company's annual general meeting, ask questions and vote on resolutions;
- The right to elect the board of directors of the company;
- The right to share in any proceeds if a company is dissolved.

Equity is money that is invested in a firm by its owner(s) or holder(s) of common stock (ordinary shares) but which is not returned in the normal course of the business. Investors recover it only when they sell their shareholdings to other investors or when the firm's assets are liquidated, and proceeds are distributed among them after satisfying the firm's obligations.

An equity instrument is a document that serves as legally enforceable evidence of the right of ownership in a firm, such as a share certificate (stock certificate).

7.2 Factors influencing share prices⁵²

The basic principle affecting the fluctuation of prices of shares on the stock exchange is that of supply and demand. If the demand for certain shares is greater than the supply, one can expect those prices to rise. If the supply for certain shares is greater than the demand, one can expect those prices to fall.

Price fluctuations can also be affected by business cycles. In the upswing phase, business activity increases, and there is likely to be more demand than supply of good shares, which will generally increase the prices of shares. The downswing phase will have the opposite effect on share prices, as the mood of the investors becomes more pessimistic, and business activity and hence demand declines.

Reports and rumours can often have an immediate and dramatic effect on the prices of shares. Thus, psychological factors such as anxiety or optimism for the future can also play a part in decreasing or increasing the prices of shares.

Because South Africa has a relatively open economy, international economic indicators influence the economy as a whole. South Africa's upswing and downswing phases do not usually coincide with those of its main trading partners but usually follow twelve to eighteen months later. This time-lapse can indicate to the discerning South African investor what might happen to the South African business cycle.

KO8: Interest-bearing investments⁵³

Both the money market and capital market channel funds from those economic units with surplus funds to those units in need of funding. They also consist of the primary market and the secondary market.

The money market provides short-term funds to government and corporate sector borrowers. The investors are financial institutions and other lenders with short-term surplus funds available. The instruments of the money market offer high liquidity and low risk.

⁵⁰ Profile's Unit Trust & Collective Investment – Understanding Unit Trust, Page 140-143

⁵¹ The South African Financial Planning 2020, 19.2

⁵² The South African Financial Planning 2020, 19.5

⁵³ Profile's Unit Trust & Collective Investment – Understanding Unit Trust, Page 147-148

Some indication of the risk involved in specific instruments of the money market can be seen in the following table:

0% risk factor	Banknotes, coins, gold bullion, treasury bills, Reserve Bank deposits, NCDs, central government and Reserve Bank loans, etc.
20% risk factor	Interbank loans and committed capital expenditure (off-balance sheet), etc.
50% risk factor	Residential Mortgages.
100% risk factor	Instalment debtors, leases, credit card debtors, overdrafts, fixed assets, equity investments, redeemable preference shares, own bills, promissory notes and acceptances discounted, other assets, contingent off-balance sheet liabilities, etc.

The money market can be divided into a primary and secondary market. The primary market refers to the initial issue of the money market instrument. Instruments of the money markets are negotiable and transferable. Payments are made to the bearer of the relevant document. For this reason, there is also a secondary market.

8.1 The primary market

This market issues the original security for investment. Money flows to the institutions that issue the securities.

8.2 The secondary market

Securities are sold by one holder to another and have no direct cash effect on the financial institution that initially issued the security in this market.

8.3 The difference between the money market and capital market is usually perceived in terms of the length of the term to maturity of the assets traded.

The **money market** is defined as the short-term part of the financial system dealing in assets that mature in less than three years.

The **capital market** constitutes the long-term part of the financial system being the source of funds that have terms of maturity longer than three years.

The benefits of investing in a money market fund are as follows:

- High yields;
- Low risk;
- Rarely any upfront charges;
- Immediate liquidity;
- The useful parking lot for surplus cash;
- A spread of investments.

The performance of money market funds is published daily and based on rolling seven-day returns.

8.4 The three areas in which these securities are issued are thus:

- **The private sector** – companies need funds to finance long-term investments. They do this by the issue of shares, corporate bonds, debentures and rights issues.
- **The central government** needs long-term funding to finance its expenditure. It is done by issuing long-term government bonds. As an investment with the government is the safest investment one can make, the interest paid by the government on its bonds will be less than

that paid by other borrowers. Here we are talking about the risk that the borrower may default on payment. It does not consider interest rate or inflation risk.

- **Municipalities and public corporations** issue bonds to finance long-term expansion projects. These are referred to as bonds issued by parastatals.

8.5 Managing a fixed interest portfolio

The belief that it is easy to manage a fixed-interest portfolio is wholly misplaced. Several factors affect Bond prices, and bond prices can be volatile.

For example, a 0.5 increase in interest rates could reduce the price of a bond with a 10-year duration by 5%. Consequently, an investor should understand what affects bond prices and what strategies can be adopted to minimise risk.

We can break down the interest rate return on a bond as follows:

Expected interest rate = Real risk-free rate of interest + Inflation premium + Default risk premium + Illiquidity premium + Maturity premium (the compensation for increased exposure to changes over periods) + Tax premium

In an era of real interest rates, capital market instruments offer the investor an alternative to equity investment. Indeed, in recent years the pre-tax return on bonds issued by the government has often beaten the return on the JSE All Share Index. Unfortunately, because the interest is taxable in the hands of the ordinary investor, a good portion of this return is paid in tax.

Bonds are also less volatile in the short-term to medium-term than equities. There is, therefore, a place for such investments in most portfolios. Bond unit trusts provide a convenient method for ordinary investors to invest in the capital market.

KO9: Insurance as an Investment⁵⁴

9.1 Insurance portfolios and policies in general

Life assurance is and always has been the only method of providing a large sum of money on the death or disability of an investor, utilising a relatively small regular payment. The significance of this can be explained by contrasting it with a regular investment into unit trusts. The estate of the investor in unit trusts will receive the repurchase price of the units on the investor's death. In the case of a life assurance policy, the estate may receive much more than the underlying value of the investment, primarily if death occurs early.

A life assurance policy, therefore, plays a unique role in an investor's portfolio of investments.

Traditionally an assurance policy is comprised of two elements. The one element provided for premature death and disability. The other element provided for investment into a portfolio of assets. The type of portfolio in which the investor invested depended upon the individual's risk profile and investment requirements.

The trend now is to separate the risk cover from the investment portion. It allows transparency of costs as the cost of the risk cover is known at the outset. The client can then decide what amount will be available for investment and invest it how he wishes.

9.2 Pure endowments⁵⁵

It is possible to purchase an insurance policy purely as an investment vehicle. A pure endowment is an endowment policy without life cover. The entire premium after costs is allocated toward an investment plan.

⁵⁴ The South African Financial Planning 2020, 22.9

⁵⁵ The South African Financial Planning 2020, 22.9.2

Most plans also offer a minimum guaranteed return. For example, in the event of the death of the investor before maturity, the beneficiary will be paid the value of the investment or the premiums paid up to the date of death, depending on which amount is more significant.

There is no restriction on the amount payable in the form of premiums. However, if the premiums are increased by more than 20%, a new restricted period of five years is created. However, no new restricted period is created if the premiums are increased by less than 20% per annum.

The advantage is that policyholders can participate in the growth of the capital of the life office or the growth of the investment plan chosen. It provides a hedge against inflation. The policy also offers a minimum guarantee at the end of the term, which is equal to or higher than the premiums paid. It provides a guarantee against capital loss.

Since the benefits are tax-free on maturity, the investor need not take the proceeds when the policy matures. Instead, the proceeds can be left with the life office and allowed to continue to grow as a tax-sheltered investment. The investor can partially surrender a portion each year as a tax-free income to supplement his or her income.

If the policy grows at 9% per annum, the investor can withdraw the 9% free of tax without decreasing the capital.

Example:

A male age 40 next birthday has a 10-year pure endowment policy. He pays R1 000 per month, and the policy grows at 9% per annum after costs.

Premium R12 000 per annum

The illustrative value after 10 years is R193 514

The investor could withdraw R17 416 per annum tax-free from the end of year ten, assuming a withdrawal rate of 9%.

Often pure endowment policies are used to provide a low tax income after maturity. It can be done by buying a matured investment or by extending the life of one's own matured investment. Low tax income is created by making partial surrenders of the policy.

The insurance company pays the tax at the rate of 30% a year on the interest and rental income earned by the investment. It is advantageous to investors with a marginal tax rate exceeding 30% per annum. However, a Capital Gains Tax liability is incurred by the investor who owns a second-hand (traded) endowment policy.

9.3 Sinking fund policies⁵⁶

In companies, the need often arises to create a cash reserve to meet possible future contingencies like a mortgage liability or loan. A policy on the life of the director may provide a solution to this need.

A sinking fund policy may be instituted for this purpose. This policy is similar to an endowment policy. It is an obligation on the part of the assurer to pay a sum or sums of money to a person on a fixed or determined future date in return for the payment or the promise of payment of regular premiums.

The continuation of the policy is not affected by the death of any company member instituting it. There is usually no life assured on a sinking fund, which means that the policy will not become a claim on the death of the owner/investor but may be ceded to a new owner and thus continued in perpetuity.

⁵⁶ The South African Financial Planning 2020, 22.9.3

9.4 Profit participation⁵⁷

9.4.1 Smoothed bonuses

Policyholders participate in the performance of the assurance portfolio by way of guaranteed and reversionary bonuses as declared by the insurer from time to time.

The purpose of this method is to ensure that returns are smoothed throughout the policy. The bonuses are smoothed by not declaring the full investment growth in periods of excellent performance and drawing on the reserves, which are in turn built up in more mediocre performance periods. Profits are declared as a percentage return on the invested premium. Profit distributions tend to be conservative in retaining a buffer against years when investment returns tend to be low or negative.

Bonuses are declared as a vesting bonus which cannot be taken away once declared and a non-vesting bonus which may be taken away partially or entirely if the market performs poorly. In the event of a maturity or death claim, any existing non-vesting bonus will be paid out.

An important point to remember about smooth bonus policies is that if invested before a market crash, the investor would be better off than having funds in a market-linked portfolio. Smoothed bonus portfolios are particularly popular in times of market uncertainty and volatile markets.

9.4.2 Direct profit participation⁵⁸

The investor can participate directly in the performance of a particular fund. A unitised system is used the same way a unit trust operates. In this case, the investor feels the full impact of market fluctuations because they affect the price of the units making up the portfolio.

The investor has a wide selection of portfolios to choose from, namely:

- **Equity-linked portfolios:** These portfolios would typically consist of quoted shares and cash. Unlike a unit trust, an assurance company can invest 100% of its equity portfolio. With the advent of asset swaps, the investor is no longer limited to a portfolio made up only of domestic equities. Also, the regulations relating to the amount invested in a particular company are less restrictive than in the case of unit trusts.
- **Property-linked portfolios** invest in property directly or indirectly. A property-linked portfolio will invest roughly in the following proportions:
 - 15% in government and approved securities;
 - 85% directly in owned property, property companies, property shares, convertible debentures, mortgages, etc.

The advantage to the investor is that he or she can participate in a diversified portfolio of property investments, which are professionally managed.

- **Cash and short-term interest portfolios:** These portfolios are provided as a parking lot type of investment. These portfolios can be extremely useful. Consider the investor with two years to retirement who has benefited from a significant bull run in the equity market. This portfolio can be used to shelter the gains from a potentially disastrous decline in share prices.
- **Bond funds:** These portfolios invest in government and approved securities. They provide a high-income return together with the possibility of capital growth. Using an insurance policy can be advantageous if the marginal tax rate of the individual exceeds the tax rate paid by the insurance company. If the individual is at the top marginal tax rate, this can significantly improve after-tax return.

⁵⁷ The South African Financial Planning 2020, 22.9.4

⁵⁸ The South African Financial Planning 2020, 22.9.4.2

- **Managed portfolios:** These portfolios contain a mix of investments including shares, bonds, cash and property. Because they are spread over various asset classes, the level of risk in these portfolios is lower than in an equity portfolio.
- **Multi-managed or multi-strategy portfolios:** These portfolios give the investor access not only to the insurance companies' portfolios but also to the portfolios of other managers, e.g. unit trusts. The insurer offers the client a choice of various market segments, which a specialist in that field manages. The funds may be invested both locally and overseas, and it is possible to have optimised funds that are designed to meet specific risk profiles. Multi-manager funds are also available. See the section on multi-manager management for more information. Although an endowment policy restricts the client from being in the policy for five years if the tax benefits are to be enjoyed, it does offer the high-income individual investor the opportunity to practise tax arbitrage. An individual would typically be paying tax on additional income at a rate of 40%. In an endowment, the portfolio in which individual business is handled would entail a tax rate of 30%.
- **Traded endowments:** It is now also possible to buy into a portfolio of traded endowment policies. The advantage of this is that an investment can be diversified across several South African insurance companies. It means that if one company's portfolio performs poorly, the investor will be protected by having invested in other companies' portfolios as well. The disadvantage is the additional CGT liability incurred in respect of any growth in the value of the policy.

9.5 Switching and de-linking⁵⁹

The investor can switch between portfolios.

Another advantage to policyholders is that all market-related portfolios on policies contain a de-linking provision. It allows a policyholder to change from a market-linked portfolio to a more conventional portfolio while being allowed to preserve the gains made in the direct market-related portfolio.

In this way, an investor can take advantage of several years of growth in an equity portfolio and then convert to the conventional contract, allowing him or her to receive the full benefit of the growth tax-free on maturity.

9.6 Resale of endowment policies⁶⁰

The market for the resale of endowment policies, or as it is loosely termed, "second hand" endowments, is a popular investment option during times of uncertainty in the stock market. It is also an attractive option for individuals who pay tax at the maximum marginal tax rate.

The process of endowment reselling involves the owner of an endowment policy ceding his or her standard policy outright to a third party for payment above the proceeds the policy owner would receive from the assurer on surrender of the policy.

The slight premium on the price is that the original policy owner would have paid all the costs involved at the policy's inception. The new owner will escape the costs which would have been incurred in taking out a new policy.

In most cases, the buyer has no relationship with the seller. The buyer wants to acquire a tax-sheltered investment.

These policies are most suitable if there is no life cover (pure endowment or sinking fund).

The new owner, as cessionary, need not prove an insurable interest in the life covered under the policy. It is less complicated, however, if there is no life assured.

⁵⁹ The South African Financial Planning 2020, 22.9.5

⁶⁰ The South African Financial Planning 2020, 22.9.6

The new owner can continue to pay the policy premium and increase it by up to 20% without incurring a new restricted benefit period.

If there is a life assured on the policy, it is sometimes also beneficial to add a younger life assured to the policy, making it payable on the death of the last dying.

KO10: Shipping Containers⁶¹

Shipping containers are one of the least understood alternative investment opportunities. Because of this, and because of the loose regulations surrounding it, many people believe it's a scam. However, investing in shipping containers can be very profitable.

10.1 Understanding Shipping Containers⁶²

Shipping Containers are large, high-quality steel drums that transport goods worldwide via sea, rail or land.

Due to the financial restrictions of managing and owning a fleet of Shipping Containers, a leasing industry has emerged. Investors may now purchase their containers and pool them with other containers in a fleet.

A professional company pays a rental income to the owners of the containers and manages the fleet. Income is paid quarterly and may be remitted offshore. Since this does not form part of the annual R10 000 000 offshore allowances, the investor can invest more than their R10 000 000 allowances offshore.

10.2 What Is a Shipping Container Investment?

A shipping container investment is an alternative investment where an investor (you) invests in shipping containers. You purchase a container and then turn around and lease them to shipping companies. Every month that your shipping container is used, you make money.

Because shipping is big business, many investors see this as an investment opportunity with significant return potential.

However, many investors view this as a confusing and somewhat unapproachable investment. To assuage these fears and to make the market more accessible, brokers fill the role of acting as a "middleman" between you and the shipping companies and manufacturers of shipping containers.

Brokers are paid a fee for their service, and then they help you locate and contract with shipping companies.

The broker's job is to help you locate shipping companies, which can be difficult unless you are familiar with the shipping business. Then, you had to contract with them, get in with a sales rep at the shipping company, talk to the purchasing agent, and possibly account for negotiating a personal contract for leasing containers to the company – and that is just one company.

You want to diversify your holdings, so you must renegotiate with each company. The broker simplifies this process by building an economy of scale for you, negotiating with various shipping companies, and then letting you "plug in" to the system of pre-negotiated rates.

The shipping container industry is a mock bond industry because shipping container demand is so high that many brokers offer multiple investment options, including fixed-interest options above 10%.

The high returns make some investors sceptical, but the demand drives these high fixed percentages.

⁶¹ <http://alternativeinvestmentcoach.com/shipping-containers/>

⁶² The South African Financial Planning Handbook 2020, 20.2

Shipping companies must fulfil shipping contracts; they cannot ship their goods without shipping containers. Unfortunately, demand for containers outstrips supply (and it has been that way for years).

Investors provide container liquidity for shippers and, in the process, drive up lease rates due to the demand not being able to match supply.

Like any other market where supply is choked off, returns favour investors.

Most brokers have low buy-in thresholds of less than \$100,000, making it accessible to many, but not all, investors with reasonable net worth and savings.

10.3 Costs:

Investment in Shipping Containers does incur several costs.

- A positioning fee is charged to cover shipping, wharfage, insurance, storage and any other incidental costs needed to place the containers at the point of the first release;
- A levy covers the maintenance and refurbishment of the shipping container. This levy is a percentage of the gross income;
- The shipping container is also insured against all eventualities while it is in use, and this cover will depend on its replacement value;
- However, different Shipping Containers have different cost structures, and one must be careful that one is comparing like with like.

10.4 Benefits of investment in Shipping Containers

One of the greatest attractions of investing in Shipping Containers, over and above their foreign currency income, is their effect on taxation.

As a tangible asset, containers are subject to wear and tear. It means that there is a 20% straight-line depreciation allowance.

For an investor to qualify for this deduction, the lessor of the container must:

- Accrue an amount of money from a source within South Africa;
- Be a resident of South Africa or be a partner of a domestic company.

When the container is resold, the Receiver can recoup any tax deductions.

Yields are taxable.

Gearing for the purchase of the shipping container is also tax-deductible.

Investing in Shipping Containers can be a costly business. The initial costs are high, and container operators, financial intermediaries and administrators take a slice out of gross yields.

Part share schemes in Shipping Containers are even more expensive.

However, containers can be expected to have a working life of at least twenty years, and these containers have a high residual value.

Income does vary, but there is usually a net yield of 8% to 11%. Also, the demand for leasing Shipping Containers is increasing as 44-gallon drums are being replaced.

10.5 Advantages of Shipping Containers

- Due to its nature, the shipping container is subject to wear and tear. This wear and tear may be written off for tax purposes and offers the taxpayer investor a 20% straight-line depreciation;
- If the investor borrows money from a bank to purchase the shipping container, the interest paid on the loan may be treated as a deduction when calculating the tax payable at the end of the tax year;
- The shipping container offers the investor a quarterly dollar income.

10.6 Disadvantages of Shipping Containers

- The initial purchase of the shipping container, together with the initial fees, can be expensive;
- The investor is reliant on the fleet manager to utilise his shipping container. Even though the containers are pooled, and the investor draws an income regardless of whether his specific container is used, the utilisation of the containers may be low, which, in turn, may lead to low-income payments.

10.7 Rands in Dollars

The investment does not form part of the foreign exchange allowance permitted by the Reserve Bank, and there is no restriction on the amount of Rands that an individual, company or trust can invest. The revenue earned by the shipping container is paid in US dollars, which the individual investor may elect to deposit in an offshore bank account. Companies and Trusts are required to repatriate the income in Rands. The investment may be financed in Rands, and the finance cost paid in Rands. This investment in a growing international market is an excellent diversification tool for an investor seeking to hedge a portfolio against the uncertain South African economic climate and a future depreciation in the value of the Rand.

10.8 Actual return for one unit

Note that these figures could vary from manager to manager. Distribution Statement for the Quarter Ending 31 May 20xx

	US\$ Pay-out	Exchange Rate	Rand Pay-out
Gross Rentals	520.14		
Refurbishment (5% of Gross Rentals)	26.01		
Management (22.5% of Gross Rentals)	117.03		
Insurance and Maintenance	159.91		
Positioning Costs	12.65		
NET	204.54	7.6081	1556.16
Annualised return			6190.81
Investment			116,800.00
Percentage return			5.30

10.9 Tax position

An example of the tax position for a container is shown below:

Tax allowance schedule for the year ended 28 February 20xx

Date purchased	Container type	No containers	of	Serial number(s)	Cost (Rand)
1 March 20XX	24.000L	1		X X X X	R159 500.00
Revenue received for the year ended 28/2/2005					
Quarter 1 – May 20XX					R1 902.30
Quarter 2 – August 20XX					R1 940.18
Quarter 3 – November 20XX					R1 310.21
Quarter 4 – February 20XX					R1 622.16
Total revenue received for the tax year					R6 774.85
Depreciable investment					R159 500.00
Placement Fee					0
Depreciation of 20% of R159 500 for 12 months					R31 900.00
Less revenue					(R6 774.85)
Loss deductible before interest charges					R25 125.15
Interest paid on loan 60% geared					R14 355.00
Taxable loss					R39 480.15

If the investor had geared the investment in the shipping container by borrowing a portion of the money required to buy the container, the taxpayer would be able to also deduct the cost of borrowing from future container income.

Recent amendments to the Income Tax Act restrict the deduction of the loss to income earned from containers. The taxpayer may no longer deduct this loss from non-container income. Moreover, the South African Revenue Services will add the amount received to the investor's taxable income when the container is sold. The amount added back cannot exceed the amount claimed as depreciation.

10.10 Shipping Containers offer two major advantages as an investment.

- Firstly, they provide an investor with a quarterly dollar income. It can provide a hedge against a depreciating rand;
- Secondly, they provide an investor with a legitimate means of reducing tax.

However, as seen from the table above, the actual return for the quarter that ended 31 January 20XX was only 5.30 per cent. The return is improved by the tax loss that can be claimed. However, after five years, this depreciation can no longer be claimed.

Moreover, the South African Revenue Services will add the amount received to the investor's taxable income when the container is sold. The amount added back cannot exceed the amount claimed as depreciation.

An investor must also realise that the price will have dropped when he comes to sell the container. For example, containers purchased in 1993 were resold for R38 000 while those purchased in 1995 were resold for R40 000.

Now that South Africans can invest overseas legitimately, the popularity of Shipping Containers as an investment is likely to diminish.

10.11 Risks of Investing in Shipping Containers

Like any investment, there are risks. The shipping container brokers love to tout the high returns, but they rarely tell you about the liquidity of the containers. Unless your broker specifically provides for the resale of the container, it is tough to sell off those things.

Returns are not guaranteed and depend highly on the shipping industry. Even when shippers sign multi-year lease contracts, companies can and do go bankrupt, and there is no recourse if a company cannot pay its bills.

Finally, the broker itself can be a disadvantage. While most brokers are honest, some in this industry are not. It would help if you verified that your broker is acquiring shipping containers for you.

Ideally, you want to see the container, verify it exists, and then know that your containers are being used in lease arrangements. Otherwise, a broker could hypothetically draw up phoney paperwork and sell you a bill of goods.

Verifying containers is not always easy if you are unable or unwilling to inspect them yourself or have a third-party audit them visually.

10.12 Conclusion

- Purchasing a shipping container is an investment in a secure and growing international industry.
- The shipping container is purchased and financed with South African Rands and earns revenue in US dollars.

- The income can be deposited in an offshore bank account or offshore investment.
- The investment is extremely tax efficient.
- It is approved by the South African Reserve Bank and the South African Revenue Service.

KO11: Hedge Funds⁶³

The Financial Services Board has not yet licensed any hedge funds in South Africa. Hedge funds are, therefore, not available to the general public. Some institutions in South Africa operate internal hedge funds as part of their internal investment operations. These funds are available to institutional investors. In mid-2005, it was estimated that over R10 billion was invested in South African hedge funds spread over 120.

However, hedge funds are available overseas. As their clients may ask financial advisors what a hedge fund is, it has been decided to add a chapter on them in this book.

11.1 What is a hedge fund?

In 2003, a local chapter of the Alternative Investment Management Association was formed in South Africa to increase investor education, transparency, due diligence and best practices in South African hedge funds.

A hedge fund can be described as an investment structure for managing a private, unregistered pool of investment funds.

Hedge funds are typically considered to be high-risk investment vehicles.

11.2 Charges

Charges vary, but the normal charging structure for a hedge fund would be an annual management fee (which could vary between 1 and 2 per cent per annum) and an incentive fee, which is normally in the region of 15 to 20 per cent of the capital gain.

Some hedge funds only take an incentive fee once a specific rate of return has been achieved (i.e. the hurdle rate). If the fund declines in value and recovers, the incentive fee becomes payable once the initial capital value is regained.

11.3 Hedge fund strategies

It is necessary to distinguish between hedging and hedge fund investment strategies.

A client who has a portfolio of shares and wishes to protect it against potential loss by buying a put option is hedging his portfolio against possible loss.

In contrast, hedge fund managers can use multiple investment strategies.

Some of the strategies are risky because they use gearing to magnify the gains (and the losses).

Other strategies are, in fact, risk-averse, as the manager has to estimate the impact of market prices on the fund.

11.4 Risk

Hedge funds can be a risky investment.

In late 1998, the collapse of the US-based Long-Term Capital Managers Fund had such long-term severe consequences that even central bankers had to intervene.

This risk arises partly because:

⁶³ The South African Financial Planning 2019, 20.3

- The investment strategies adopted are inherently risky;
- It also arises because hedge funds often borrow to leverage these positions;
- If the view taken is correct, then the leverage magnifies profits;
- If the view taken turns out to be wrong, then leverage magnifies losses, as occurred with the Long-Term Capital Managers Fund;
- This risk can be further accentuated by using derivatives such as futures and options.

However, hedge funds can be structured to be risk-neutral, i.e. by:

- Simultaneously taking long and short positions in a market to offset market risk;
- An investor, therefore, needs to carefully investigate the investment mandate of the hedge fund manager to determine what drives performance.

Several factors, such as: can drive performance

- Market movement;
- Pricing discrepancies;
- Specialised knowledge;
- Use of leverage.

In most countries, the hedge fund industry is not regulated. The onus is on investors and advisors to conduct thorough and in-depth research into a hedge fund, its investment strategy and the ability of the fund's management. Even then, success is not guaranteed. For example, the Long-Term Capital Management hedge fund employed numerous experts, including winners of the Nobel Prize for economics, to conduct their research on investments.

KO12: Exchange-Traded Funds

12.1 Exchange-Traded Funds

Exchange-Traded Funds or ETFs have listed investment products that track the performance of a group or "basket" of Shares, Bonds or Commodities. These "baskets" are known as indices. An example of an index is the FTSE/JSE Top 40 Index. An ETF can be bought or sold similarly to an Ordinary Share. Investors save time and money as ETFs enable an investor to invest in a variety of asset classes through a single listed investment product.

12.2 Who is this for?

ETFs are used by both professional and private investors wishing to gain exposure to different sectors, asset classes, types of Shares, Commodities or Government Bonds. They are the ideal investment vehicle for those new to the world of investing.

12.3 Features

- Provides exposure to a variety of underlying instruments and not just one instrument, i.e. it offers diversification
- Can be bought and sold quickly at a low cost.
- Are hassle-free; you gain exposure to a wide variety of securities or assets without having to do extensive research
- Are well regulated by the JSE and the FSB.
- May pay investors dividends when the underlying instruments held in the ETF pay dividends (not applicable to all ETFs).
- Are exempt from securities transfer tax (STT).
- As do the prices of the ETF's underlying instruments fluctuate. However, because of the advantage of diversification, the risk of losing money is lowered.

12.4 How to get it

- Open a brokerage account with an authorised JSE Equity member.
- Open an investment plan with an ETF provider. You can easily buy ETFs with a monthly debit order or a single lump sum investment.
- Use a platform that allows investors to purchase ETF products from different issuers.

12.5 Exchange-traded products

Exchange-Traded Products (ETPs) include Exchange Traded Funds (ETFs) and Exchange Traded Notes (ETNs). ETPs have listed instruments that cost-effectively pool investor funds and aim to replicate the performance of a market index or comply with a particular mandate.

Exchange-Traded Products are similar to unit trusts, as they pool investor funds so that you can cost-effectively access a large basket of underlying investment instruments. However, ETPs are passively managed, which means that they track securities, a basket of securities or a market index and no active investment calls are made.

Exchange-Traded Funds track a wide range of instruments, including shares. Most ETFs are collective investment schemes (CISs) and are bound by CIS regulations.

Exchange-Traded Notes track debt instruments only. They are not CISs but are regulated by the Johannesburg Stock Exchange (JSE).

Both ETFs and ETNs are listed on the JSE.

12.6 Trading Exchange-Traded Products

- You have a wide range of ETPs to choose from. Choose to track domestic and foreign equity indices, commodity-based indices, property indices, 'style' and fundamental indices, bonds or multi-asset portfolios.
- ETPs trade intra-day and are always valued at prevailing market prices. It means that they can be redeemed at any time.
- Dividends and interest earned in ETFs can be automatically reinvested. ETNs are non-interest-paying debt obligations and do not receive dividends.
- ETPs are exempt from Securities Transfer Tax, but capital gains and income tax may or may not be levied, depending on the circumstances of individual investors.
- Returns on ETNs carry credit risk and depend on the financial strength of their issuers, who must have the money available when you want to sell your ETN.
- In South Africa, ETNs are not independently rated and rely on the credit of the issuer.

KO13: Contract for Difference (CFD) trading

13.1 Contract for difference (CFD) trading

CFDs are very similar to single-stock futures but with a few important differences.

Their similarities are gearing and an ability to short the share.

The differences are that CFDs are one per contract, whereas SSFs are 100 shares per contract. Also, CFDs do not expire, whereas SSFs do expire, and if you are holding at expiry, you will have to roll over into the next contract (at a fee). Also, the SSF has the interest built into the price, whereas the CFD trades at the spot price of the share and interest is charged daily and deducted from your account. Importantly, CFDs are NOT exchange-traded, so you are taking counterparty risk. Counterparty risk is the risk that you have no protection if the provider goes bankrupt. You would have protection if you were trading an exchange-traded product such as an SSF.

13.2 Exchange-traded CFDs

However, an exchange-traded contract for difference traded and listed on the JSE is cleared by an appointed clearing house, eliminating the counterparty risk traditionally associated with CFDs that are NOT exchange-traded.

13.3 Options

Nowadays, many investors' portfolios include investments such as mutual funds, stocks and bonds.

However, the variety of securities you have at your disposal does not end there. Another type of security, options, presents a world of opportunity to sophisticated investors who understand both the practical uses and inherent risks associated with this asset class.

The power of options lies in their versatility and ability to interact with traditional assets such as individual stocks. They enable you to adapt or adjust your position according to many market situations that may arise. For example, options can be used as an effective hedge against a declining stock market to limit downside losses. Options can be put to use for speculative purposes or to be exceedingly conservative, as you want. Therefore, using options is best described as part of a broader investing strategy.

This functional versatility, however, does not come without its costs. Options are complex securities and can be extremely risky if misused. It is why, when trading options with a broker, you will often come across a disclaimer like the following:

Options involve risks and are not suitable for everyone. Options trading can be speculative and carry a substantial risk of loss. Only invest in risk capital.

Options belong to the larger group of securities known as derivatives. This word has come to be associated with excessive risk-taking and having the ability to crash economies. That perception, however, is broadly overblown. All "derivative" means is that its price depends on or derives from the price of something else. Put this way, wine is a derivative of grapes; ketchup is a derivative of tomatoes. Options are derivatives of financial securities – their value depends on the price of some other asset. That is all derivative means, and many different types of securities fall under the name derivatives, including futures, forwards, swaps (of which there are many types), and mortgage-backed securities. In the 2008 crisis, mortgage-backed securities and a particular type of swap caused trouble. Options were largely blameless.

Knowing how options work and how to use them appropriately can give you a real advantage in the market. If the speculative nature of options does not fit your style, no problem – you can use options without speculating. Even if you decide never to use options, it is essential to understand how companies you invest in use them. Whether it is to hedge the risk of foreign-exchange transactions or give employees ownership in stock options, most multinationals today use options in some form or another.

KO14: Foreign/International Investments

South Africans were not allowed to invest capital in offshore markets for many years.

The only access to foreign currency income was through rand hedge shares and Shipping Containers.

Rand hedge shares are South African listed shares that make most of their money from exports paid in foreign currency or from the offshore companies that they own.

Shipping Containers are rented to companies needing to transport goods like chemicals and food. The income is in foreign currency.

The only other means available to get funds out of South Africa were illegal.

It has changed since 1995. In June 1995, South African institutional investors (long-term insurers, pension funds and collective investment schemes) were permitted to exchange part of their South African portfolio for foreign securities through approved asset swap transactions.

When writing, natural persons over 18 may invest an amount of R10 million per annum overseas. Long-term insurers, pension funds and retirement funds may invest 25% of their total assets offshore. Collective investment schemes and managers may invest 35% of their total retail assets under offshore management. South African resident companies' requests to invest offshore are considered on merit.

14.1 The procedure for investing overseas (individuals)

An individual who wishes to invest funds overseas must prove to the authorised dealer that he is over eighteen, has current tax clearance and has not exceeded the limit of funds allowed to be invested.

The table below shows the procedure that a prospective investor should follow.

Steps	What the investor must do
Tax clearance	Documents required by the Receiver: • Certified copy of identity document or passport, and • Application for tax clearance. The original tax clearance certificate must be given to an authorised dealer to transfer funds.
Fund transfer	The individual needs: • The original tax clearance certificate • The required forms completed (e.g. MP 1423), and • The bank details of the destination bank.

The South African Reserve Bank's Exchange Control Department receives the investor's application for funds transfer.

The detailed **foreign investment regulations for individuals** are as follows:

14.1.1 Private individuals (natural persons):

- Authorised dealers may authorise the transfer of up to R10 000 000 per calendar year private individual resident in South Africa who is a taxpayer of good standing and is over eighteen for investment purposes abroad. Such persons may also hold foreign currency deposits provided the limit is not exceeded;
- Authorised dealers must ensure that a Form MP 1423 is completed in duplicate and signed by the individual or a person who has been appointed with the special power of attorney before transactions are authorised;
- Before the authorisation of a transaction, a "Tax Clearance Certificate (In Respect of Foreign Investments)" issued by the South African Revenue Service must be presented to the authorised dealer. This certificate is only valid for three months;
- Individuals may not enter any transactions whereby capital or the right to capital will be directly exported from South Africa.

The South African Reserve Bank will also consider applications by private individuals to invest in fixed property in Southern Africa Development and Economic Community member countries.

14.1.2 Rights on foreign securities owned by South African residents

- Authorised dealers may authorise transfers abroad by private individuals resident in South Africa to take up new shares in foreign countries;
- All applications by corporate entities to take up rights on new shares in foreign companies must be submitted to the Exchange Control Department with full details of the underlying transaction.

14.2 Exchange control regulations

The South African Reserve Bank regulates exchange control through banks that are authorised foreign exchange dealers. The regulations contain no permissive clauses, only prohibitive or compulsive clauses. They are there to monitor and protect the country's foreign currency reserves. These primarily consist of gold bullion, currency balances and amounts owed to South African banks by banks abroad.

The people affected by the regulations are:

- Residents of South Africa;
- Non-residents of South Africa;
- Emigrants;
- Immigrants.

No person other than an authorised dealer may buy or sell foreign currency without the consent of the South African Reserve Bank.

No person may export currency, gold or securities without the approval of the South African Reserve Bank.

No person may grant any financial assistance to any person who is not a resident of South Africa or to any non-South African company. It is subject to the South African Reserve Bank's permission.

Every person who becomes entitled to sell or procure the sale of any foreign currency shall sell it to an authorised dealer within seven days. Private individuals who earn foreign currency are exempt from this regulation.

Without the approval of the South African Reserve Bank, no person may:

- Acquire or dispose of in any way any security acquired from a non-resident;
- Act as a nominee for a non-resident;
- Make an entry in a security register to transfer securities into or out of the name of a non-resident;
- Change the address of a non-resident in a security register unless that change is within the same monetary area;
- Make an entry in the security register that shows a local address of a non-resident purchaser;
- No person shall deal in any bearer securities or options without the consent of the South African Reserve Bank.

14.3 Institutions offering offshore investments

Several fund managers are offering international investment products. There are various ways in which overseas investments are distributed.

- Local companies establish offices and branches operating under their name in other countries;

- Local companies form partnerships with foreign-based financial institutions;
- Local companies align themselves with offshore investments;
- Independent companies act as a “one-stop” service. They may contract a range of fund managers, or funds may be divided amongst different managers. It is known as a multi-manager approach;
- Local companies invest in a fund of funds. It is an investment into a range of the best international unit trust funds;
- Local companies set themselves up as brokers;
- Foreign firms establish themselves in South Africa.

14.4 Reasons for South Africans to invest in offshore

There are two main reasons to invest offshore, namely:

- For protection against a weak and falling currency;
- To diversify an investment portfolio.

14.5 The volatile rand

South Africa is vulnerable to world sentiments as an emerging economy. The rand has declined consistently since 1980. In 1996, 28% of the return would have been realised just by holding dollars.

During 1999, the Rand behaved more stably. It weakened against the yen, which was internationally strong and declined marginally against the dollar. Indeed, it appreciated against other major currencies like the British Pound and the Euro.

In 2000, the rand depreciated substantially against the US Dollar. It did the same in 2001.

In 2002 and 2003, however, it appreciated dramatically in value and held onto its gains in 2004.

SA RAND v US DOLLAR	
YEAR	% CHANGE
1990	−0.3%
1991	−6.6%
1992	−10.1%
1993	−10.2%
1994	−4.1%
1995	−2.8%
1996	−22.1%
1997	−3.8%
1998	−17%
1999	−4.5%
2000	−18.8%
2001	−37%
2002	39.6%
2003	29.8%
2004	17.5%
2005	−10.8%
2006	−9.41%
2007	3.3%
2008	−45.7%
2009	33.3%
2010	15.8%

The rand is a volatile currency, as the table shows.

Offshore investment is sometimes an excellent means of hedging against the adverse effects of a depreciating currency. Moreover, the returns expected from these investments may be relatively attractive.

However, if the rand also declines in value can be a costly investment strategy, as 2009 and 2010 showed.

The following graph depicts the value of the Rand against the US Dollar towards the end of October 2022:

South African rand to United States Dollar

0.0555

↓ 80.15% -0.2241 MAX

26 Oct, 08:37:26 UTC · Disclaimer

1 D 5 D 1 M 6 M YTD 1 Y 5 Y MAX



14.6 A diversified portfolio

Diversification across asset classes increases returns and reduces risk.

Geographical diversification does the same.

The South African market is tiny relative to the world's major stock exchanges. It is primarily due to the number of companies listed on those stock exchanges.

The Johannesburg Securities Exchange lists just over 400 companies. North America lists over 14 000.

South Africa also boasts a mere 0.6% of the world's quoted equities.

By limiting investment locally, South Africans would focus their capital on an extremely restricted range of investment opportunities. They would also miss significant developments in technology, health and communications.

South Africa is classified as an emerging market. Africa, Latin America, Eastern Europe and parts of Asia are included in this category.

14.7 The characteristics of emerging markets are:

- Investment is much riskier in emerging markets;
- Liquidity (the speed and ease at which an asset can be turned into cash) is lower than in developed markets;
- There are relatively few stocks (only 0.6% of the world's stocks are South African), relatively few sectors and relatively few companies (400 South African versus 14 043 American);
- Average asset concentration of assets in a few companies is significantly higher than in developed markets;

- Country selection is more important than stock selection.

Considering all these factors, it makes good sense for a South African investor to invest outside South Africa and at home. It is especially true if the investor diversifies into developed markets where the return differs from emerging markets. Investing a percentage of one's money overseas can improve return while significantly reducing risk. It is clarified in the overseas investment section in the chapter on asset allocation.

14.8 Other considerations

There are a few downsides to overseas investment that should not be overlooked, among other things:

- South Africans are used to earning 10% or more on returns. The interest rate on dollar accounts is only 1% to 3%. This rate does not consider foreign exchange profits or losses;
- Should the rand strengthen, foreign currency returns will be negatively affected. The currency and interest rate fluctuations of other countries must be analysed carefully before investing;
- The equity performance of different countries varies enormously. It, too, needs to be evaluated carefully.

14.9 Types of international funds

International funds are divided into three basic categories:

- Equities;
- Bonds; and
- Money markets.

Many funds available combine investments across different countries, sectors and assets.

Cash investments generally provide a lower return than equities and bonds, but they are more secure and less volatile.

The international bond market is most likely to provide the investor with a financial refuge in that they provide security and growth if interest rates decline.

Equities do offer potential growth, but they are volatile.

The overall diversity within the portfolio should match the investor's risk group.

14.10 Investment managers

A South African investor also needs to decide whether to have offshore investments actively managed.

An active investment manager should consider the client's desires and aim to outperform any agreed-upon benchmarks. It is done by taking country bets, currency bets, factor bets (small companies, specific industries) and stock bets (individual companies). Currency fluctuations will have an impact on the total return on the investment.

A passive manager will try to minimise bets away from the benchmark.

14.11 Risk and the overseas investor

14.11.1 Country risk (sovereign risk)

The sources of this risk are many and varied. A country's economic, financial, social and political organisation and its geographic and strategic importance are included in country risk. Nearly every situation that could conceivably occur in a given country should be considered.

Many of these risk factors can be effectively managed through research and expert advice, diversification or consultation with locals.

The country's economic and financial situation is the most important factor to consider. It is related to human and natural resources and management thereof.

Unfortunately, the relevant information is often scarce, and it is difficult for the individual to monitor all these factors for all countries.

14.11.2 Currency risk

It is a component of the total risk of foreign investment.

Currency risk is generally a much more significant component of a bond investment's total risk than an equity investment.

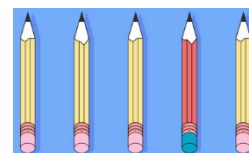
For a US dollar based on investor currency, the risk is of critical importance. A similar pattern applies to investors whose benchmark currency is Japanese yen or Australian dollars. Although it is less critical for a yen or Australian dollar investment, it is still of overriding performance.

14.12 Tax implications of international investing

International tax planning involves considering cross-border influences. By linking two or more systems, opportunities for deferring or minimising tax become evident.

When constructing an international tax plan, the following should be considered:

- The investor's circumstances and objectives;
- The rules of the domestic tax system of each country and how these rules are affected by the juxtaposition of other systems (connecting factors, tax havens, double tax agreements, tax avoidance, tax incentives etc.);
- Non-tax factors (legal entities, exchange rates, exchange control and investment incentives).



Tax liability depends on two things:

- A connecting factor between the taxpayer or
 - Individuals have the connecting factor of residence, citizenship or domicile;
 - Companies: Where they are managed, incorporated or where the beneficial ownership lies;
 - Trusts: Where they are registered or where the trustees reside.
- Taxable event and the tax jurisdiction.
 - Taxable events: The real source or deemed source of the event.

Determining the tax liability is influenced by various factors, namely:

- The residence or domicile of the taxpayer;
- The legal nature of the entity;
- The source of income;
- The nature of the transaction;
- The inter-relationship with other taxpayers.

Tax havens

Tax Havens are jurisdictions with no relevant taxes or where tax is only levied on internal taxable events or residents. Certain taxable events or persons may also be given special tax privileges in tax havens.

Double tax agreements

Double tax agreements encourage international investment by ensuring that income is not taxed twice by different countries.

The agreements provide that the South African government will exempt South African-sourced income derived by foreign investors and foreign sea and air transport businesses if the foreign country likewise exempts South African investors and such businesses concerning their foreign-sourced income.

This kind of agreement can be detrimental to developing countries if there is no reciprocal flow of investments. Income is usually secured in a developing country and is therefore non-taxable in that country because of the double tax agreement.

Tax planning

Tax planning involves limiting tax liability by avoiding connecting factors wherever possible. If a connecting factor cannot be bypassed, then the terms of operation should be varied in a tax-favourable manner. The planner will be liable for tax if these factors cannot be modified.

KO15: Summary of investment options

15.1 Advantages and disadvantages of different investment options⁶⁴

Collective investment schemes	Self-managed equity portfolio	Pure endowment policy
Low minimum contributions	High entry levels imposed by most stockbrokers	Low minimum contributions
Sporadic/Periodic contributions possible	Periodic contributions difficult	Single premium or regular contributions are possible
Investment management on a team basis with full administrative support	The individual is responsible for the control of portfolio and administrative duties	Investment is managed by the in-house management team and administrative office
Liquidity through the repurchase of participatory interests by the management company	Liquidity through a sale on JSE, provided there is a buyer	If redeemed in the first 5 years, there are tax implications
Trust collects dividends and interest payouts	The investor must ensure that dividends due are received	The life office collects all payments
Wide share spread and expertly diversified structure	Can only afford to buy a few selected shares	Can choose a portfolio but has no control over underlying assets.
Low-cost switching permitted	Switching is not possible; one needs to redeem and rebuy	Some companies allow switching between portfolios
Low management costs as costs are pooled. Costs are transparent	No management costs, but transaction costs are borne in full	Costs not very well disclosed
Portfolio continuously monitored	The investor has to manage the portfolio alone, with no help if sick or busy	Portfolio continuously monitored
Daily availability of one published price, which is quoted in the press	Daily prices published, transactions timed and priced to the minute	Up-to-date portfolio values are not always readily available for all companies

The following matrices are adapted with the kind permission of Old Mutual from *Premiums and Problems* and provide a summary of the local and international investment matrix in terms of term, risk, cost, liquidity, tax and inflation.

⁶⁴ Old Mutual - Premiums and Problems

15.2 A summary table concerning Investment Vehicles (Products) in terms of Asset Class; Term of Investment; the objective of the investment, risk, cost, liquidity, taxability and potential return related to the various asset classes.⁶⁵ (Also Refer to the table in chapter 14 of the Handbook)

Asset classes	Term	Objective	Risk	Cost	Liquidity	Taxability	Potential return
Listed shares	Medium to long, No fixed term	Capital growth	Aggressive Diversification reduces risk	Low	High, Traded on JSE	Low, Dividends are tax-free, and Capital growth is not usually taxed	Returns have historically beaten inflation over the medium to long-term
Collective Investment Share fund	Medium to long, No fixed term	Capital growth	Cautious to aggressive depending on the portfolio selected	Medium	Fully liquid, the Management company guarantees to buy back	Dividends tax-free Interest is fully taxable, and Capital growth is not usually taxed	Returns have historically beaten inflation over the medium to long-term
Collective Investment Money Market Fund	Short	Income	Conservative	Low	Fully liquid Management company guarantees to buy back	Interest is fully taxable minus interest exemption	Returns tend to be below inflation – also dependent on the interest rate and exemptions
Insurance investments	Minimum of 5 years	Income or Capital growth	Cautious to aggressive depending on the portfolio selected	Medium	Low can be ceded as security Has loan value	Income is partially taxable, Tax-free after 5 years Capital tax-free	Returns have beaten inflation over the long-term
Property	Medium to long	Capital and income	Conservative to moderate	High	Low, Depends on supply and demand	Rent fully taxable Capital growth subject to CGT	Returns have beaten inflation over the long-term
Participation bonds	Five years	Income	Moderate depending on the floor rate	Nil	Low, After 5 years Three months' notice required	Income fully taxable	
Bank deposits	Depends on the investment term	Income	Conservative	Nil	Depends on the investment term	Interest is fully taxable minus interest exemption	Returns tend to be below inflation – also dependent on the interest rate and exemptions
Bonds	Medium to long	Capital growth and income	Low risk	Low	Low	Interest is fully taxable, Possible CGT	Depending on interest rates, highly unlikely that returns would beat inflation
Shipping Containers		Capital growth	Depending on the use and fluctuations of rand	High	Lucrative second-hand market – fairly liquid	Long-term, approximate 20 years	Write of cost as depreciation – Tax effective

⁶⁵ Fundamentals of Financial Planning, Chapter 14

Summary

An Investment Vehicle is a product used by investors to have positive returns.

Investment vehicles can be low-risk, such as certificates of deposit (CDs) or bonds or carry a higher degree of risk, such as stocks, options and futures. Other investment vehicles include annuities, collectables (art or coins, for example), mutual funds and exchange-traded funds (ETFs).

The term "investment vehicle" refers to any method by which individuals or businesses can invest and grow their money. There is a wide variety of investment vehicles, and many investors choose to hold at least several types in their portfolios. It can allow for diversification while minimising risk.

A Collective Investment scheme is a fund that is operated by a trust company or a bank and handles a pooled group of trust accounts. Collective investment funds combine the assets of various individuals and organisations to create a more extensive, well-diversified portfolio. The following are two types of collective investment funds:

- A1 Fund: A fund of grouped assets contributed by either the holding bank or affiliated banks for the exclusive purpose of investment and reinvestment;
- A2 Fund: A fund of grouped assets contributed by pension, profit sharing, retirement, or other trusts that are exempt from income tax.

Collective investment scheme management companies normally levy management fees at a rate of 1% per annum, plus vat, of the average monthly market value of the portfolio.

Equity is money that is invested in a firm by its owner(s) or holder(s) of common stock (ordinary shares) but which is not returned in the normal course of the business. Investors recover only when they sell their shareholdings to other investors or when the firm's assets are liquidated and proceeds distributed among them after satisfying the firm's obligations.

An equity instrument is a document that serves as legally enforceable evidence of the right of ownership in a firm, such as a share certificate (stock certificate).

The money market can be divided into a primary and secondary market. The primary market refers to the initial issue of the money market instrument. Instruments of the money markets are negotiable and transferable. Payments are made to the bearer of the relevant document. For this reason, there is also a secondary market.

The primary market

It is the market that issues the original securities for investment. Money flows to the institutions that issue the securities.

The secondary market

It is the market in which a security is sold by one holder to another and has no direct cash effect on the financial institution that initially issued the security.

The difference between the money and capital markets is usually perceived in terms of the length of the term to maturity of the assets traded.

The **money market** is defined as the short-term part of the financial system dealing in assets that mature in less than three years.

The **capital market** constitutes the long-term part of the financial system being the source of funds that have terms of maturity longer than three years.

The three areas in which these securities are issued are thus:

- **The private sector** – companies need funds to finance long-term investments. They do this by the issue of shares, corporate bonds, debentures and rights issues.

- **The central government** needs long-term funding to finance its expenditure. It is done by issuing long-term government bonds. As an investment with the government is considered the safest investment one can make, the interest paid by the government on its bonds will be less than that paid by other borrowers. Here we are talking about the risk that the borrower may default on payment. It does not consider interest rate or inflation risk.
- **Municipalities and public corporations** issue bonds to finance long-term expansion projects. These are referred to as bonds issued by parastatals.

Linked product managers invest funds in collective investment schemes on behalf of their clients. They do not manage the scheme. They act as intermediaries between the client and the collective investment scheme management company. Linked product companies must be registered with the Financial Services Board as they fall outside the jurisdiction of the Collective Investment Schemes Control Act.

The popularity of linked products is due to the many **advantages** that they offer to investors:

- Low-cost exposure to a broad spread of shares;
- A professionally managed portfolio;
- Guaranteed liquidity;
- Tax benefits;
- Long-term inflation-beating returns;
- Lower initial charges;
- A higher degree of flexibility;
- Phase in option;
- Full disclosure of costs.

Some of the **disadvantages** that an investor may face include the following:

- Higher annual service fees, as one fee is paid to the linked product company and another is paid to the collective investment scheme management company;
- Abuse of switching from fund to fund by trying to time the market or following the top performers will reduce returns;
- Complicated pricing structures exist and vary from company to company. Fees also vary from making "standard fees" a generalisation, which is not always accurate.

Benefits of investment in Shipping Containers

One of the greatest attractions of investing in Shipping Containers, over and above their foreign currency income, is their effect on taxation.

As a tangible asset, containers are subject to wear and tear. It means that there is a 20% straight-line depreciation allowance.

For an investor to qualify for this deduction, the lessor of the container must:

- Accrue an amount of money from a source within South Africa;
- Be a resident of South Africa or be a partner of a domestic company.

When the container is resold, the Receiver can recoup any tax deductions.

Yields are taxable.

Gearing for the purchase of the shipping container is also tax-deductible.

Investing in Shipping Containers can be a costly business. The initial costs are high, and container operators, financial intermediaries and administrators take a slice out of gross yields.

Part share schemes in Shipping Containers are even more expensive.

However, containers can be expected to have a working life of at least twenty years, and these containers have a high residual value.

Income does vary, but there is usually a net yield of 8% to 11%. Besides, the demand for leasing Shipping Containers is increasing as 44-gallon drums are being replaced.

A hedge fund can be described as an investment structure for managing a private, unregistered pool of investment funds.

Hedge funds are normally considered high-risk investment vehicles.

The people affected by the Foreign Exchange Control regulations are:

- Residents of South Africa;
- Non-residents of South Africa;
- Emigrants;
- Immigrants.

Unit 3: Self-Assessment

Please note that the questions which follow are formative.

1. Discuss the primary and secondary markets of the money market.

2. Name two (2) advantages and two (2) disadvantages of Linked Products.

3. What are the two profit participation methods on endowments?

4. Discuss the benefits of investing in Shipping Containers.

5. What is a hedge fund?

6. Which people are affected by the Foreign Exchange Control regulations in South Africa?

7. Give an indication of which asset classes will give the following type of returns, e.g. rental income and how they are dealt with for tax, the exemptions, if any, for natural persons.

Instrument	Type of Returns	Exemptions/ Deductions
Fixed Deposit Bond Income		
Share Income		
Property Rental		
Profit on sale of shares		

Unit 3: Self-Assessment: Answers

Please note that the questions which follow are formative.

1. Discuss the primary and secondary markets of the money market.

The primary market

It is the market that issues the original security for investment. Money flows to the institutions that issue the securities.

The secondary market

It is the market in which a security is sold by one holder to another and has no direct cash effect on the financial institution that initially issued the security.

2. Name two (2) advantages and two (2) disadvantages of Linked Products.

The popularity of linked products is due to the many advantages that they offer to investors:

- Low-cost exposure to a broad spread of shares;
- A professionally managed portfolio;
- Guaranteed liquidity;
- Tax benefits;
- Long-term inflation-beating returns;
- Lower initial charges;
- A higher degree of flexibility;
- Phase in option;
- Full disclosure of costs.

Some of the disadvantages that an investor may face include the following:

- Higher annual service fees, as one fee is paid to the linked product company and another is paid to the collective investment scheme management company;
- Abuse of switching from fund to fund by trying to time the market or following the top performers will reduce returns;
- Complicated pricing structures exist and vary from company to company. Fees also vary from making "standard fees" a generalisation, which is not always accurate.

3. **What are the two profit participation methods on endowments?**
 1. **Smoothed Bonuses;**
 2. **Direct Profit participation.**

4. Discuss the benefits of investing in Shipping Containers.

Benefits of investment in Shipping Containers

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5. What is a hedge fund?
 1. A hedge fund can be described as an investment structure for managing a private, unregistered pool of investment funds;
 2. Hedge funds are normally considered high-risk investment vehicles.
6. Which people are affected by the Foreign Exchange Control regulations in South Africa?
 - Residents of South Africa;
 - Non-residents of South Africa;
 - Emigrants;
 - Immigrants.
7. Give an indication of which asset classes will give the following type of returns, e.g. rental income and how they are dealt with for tax, the exemptions, if any, for natural persons.

Instrument	Type of Returns	Exemptions/ Deductions
Fixed Deposit Bond Income	Interest Income	2022/2023 Tax year: R23 800 under 65 R34 500 over 65
Share Income	Dividend Income	20% withholding tax
Property Rental	Rental Income	Expenses to generate income may be deducted.
Profit on sale of shares	Capital Gain	2022/2023 Tax year: R40 000 exemption and 40% of the balance at the marginal rate.

Unit 4

Analyse the effect of the investment environment on the asset classes



At the end of the session, you will be able to:

- Analysing the effect of the investment environment on the asset classes.



It is for intermediaries to apply their knowledge of the client to select the best asset classes suitable for the specific client. This knowledge can improve your level of advice.



You will need to achieve the following:

- Risks in the investment environment are analysed concerning the different asset classes;
- Risks associated with active and passive management of an investment portfolio are analysed, and an indication is given of when each style is appropriate.

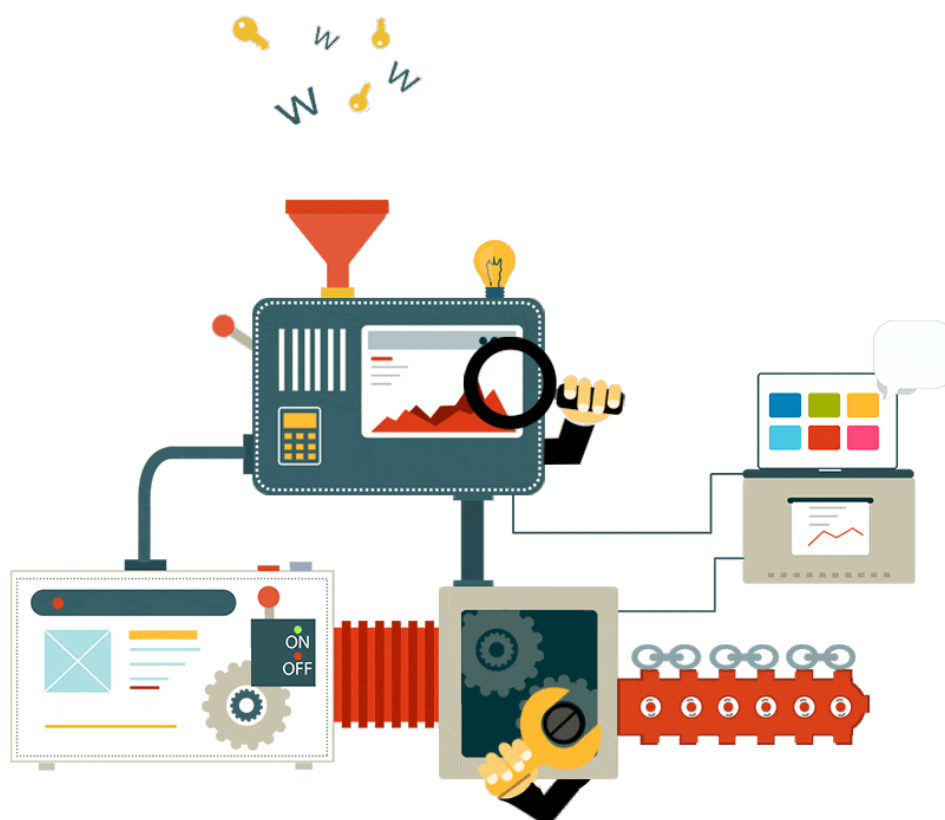


You will need to achieve the following:

- Collect, organise and critically evaluate information in analysing the risks associated with the asset classes and investigating the impact of market conditions on asset classes.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments, Nic Oldert, March 2019, Profile Media



Introduction⁶⁶

Investing means postponing the use of capital until a future date in exchange for a return on the investment. However, the actual investment returns can rarely be predicted, let alone guaranteed. A certain level of risk can usually be associated with an investment. Investors prefer investments with the highest expected return with the lowest possible risk. If an investor desires higher returns, they will have to accept a trade-off in terms of accepting higher investment risk.

It is known as the risk-return trade-off. Higher-risk assets are priced to offer higher expected returns than lower-risk assets.

The elements of investment return that an investor needs to be compensated for, namely, the time value of money, inflation, and risk, each play a part in determining the required rate of return an investor strives to attain.

The required rate of return is the minimum an investor should accept from an investment, and the determination of the risk needed to be taken should be determined from the starting point, that is, the required rate of return. Other factors, however, impact the risk-and-return relationship, such as the willingness and capacity of the investor for risk, which must be factored into account in determining the best methods to achieve the required rate of return.

A portfolio of investments must be created which matches the client's risk profile. There are models available in South Africa to ascertain a client's risk profile. The objective is to create an efficient portfolio for that client, i.e., one that matches both needs and tolerance for volatility. It can only be done if the client's investment objectives have been determined, as well as his or her risk profile.



The client will need to realise that there are no 'free lunches'; in other words, maximum returns do not come with a minimum degree of risk. If the client wants a higher than average return, higher volatility must be anticipated. If the investor wants low volatility, lower returns must be expected.

It is also necessary to ascertain whether the client is looking for an advisor who is good at picking shares or particular unit trusts or who has strength as an asset allocator.

It is also essential to determine whether the client expects the advisor to time the market or not. The advisor must be aware of his or her skills as a share picker or a market timer. If these skills

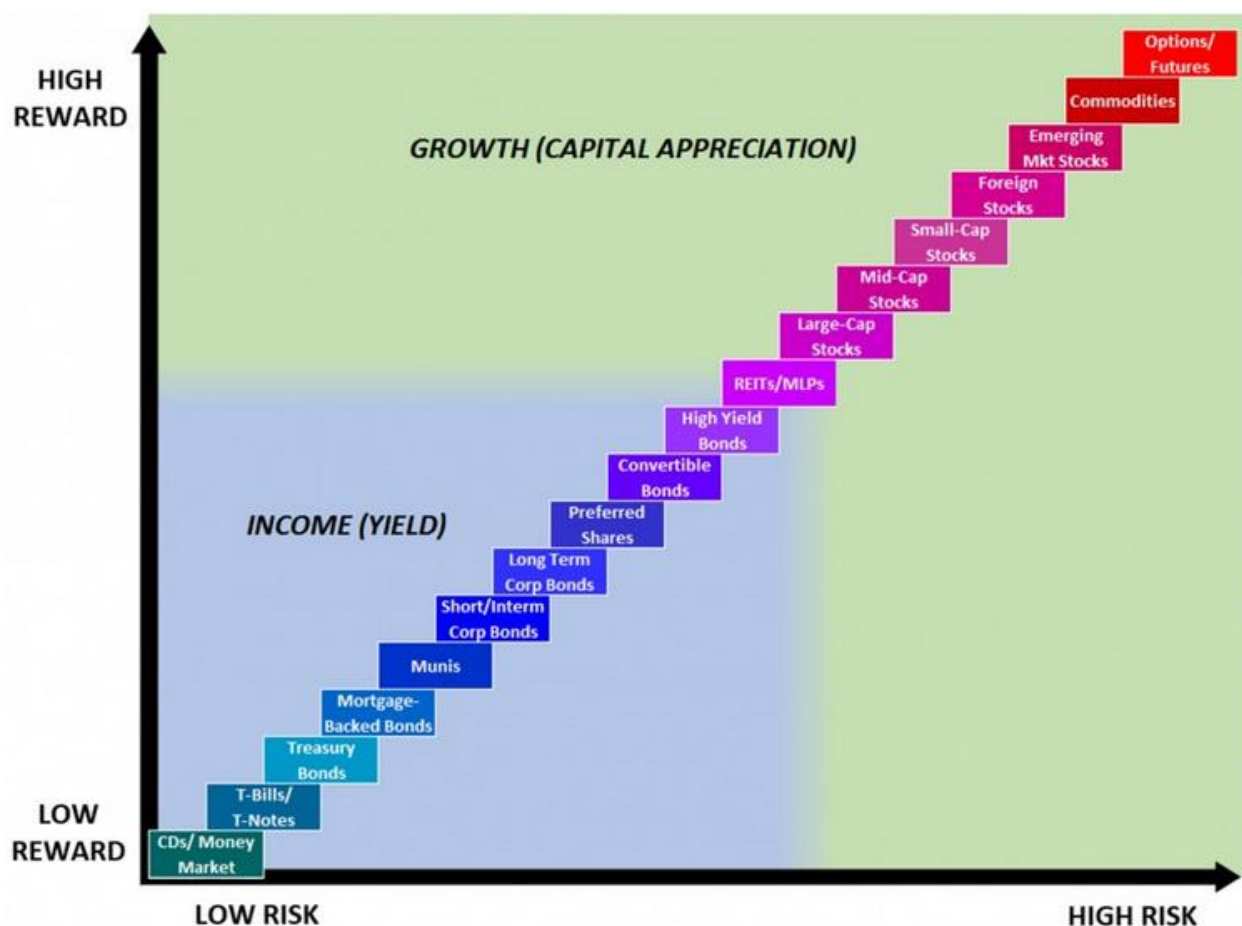
⁶⁶ The South African Financial Planning 2019, 13.1

are not of a high level, investing the client's money in a balanced fund should be considered and those decisions left to a fund manager.

KO1: Risks in the investment environment⁶⁷

There are various methods that investors use to measure their returns. The most common one is the headline return reported by an asset manager, such as a 12% return over the last year. It however can be misleading as a 12% return does not relate to what risk has been taken to achieve this return, nor does it reflect the impact of inflation, taxes or fees for the investor. Investment risk can be defined as the chance that an investment's actual return will be different than expected.

Risk includes the possibility of losing some or all of the original investment. Different versions of risk are usually measured by calculating the standard deviation of the historical returns or average returns of a specific investment. High standard deviations indicate a high degree of risk.



Many companies now allocate large amounts of money and time to developing risk management strategies to help manage risks associated with their business and investment dealings.

Measuring and evaluating the return on a single asset is more straightforward than measuring the performance of a portfolio. When evaluating the performance of a portfolio, a performance attribution analysis must be performed to determine where the return came from, how much risk was taken to achieve the reported return and how much of the portfolio's performance was through the market versus the skill of a portfolio manager.

A fundamental idea in finance is the relationship between risk and return. The greater the risk an investor is willing to take, the greater the potential return. (Example above) It is because investors need to be compensated for taking on additional risk.

⁶⁷ The South African Financial Planning 2019, 13.2

1.1 Risk

Risk is a concept that has different meanings for different people. Therefore, a client must fully understand what kind of risk their financial planner is talking about. In the broader context, risk can be defined as the uncertainty that an investment will earn its expected rate of return.

One can take two broad approaches to measure investment returns. In one case, one would compare the performance of one manager against the performance of other managers operating in the same field. It is appropriate for comparing the returns provided by portfolio managers. Even that is fraught with complexity. For example, how much risk did the manager take?

A second approach is to look at the return the investor requires to meet his financial goals. Failure to achieve this could have serious financial consequences, especially for people who draw an income from their capital to live.

One way to reduce risk is to diversify across different asset classes. It does not eliminate risk but does reduce the risk of losing everything at once. Diversification across asset classes is sound investment practice since different asset classes perform differently over different periods.

The standard deviation of investment usually measures this risk. The standard deviation is a simple statistical measure of how much the investment is likely to diverge from its expected return. Sometimes the term volatility is used instead of the more technical term standard deviation.

Volatility indicates the riskiness of a particular investment, a portfolio of investments or the market as a whole.

Mathematically, the standard deviation is the square root of the investment's variance. The variance of an investment is the arithmetic average of the squares of the deviations around the investment's arithmetic average.

Fortunately, an investor does not need to understand how these figures are derived mathematically. It is much more important to understand the significance of the concepts.

The Total risk can be described as:

Total Risk = General risk + Specific risk;
 = Market risk + Issuer risk;
 = Systematic risk + Non-systematic risk.

1.1.1 Inflation risk

Inflation risk is also known as purchasing power risk because the ability to purchase various quantities of goods and services depends on the changing prices in an economy. It is the risk that an investment will lose purchasing power over time. Inflation risk can also be characterised as an unexpected inflation risk. When inflation is under control, the impact of inflation can be determined; however, unexpected inflation risks put pressure on existing investments. Inflation risk is especially crucial to investment decisions where the financial securities being used are interest-rate sensitive, such as bonds.

If an investor is taking a long-term view, inflation poses a great danger as stock market volatility. Consequently, a portfolio should be more heavily weighted toward equities. It would be true even for an investor with a more conservative risk profile.

If an investor takes a shorter-term view, share price volatility poses a greater danger than inflation. Consequently, the portfolio should then be more heavily weighted towards cash and short-term deposits.

1.1.2 Market risk

Market risk is the day-to-day fluctuations in an asset's price, also referred to as volatility. It is an inherent risk in a particular market, like the SA Equity market, the US bond market, or the local property market.

The investor must pick the right market (or markets) at the right time. It influences a large number of assets.

The higher the risk inherent in the asset class, the higher the return you can get from an investment. The expected return on a risky asset depends only on that asset's market risk.

The beta coefficient is used to determine the amount of systematic risk present in a particularly risky asset relative to an average risky asset.

Prices fall as the market as a whole decline. It generally applies to stock, real estate, art, etc.

Market risk cannot be eliminated by diversification.

1.1.3 Liquidity risk

Liquidity risk is concerned with the ability to convert the value of an asset into cash at a value close to its market value. Any condition or event that affects this ability is termed a liquidity risk. Liquidity risk is generally a risk related to the secondary market. Treasury bills can be sold instantly and are considered very liquid, while shares of small or little-known companies are considered to contain high liquidity risk as they are thinly traded.

Investors will increase their required rates of return to compensate for liquidity risk.

1.1.4 Specific Risk

Indicate how funds optimised and designed to meet specific risk profiles.

Specific Risk is a risk that affects a very small number of assets. Specific risk, as its name would imply, relates to risks that are very specific to a company or small group of companies. This type of risk would be the opposite of the overall market risk or systematic risk.

It is sometimes referred to as "unsystematic or diversifiable risk."

An example of specific risk would be news that is specific to either one stock or a small number of stocks, such as a sudden strike by the employees of a company, or a new governmental regulation affecting a particular group of companies. Unlike systematic risk or market risk, ***specific risk can be diversified away.***

1.1.5 Issuer risk

Issuer risk refers to the chance that the issuer of a security will default. Investors holding these securities would take a loss, which might vary in size depending on how much they paid and the market conditions.

Before purchases, investors may conduct careful research to determine the level of risk involved so they can make informed decisions about how to proceed. Analysts and advisors can also offer assistance with selecting the best investment products for given situations.

Several tools can be used to estimate issuer risk.

1. **One is the balance of debt and equity.** A firm with massive debts and limited equity is at increased risk of defaults because it needs to spend money servicing that debt and may be in trouble in the event of an emergency. Creditors could call on that debt, triggering a default because the company would not be able to access enough capital to make good on the obligation.
2. **High equity**, especially in the form of liquid assets, indicates that companies are prepared to handle debts and emergencies. The issuer risk is lower because the default is less likely in

these situations. These companies may have significant obligations, such as substantial contracts with vendors, but the equity balances these out. Mixes of debt to equity can vary, and the economy may dictate the best blend; in a weak economy, high debt can be a cause for concern because creditors may call it in to provide capital for their operations.

3. **The overall outlook** for a business can be another factor. A growing company introducing new, innovative projects and attracting public attention may have a low issuer risk because it is positioned to do well. It can be especially true of companies in emerging sectors of the economy that are creating a foothold for themselves. Ageing companies with less flexibility that are struggling to remain relevant can be riskier investments. They may be less capable of adapting to changing market conditions and could suffer from economic trends.
4. **Sources for information** people can use to determine issuer risk can be varied.
 - a. Annual reports can be useful, as can;
 - b. Ratings from credit agencies which provide data on the short and long-term outlook for various companies;
 - c. Reviews in investment publications can provide fascinating insights into various firms, as can coverage in the mainstream media;
 - d. Forecasting in business can be a complex activity that is not always entirely accurate, but combining information from numerous sources can increase the chances of identifying potential risk factors.

1.1.6 Systematic risk

Systematic risk (not to be confused with systemic risk) is the risk inherent to the entire market or entire market segment. Also known as "undiversifiable risk" or "market risk."

Interest rates, recession and wars represent systematic risk sources because they affect the entire market and cannot be avoided through diversification.

Whereas this type of risk affects a broad range of securities, unsystematic risk affects a particular group of securities or individual security.

Systematic risk can be mitigated only by being hedged. Even a portfolio of well-diversified assets cannot escape all risks.

1.1.7 Unsystematic risk

Company or industry-specific risk that is inherent in each investment. The amount of unsystematic risk can be reduced through appropriate diversification and is also known as "specific risk", "diversifiable risk", or "residual risk".

For example, news specific to a small number of stocks, such as a sudden strike by the employees of a company you have shares in, is considered an unsystematic risk.

SYSTEMATIC RISK	UNSYSTEMATIC RISK
Unavoidable	Avoidable
Non-reducible through diversification	Reducible through diversification
Examples: Inflation, Recession	Examples: Labor strike, Managerial change

1.1.8 What is the difference between systemic risk and non-systematic risk?

First, it is essential to differentiate between two types of risk - systematic and non-systematic - which together form total portfolio risk, commonly measured by the standard deviation of portfolio returns. Systematic risk, also known as market risk, is the uncertainty inherent to the entire economy stemming from events such as sudden changes in inflation rates, interest rate hikes or geopolitical conflicts. In contrast, non-systematic risk, also known as idiosyncratic risk, has its sources in the firm and industry-specific events.

Systemic risk is generally used for an event that can trigger a collapse in a particular industry or economy, whereas systematic risk refers to overall market risk.

Systemic risk does not have an exact definition; many have used systemic risk to describe narrow problems, such as problems in the payments system, while others have used it to describe an economic crisis triggered by financial system failures.

Generally, systemic risk can be described as a risk caused by an event at the firm level that is severe enough to cause instability in the financial system.

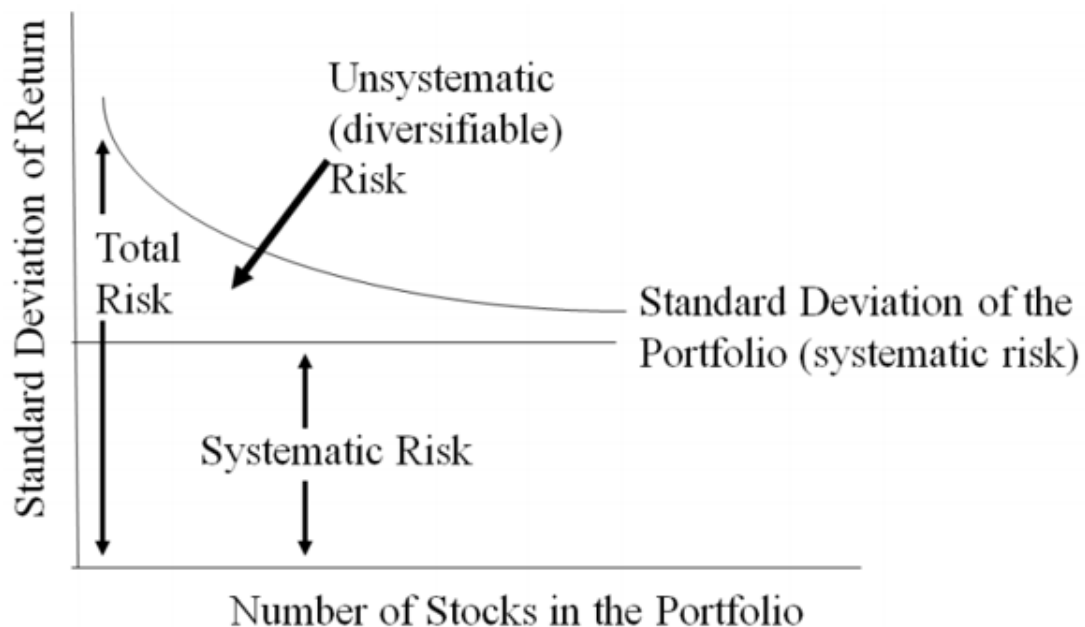
On the other hand, the systematic risk does have a more recognised and universal definition.

Sometimes plainly called market risk, systematic risk is the risk inherent in the aggregate market that cannot be solved by diversification.

Some common sources of market risk are:

- Recessions;
- Wars;
- Interest rates; and
- Others that cannot be avoided through a diversified portfolio.

Though systematic risk cannot be fixed with diversification, it can be hedged.



1.2 Market-timing risk, the role of market timers and economic conditions⁶⁸

1.2.1 Market timing

If an investor knew precisely when the stock market had reached the top or bottomed out, they could improve investment return considerably. Ibbotson and Associates, researchers on investment performance, estimate that near-perfect timing could improve investment returns by approximately 4% per annum (US market).

The problem is, however, that few people (if any) can predict the top and bottom of markets with any accuracy.

Indeed, even if one could predict the top of the market, it is questionable whether one would have the courage to invest at the bottom of the market when the outlook for equities was at its worst.

From 1885 to 1997, there were 123 occasions on which the Dow Jones Index rose or fell by more than 5%. In only 28 cases was there a discernible cause for this change.

1. Market timing is the act of attempting to predict the future direction of the market, typically through the use of technical indicators or economic data;
2. The practice of switching among fund asset classes in an attempt to profit from the changes in their market outlook.

1.2.2 Is it possible to time markets?⁶⁹

William Sharpe calculated that one would need to be right three out of four times to justify using a market timing strategy. The reason for this is twofold: firstly, transaction costs affect the performance of an investment portfolio, and secondly, while holding cash, you may miss out on the rise in the market. The significance of this is explained later.

In a study on market timing in South Africa, de Chassart and Firer conclude that it is challenging to outperform the market, especially under bullish conditions. Their study showed that to be successful, one must predict at least 80% of all bull periods and 80% of all bear periods to beat a strategy of buy and hold.⁷⁰

It is often said that the secret to successful long-term investment performance is not the ability to time the market but the length of time one is invested in the market.

The long-term outperformance of equities worldwide would undoubtedly suggest that this is correct. It is also essential to recognise that while equities are very volatile over short investment periods, the longer the holding period, the less volatile they become.

Some investors, especially academics, believe it is impossible to time the market. Other investors, notably active traders, believe strongly in market timing. Thus, whether the market timing is possible is a matter of opinion.

We can say with certainty that it is challenging to succeed at market timing over the long run continuously. For the average investor who does not have the time (or desire) to watch the market daily, there are good reasons to avoid market timing and focus on long-term investing.

A long-term investment with a diversified portfolio eliminates some risks (like sector risk) and increases your exposure to the risk of the SA equity market itself.

Over the long term, market risk reduces, so a well-diversified long-term equity portfolio is a relatively low risk.

⁶⁸ The South African Financial Planning 2020, 21.10

⁶⁹ The South African Financial Planning 2020, 21.10.1

⁷⁰ Dumond de Chassart M and Firer C, "Market Timing under different market conditions", *Investment Journal*, No. 54 2001:19–32.

1.2.3 Market Timing Risk⁷¹

All indications are that market timing does not work. A study done by Dalbar Surveys, an American organisation that studies collective investment scheme performance over ten years, highlights several interesting points. The study shows that the average holding period of an investor in a collective investment scheme with a front-end loading is four years. For investors in collective investment schemes with no front-end loading, the average period is 17 months.

In South Africa, with the advent of linked products, it is relatively cheap to switch from one fund to another. South African investors are now switching between funds more often than they used to. However, it seems that this can affect performance detrimentally.

Market timing risk is the risk that an investor takes when trying to buy or sell a stock based on future price predictions. Timing risk explains the potential for missing beneficial movements in price due to an error in timing. It could cause harm to the value of an investor's portfolio because of purchasing too high or selling too low.

There is some debate as to the feasibility of timing. Some say that it is impossible to time the market consistently; others say that market timing is the key to above-average returns.

Common thought on this subject is that it is better to have "time in the market" than trying to "time the market." It is evidenced by the growth of all financial markets over the long-run, and that many active managers fail to beat the market averages after transaction costs are counted in.

For example, if you take your money out of stock because of a predicted downturn, you risk the chance of the stock increasing in price before you buy back in.

1.2.4 Market Timers⁷²

Market timers attempt to earn excess returns by varying the percentage of portfolio assets in equity securities. One has only to observe a chart of stock prices over time to appreciate the profit potential of being in the stock market at the right times and being out of the stock market at the bad times.

When equities are expected to do well, timers shift from cash equivalents such as money market funds to common stocks. When equities are expected to do poorly, the opposite occurs. One important factor affecting the success of a market timing strategy is the number of brokerage commissions and taxes paid with such a strategy as opposed to those paid with a buy-and-hold strategy.

Considerable research now suggests that the most significant risk of market timing is that investors will not be in the market at critical times, thereby significantly reducing their overall returns. Investors who miss only a few key months may suffer significantly.

1.2.5 Economic conditions

Effective strategies involving sector rotation depend heavily on accurately assessing current economic conditions. Knowledge and understanding of the phases of the business cycle are essential, as is an understanding of political environments, international linkages among economies, and domestic and international credit conditions.

⁷¹ The South African Financial Planning 2020, 21.10.2

⁷² The South African Financial Planning 2020, 21.10.2

KO2: Active and passive management of an investment portfolio⁷³

One choice that all investors must confront is the degree to which the portfolio will be active versus passively managed. An **active strategy** uses available information and forecasting techniques to seek a better performance than a broadly diversified portfolio. Essential to all active strategies are expectations about the factors that have been found to influence the performance of an asset class.

In the case of active common equity strategies, this may include forecasts of future earnings, dividends or price-earnings ratios. Expectations with actively managed bond portfolios may involve forecasts of future interest rates and sector spreads. Active portfolio strategies involving foreign securities may require local interest and exchange rate forecasts.

A **passive strategy** involves minimal expectations input and instead relies on diversification to match the performance of some market index. In effect, a passive strategy assumes that the marketplace efficiently reflects all available information in the price paid for securities. Between these extremes of active and passive strategies, several strategies have sprung up with elements of both. For example, the core of a portfolio may be passively managed with the balance actively managed.

Is active or passive management the better approach? Active managers might seem to have the edge because active management is necessary to achieve outstanding performance. But remember that active managers start with some disadvantages as well. They incur high costs when preparing their analyses of markets and securities and incur higher trading costs from the more rapid turnover of their portfolios. If they don't uncover information or insights currently unavailable to other investors, then all of this costly activity will be wasted, and they will underperform a passive strategy.

2.1 Risk associated with passive and active management of portfolios.**2.1.1 Active Management**

It uses a human element, such as a single manager, co-managers or a team of managers, to actively manage a fund's portfolio.

Active managers rely on analytical research, forecasts, judgement, and experience in making investment decisions on what securities to buy, hold and sell.

The opposite of active management, called passive management, is better known as "indexing".

2.2.2 Passive Management

It is a style of management associated with mutual and exchange-traded funds (ETF), where a fund's portfolio mirrors a market index.

Passive management is the opposite of active management, in which a fund's manager(s) attempt to beat the market with various investing strategies and buying/selling decisions of a portfolio's securities.

Passive management, also known as "passive strategy," "passive investing", or "index investing."

2.2.3 Active management assumptions and risks

Investors who believe in active management do not follow the efficient market hypothesis. They believe it is possible to profit from the stock market through any number of strategies that aim to identify mispriced securities.

Investment companies and fund sponsors believe it is possible to outperform the market and employ professional investment managers to manage one or more of the company's funds.

⁷³ The South African Financial Planning 2020, 23.3

The objective of active management is to produce better returns than those of passively managed index funds.

For example, a large-cap stock fund manager would look to beat the performance of the Standard & Poor's 500 Index.

Unfortunately, this has been difficult for a vast majority of active managers. This phenomenon reflects how hard it is to beat the market, no matter how smart the manager is.

2.2.4 Active management and assumptions can be summarised as follows:

- Buying and selling of assets frequently and aggressively;
- Hope to earn additional returns;
- Investors believe they can identify undervalued securities and that lags exist in the market's adjustment of these securities' prices to new (better) information. They calculate the approximate intrinsic value of various shares and compare them with actual market prices in search of undervalued shares;
- Trade-in miss-priced assets (either too high or too low);
- Assumes that investors possess some advantage relative to other market participants, e.g. information, judgement skills;
- Generate more search costs (both in time and money) and more transaction costs but believes that the marginal benefit outweighs the marginal costs incurred;
- Most investors still favour an active approach to common stock selection and management, despite the accumulating evidence from efficient market studies and the published performance results of institutional investors. The reason for this is apparent - the potential rewards are substantial, and many investors feel confident that they can achieve such awards even if other investors cannot;
- Most stock pickers recognise the reality of the market's uncertainties and protect themselves accordingly by diversifying.

2.2.5 Active managers must look at:

- Market timing – move funds at certain times to gain above-average returns;
- Funds invested in non-equity markets, e.g. bond market when not invested in equities;
- Theme selection - focus on a specific equity area, a specific industry or sector, or even a specific country;
- Share selection - based on a combination of intrinsic, relative or technical valuation models.

2.2.6 Passive management assumptions and risks

Followers of passive management believe in the efficient market hypothesis. It states that at all times, markets incorporate and reflect all information, rendering individual stock picking futile. As a result, the best investing strategy is to invest in index funds, which, historically, have outperformed the majority of actively managed funds.

2.2.7 Passive management and assumptions can be summarised as follows:

- A portfolio management strategy that does not entail market timing or theme and share selection;
- Construct and hold a portfolio of high-quality pre-selected shares without trying to outperform the market;
- Buy-and-hold strategy: an investor buys stocks and holds them until some future time in order to meet some objective. The emphasis is on avoiding transaction costs, additional search costs, and so forth. The investor believes that such a strategy will, over some time, produce results as good as alternatives that require active management whereby some securities are deemed not satisfactory, sold, and replaced with other securities. These alternatives incur transaction costs and involve inevitable mistakes;

- Notice that a buy-and-hold strategy is applicable to the investor's portfolio, whatever its composition. It may be large or small, and it may emphasise various types of stocks;
- Examples are bonds, mutual and pension fund assets;
- Allocation is done in a specific sector or market based on the market value of the shares incorporated in the sector;
- The securities market is efficient – the prices do not differ from the economic values investors calculate for them. Economic values for securities are determined by investor expectations about earnings, risks, etc. If the economic value of security changes, e.g. because of the arrival of new information, its price will adjust. In other words, securities are efficiently priced continuously. An investor might as well use the buy-and-hold strategy. If the market is economically efficient, securities could depart somewhat from their economic (justified) values, but it would not pay investors to take advantage of these small discrepancies;
- A natural outcome of a belief in efficient markets is to employ some passive strategy in owning and managing common stocks;
- Passive strategies do not seek to outperform the market and do as well as the market. The emphasis is on minimising transaction costs and time spent managing the portfolio because any expected benefits from active trading or analysis are likely to be less than the costs. Passive investors act as if the market is efficient and accept the consensus estimates of return and risk;
- Interest rate anticipation – relies on forecasts and anticipated changes in yields;
- Credit analysis – study the risk that a bond issuer will not be able to meet all or a portion of its obligations within a specified time;
- Yield spread analysis – Anticipating changes in relationships within varied bond market sectors. Prices of bonds within each sector tend to move together due to the credit quality of bonds in each sub-sector (municipal, corporate, government). Yield spreads constantly fluctuate between individual bonds;
- Bond swaps – Simultaneous buying and selling of two bonds with similar features. The reason being increasing current yields, changing interest rates, etc.

Summary

Investment risk can be defined as the chance that an investment's actual return will be different than expected.

Risk includes the possibility of losing some or all of the original investment. Different risk versions are usually measured by calculating the standard deviation of the historical returns or average returns of a specific investment. High standard deviations indicate a high degree of risk.

For an investment manager, risk can be defined as how much the investment is likely to diverge from its expected return.

The standard deviation of an investment normally measures this risk. The standard deviation is a simple statistical measure of how much the investment is likely to diverge from its expected return. Sometimes the term volatility is used instead of the more technical term standard deviation.

The Total risk can be described as:

Total Risk = General risk + Specific risk;
= Market risk + Issuer risk;
= Systematic risk + Non-systematic risk.

Market risk: is the risk inherent risk in a particular market, like the SA Equity market, the US bond market, or local property market.

Some common sources of market risk are:

- Recessions;
- Wars;
- Interest rates; and
- Others that cannot be avoided through a diversified portfolio.

Specific Risk: Indicate how funds are optimised and designed to meet specific risk profiles.

Specific Risk is a risk that affects a minimal number of assets. Specific risk, as its name would imply, relates to risks particular to a company or small group of companies.

Issuer risk

Issuer risk refers to the chance that the issuer of a security will default. Investors holding these securities would take a loss, which might vary in size depending on how much they paid and the market conditions.

Several tools can be used to estimate issuer risk.

Systematic risk

Systematic risk (not to be confused with systemic risk) is the risk inherent to the entire market or entire market segment. Also known as "un-diversifiable risk" or "market risk."

Interest rates, recession and wars represent systematic risk sources because they affect the entire market and cannot be avoided through diversification.

Unsystematic risk

Company or industry-specific risk that is inherent in each investment. The amount of unsystematic risk can be reduced through appropriate diversification. Also known as "specific risk", "diversifiable risk" or "residual risk".

Systemic risk

Systemic risk is a risk that is carried by an entire class of assets and/or liabilities. Systemic risk may apply to a certain country, industry, or global economy.

1. Market timing is the act of attempting to predict the future direction of the market, typically through the use of technical indicators or economic data;
2. The practice of switching among fund asset classes in an attempt to profit from the changes in their market outlook.

Market timing risk is an investor's risk when trying to buy or sell a stock based on future price predictions. Timing risk explains the potential for missing beneficial movements in price due to an error in timing. It could cause harm to the value of an investor's portfolio because of purchasing too high or selling too low.

Market timers attempt to earn excess returns by varying the percentage of portfolio assets in equity securities. One has only to observe a chart of stock prices over time to appreciate the profit potential of being in the stock market at the right times and out of the stock market at the bad times.

Active Management is using a human element, such as a single manager, co-managers or a team of managers, to manage a fund's portfolio actively.

Passive Management is a style of management associated with mutual and exchange-traded funds (ETF), where a fund's portfolio mirrors a market index.

Unit 4: Self-Assessment

Please note that the questions which follow are formative.

1. Market Timing
 - a) takes advantage of time differences between the east and west coasts of South Africa;
 - b) takes advantage of arbitrage opportunities in foreign stocks;
 - c) takes advantage of the time lag between the receipt and execution of orders;
 - d) is discouraged by the stiff fees mutual funds charge every investor for buying and selling shares on the same day.

2. What is the market risk?

3. Name the common sources of market risk.

4. Discuss the term market timing risk.

5. Briefly explain what active and passive management of investments entail.

Unit 4: Self-Assessment: Answers

Please note that the questions which follow are formative.

1. Market Timing

- a) takes advantage of time differences between the east and west coasts of South Africa;
- b) takes advantage of arbitrage opportunities in foreign stocks;**
- c) takes advantage of the time lag between the receipt and execution of orders;
- d) is discouraged by the stiff fees mutual funds charge every investor for buying and then selling shares on the same day.

2. What is the Market risk?

It is the inherent risk in a particular market, such as the SA Equity market, the US bond market, and the local property market.

3. Name the common sources of market risk.

- Recessions;
- Wars;
- Interest rates; and
- Others that cannot be avoided through a diversified portfolio.

4. Discuss the term Market timing risk.

An investor takes the risk when trying to buy or sell a stock based on future price predictions. Timing risk explains the potential for missing beneficial movements in price due to an error in timing. It could cause harm to the value of an investor's portfolio because of purchasing too high or selling too low.

5. Briefly explain what active and passive management of investments entail.

Active Management is the use of a human element, such as a single manager, co-managers or a team of managers, to actively manage a fund's portfolio.

Passive Management is a style of management associated with mutual and exchange-traded funds (ETF), where a fund's portfolio mirrors a market index.

Unit 5

Investigate how market conditions impact asset classes



At the end of the session, you will be able to:
Investigating how market conditions impact on asset classes.



Interpret the risk associated with different asset classes to assist the pricing of unit trusts, product development, and giving information to intermediaries, financial planners and advisors.



You will need to achieve the following:

- Knowledge of market conditions is applied to the asset classes, and an indication is given of how a change in market conditions would affect the asset class and a proposed investment strategy;
- Relationships that exist between the asset classes are described concerning changes in market conditions and investor behaviour.



You will need to achieve the following:

- Identify and solve problems in which responses show that responsible decisions using critical thinking have been made in matching a client's needs to an asset class and market conditions.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments, Nic Oldert, March 2019, Profile Media



Introduction

Definition

Market condition is the characteristics and the **situation** of a particular **market** at a particular time. Defining **market conditions** includes stating the number of competitors in a particular **market**, the intensity of competitiveness, the total **market** available, and the rate at which the **market** grows.

The modern business market is regularly affected, defined, and shaped by economic conditions. This lesson will examine government influence, international transactions, expectation and speculation, and supply and demand. An example is the characteristics of an industry sector, e.g., retail, which can affect buyers and sellers in that sector. Factors to consider include, for example, the number of competitors in the sector; if there is a surplus, new companies may find it difficult to enter the market and remain in business.

When it comes to money and investing, we are not always as rational as we think we are - which is why there is a whole field of study that explains our sometimes-strange behaviour. Where do you, as an investor, fit in? Insight into behavioural finance theory and findings may help you answer this question.

KO1: Knowledge of market conditions

1.1 Bull⁷⁴

1.1.1 What It Is:

A bull market is the condition of a financial market of a group of securities in which prices are rising or are expected to rise. The term "bull market" is most often used to refer to the stock market but can be applied to anything that is traded, such as bonds, real estate, currencies and commodities. Because securities prices rise and fall continuously during trading, the term "bull market" is typically reserved for extended periods in which a large portion of security prices are rising. Bull markets tend to last for months or even years.

1.1.2 How It Works/ Example:

Bull markets generally take place when the economy is strengthening or when it is already strong. They tend to happen in line with the strong gross domestic product (GDP) and a drop in unemployment and will often coincide with a rise in corporate profits. Investor confidence will also tend to climb throughout a bull market period. The overall demand for stocks will be positive, along with the market's overall tone. In addition, there will be a general increase in the amount of IPO activity during bull markets.

Notably, some of the factors above are more easily quantifiable than others. While corporate profits and unemployment are quantifiable, it can be more difficult to gauge the general tone of market commentary, for instance. Supply and demand for securities will seesaw: supply will be weak while demand will be strong. Investors will be eager to buy securities, while few will be willing to sell. In a bull market, investors are more willing to participate in the (stock) market to gain profits.

1.1.3 Why It Matters:

Market perceptions can affect stock prices depending on how many bulls or bears are in the market. The bull/bear ratio best expresses it. In either case, bulls and bears can impact the direction of market movements due to their investments.

If you are having difficulties remembering which animal describes what, remember A bull attacks by thrusting his horns in an upward movement, while bear attacks by swiping his paw in a

⁷⁴ <https://www.investopedia.com/terms/b/bullmarket.asp>

downward movement. Therefore, if the market goes up, it is a bull market; if the market trends down, it is a bear market.

1.2 Bear Market

1.2.1 What It Is:

A bear market is a condition in which securities prices fall 20% or more from recent highs amid widespread pessimism and negative investor sentiment. Typically, bear markets are associated with declines in an overall market or index like the S&P 500. Still, individual securities or commodities can be considered in a bear market if they experience a decline of 20% or more over a sustained period - typically two months or more.

1.2.2 How It Works/ Example:

The causes of a bear market often vary, but generally, a weak, slowing, or sluggish economy will bring a bear market. The signs of a weak or slowing economy are typically low employment, low disposable income, weak productivity and a drop in business profits. Also, any intervention by the government in the economy can trigger a bear market.

1.2.3 Why It Matters:

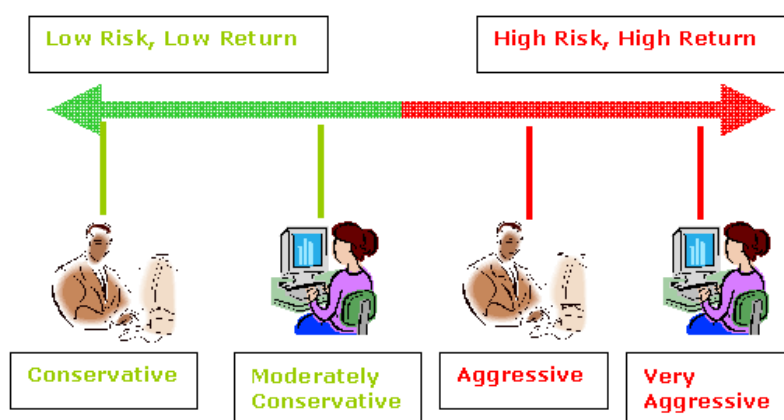
Bear markets cost investors money because stock prices generally fall across the board. However, bear markets do not last forever and do not always give advance notice of their arrival. The investor must know when to buy and when to sell to maximise his or her profits. As a result, many investors attempt to "time the market" or gauge when a bear market has begun and when it is likely to end.

Analysts spend thousands of hours mathematically determining what will trigger the next bear market and how long it will last, and technical analysis is especially prevalent in this effort.

1.3 Factors to consider when proposing which portfolio of asset classes a client should invest in.⁷⁵

1.3.1 Risk versus return

The risk-return tradeoff states that the potential return rises with an increase in risk. Using this principle, individuals associate low levels of uncertainty with low potential returns and high levels of uncertainty or risk with high potential returns. According to the risk-return tradeoff, invested money can render higher profits only if the investor accepts a higher possibility of losses. In theory, the higher the risk, the more you should receive for holding the investment, and the lower the risk, the less you should receive, on average.



For investment securities, we can create a chart with the different types of securities and their associated risk/reward profiles.

Although this chart is not scientific, it provides a guideline that investors can use when picking different investments. Located on this chart's upper portion are investments with higher risks but

⁷⁵ <https://www.investopedia.com/articles/basics/03/050203.asp>

might offer investors a higher potential for above-average returns. On the lower portion are much safer investments, but these investments have a lower potential for high returns.

1.3.2 Determining the client's risk tolerance

With so many different types of investments to choose from, how does an investor determine how much risk he or she can handle? Every individual is different, and it's hard to create a steadfast model applicable to everyone, but here are two important things you should consider when deciding how much risk to take:

1. **Time Horizon** – always consider the amount of time the client has to keep their money invested. The riskier an investment is, the greater its volatility/price fluctuations. Longer time horizons mean more time to recoup possible losses and, therefore, more tolerance of higher risks;
2. **Finances** – determining the amount of money the client can stand to lose, invest only this money in high-risk investments so that you do not have to be pressured to sell off investments in a panic. The more money you have, the more risk you can take;
3. **Short-term and long-term goals** - Determine the client's short-term and long-term goals—E.g. Short-term: Children's education, long-term: retirement.

1.3.3 Risk associated with different asset classes

Each asset class has different levels of risk and return. Generally, the higher the potential income or capital growth, the higher the risk associated with a particular product.

The different levels of risk of the different asset classes are summarised below as low, medium or high risk, as follows:

Asset Class	Example	Level of risk
Cash	Savings or deposit accounts	Low
Property	Houses, shops and factories	Low to medium
Bonds (gilts)	Loans to institutions	Low to medium
Shares (equities)	Part ownership of companies	Medium to high
Derivatives	Futures and options	Medium to high

Asset Class	Risk
Cash	Returns depend on the provider, e.g. bank; The provider gives a specific date for income and capital payments; Banks can also go insolvent; Inflation might be higher than the growth of investment; Diversification is still the best solution.
Bonds	Most secure long-term investment.
Equities	Income and capital values are uncertain; Diversification reduces risk; Equity investments in specific sectors can be used to hedge the risk of other areas.
Property	Not finding tenants; Capital values depreciate.

1.3.4 Diversification

If one were to poll investors and investment professionals to determine their ideal investment scenario, the vast majority would no doubt agree it is a double-digit total return in all economic environments yearly. Naturally, they would also agree that the worst-case scenario is an overall decrease in asset value. However, despite this knowledge, very few achieve the ideal and many encounters the worst-case scenario.

The reasons for this are diverse:

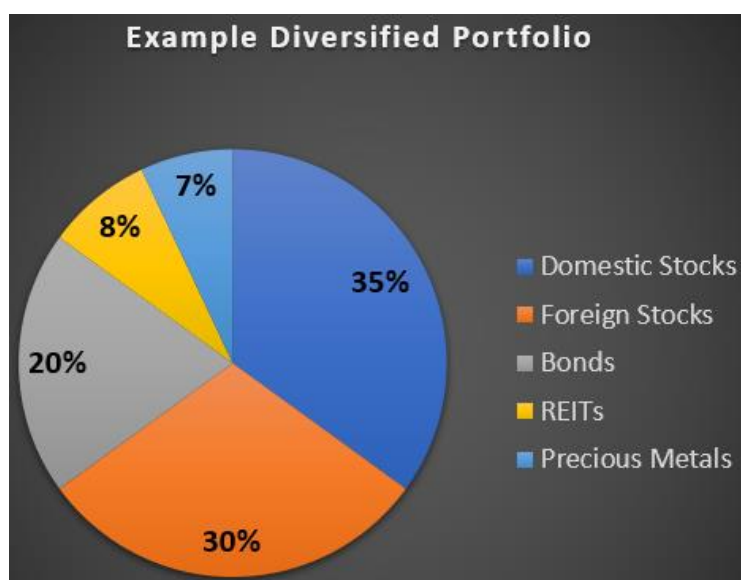
- misallocation of assets;
- pseudo-diversification;
- hidden correlation;
- weighting imbalance;
- false returns; and
- underlying devaluation.

The solution, however, could be more straightforward than you would expect.

1.3.5 The Importance of Asset Class Allocation

Brinson and Beebower concluded that market timing and individual asset selection accounted for only 6% of the variation in returns, with strategy or asset class making up the balance.

Here is an example of a reasonably diversified investment portfolio:⁷⁶



1.3.6 Broad Diversification across Multiple Asset Classes

Many investors do not truly understand effective diversification, often believing they are fully diversified after spreading their investment across large caps, mid or small caps, energy, financial, healthcare or technology stocks, or even investing in emerging markets. In reality, however, they have merely invested in multiple sectors of the equities asset class and are prone to rise and fall with that market.

However, when one compares the indexes as a group or individually to the commodities indexes, we do not tend to see this simultaneous directional movement. Therefore, only when positions are held across multiple uncorrelated asset classes is a portfolio genuinely diversified and better able to handle market volatility, as the high-performing asset classes can balance out the underperforming classes.

⁷⁶ <https://www.lynnalden.com/asset-allocation/>

1.3.7 Strategic Asset Allocation Overview⁷⁷

Diversified buy-and-hold passive investing is an easy approach to building wealth for many people.

For this strategy, you build a diversified portfolio of index funds or ETFs and re-balance from time to time. In other words, when one asset class goes up, and another goes down, you sell some of the higher asset class and buy the dip in the underperforming asset class, to maintain the same weighting over time.

Here's an example image:



The only thing that changes over time for portfolios that follow a strategic asset allocation approach is that they might get more conservative over time. Young investors are typically told to start out with high stock allocations, and then gradually, over time, the stock allocation within their portfolio decreases and the bond allocation increases.

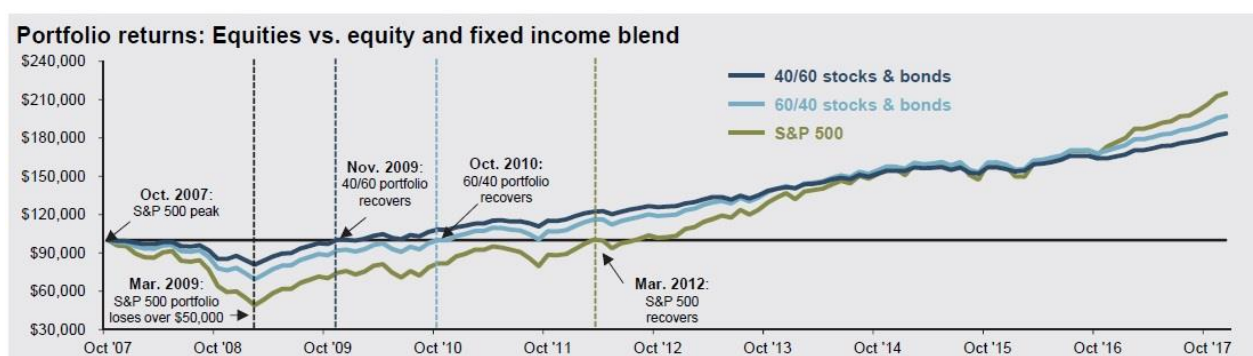
1.3.8 Bonds⁷⁸

Bonds help to reduce portfolio volatility during a stock market crash. Due to fluctuations in interest rates, they tend to be inversely correlated with stocks to some degree.

As you can see, a portfolio with bonds lost less money and recovered more quickly than a pure-stock portfolio during the 2008 financial crisis:

⁷⁷ <https://www.lynalden.com/asset-allocation/>

⁷⁸ <https://www.lynalden.com/asset-allocation/>



Source: *JP Morgan Guide to the Markets*

The problem with bonds in the current era is that their interest rates are so low, which makes them less ideal of an investment than they were decades ago.

Another way of putting it is that bonds are overvalued. Their interest rates are very low compared to historical levels for investors' various risks when they lock up their money lending to companies or governments.

1.3.8 Real Estate & REITs⁷⁹

Real estate assets generally produce consistent cash flows, pay high dividends, use conservative leverage, and serve as a strong defence against inflation.

Whether you should own real estate investment trusts (REITs) in a portfolio depends on how large your allocation to real estate outside your portfolio.

If you have a large percentage of your net worth in your primary home and/or an investment property, then perhaps you don't need much or any real estate in your liquid portfolio. On the other hand, if you're not a homeowner and have little or no real estate assets outside your portfolio, then a sizable allocation to REITs in a portfolio makes sense so that you have some real estate exposure.

1.3.9 Hidden Correlation

An effectively diversified investor remains alert and watchful because the correlation between classes can change over time. International markets have long been the staple for diversification; however, there has been a marked increase in correlation between the global equity markets.

Perhaps even more troubling is the increase in an initially unseen correlation between the fixed-income and equities markets, traditionally the mainstay of asset-class diversification.

Creating diversification by dividing assets among major categories such as cash, bonds, stocks, and property will result in the best risk/return combination.

Diversification is the key to managing portfolio risk because it allows investors to minimise risk without adversely affecting the return.

For diversification to reduce risk, one has to assume that different assets will perform differently over the same period. Investments, which are positively correlated, will tend to move in the same direction simultaneously.

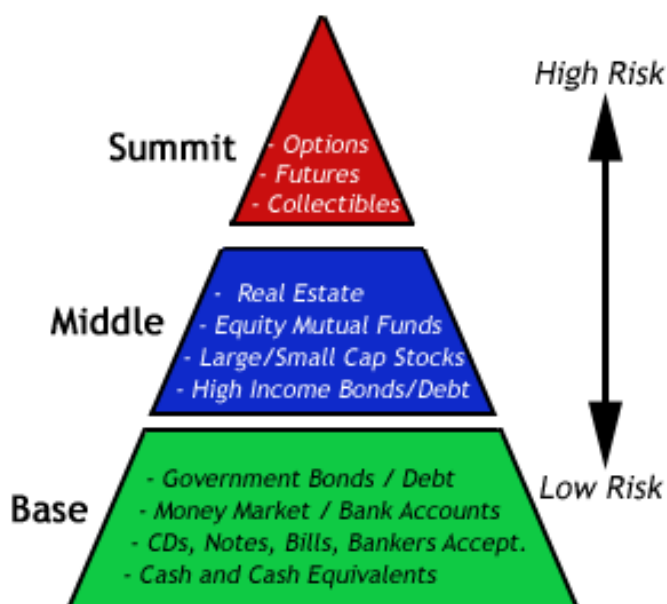
The negative of this relationship is essential for the planning and management of investment portfolios. Correlation measures the degree of the mutual relationship between two random values.

⁷⁹ <https://www.lynnalden.com/asset-allocation/>

1.3.9 Investment Risk Pyramid (one possible tool)⁸⁰

After deciding how much risk is acceptable in the client's portfolio, the investor can use the risk pyramid approach during asset allocation.

This pyramid can be considered an asset allocation tool that investors can use to diversify their portfolio investments according to the risk profile of each security.



This pyramid can be considered an asset allocation tool that investors can use to diversify their portfolio investments according to the risk profile of each security. The pyramid, representing the investor's portfolio, has three distinct tiers:

- **The base of the Pyramid** – The foundation of the pyramid represents the most substantial portion, which supports everything above it. This area should be comprised of investments that are low in risk and have foreseeable returns. It is the largest area and composes the bulk of your assets;
- **Middle Portion** – This area should be made up of medium-risk investments that offer stable returns while allowing for capital appreciation. Although riskier than the assets creating the base, these investments should still be relatively safe;
- **Summit** – Reserved specifically for high-risk investments, this is the smallest area of the pyramid (portfolio) and should be made up of money you can lose without serious repercussions. Furthermore, money in the summit should be disposable so that you do not have to sell prematurely in instances where there are capital losses.

Both investors & clients have personal preferences. The client's net worth does not necessarily link to whether he prefers a high or low-risk portfolio. Those who want more risk in their portfolios can increase the size of the top of the pyramid, and if they want less risk, they can increase the base of the pyramid.

⁸⁰ <https://www.investopedia.com/articles/basics/03/050203.asp>

KO2: Relationships that exist between the asset classes**2.1 The relationships that exist between asset classes concerning the changes in market conditions and investor behaviour**

The relationship between equities and fixed income is critical for portfolios containing both asset classes.

Even though bonds typically yield a lower rate of return than equities, in the long run, the inclusion of bonds and other fixed-income instruments in a portfolio may be justified by the diversification effect resulting from the low correlation between bonds and stocks.

However, the correlation between the two is not stable, and changes in this number potentially have important implications for investors in determining the diversification benefits of bonds and the asset allocation between these two classes.

The stock-bond correlation is essential in asset allocation since a higher correlation would imply a higher allocation to equities, given that bonds generally have lower expected returns.

Most portfolio optimisation exercises assume a positive correlation; the correlation may move from positive to negative and vice versa. These changes may have a material effect on the optimisation outcome.

For example, a change in correlation from -0.5 to $+0.5$ would significantly increase the optimal allocation of equities from 36% to 67% based on expected returns of 12% for equities and 4% for bonds.

1. Our first observation is that these correlations are unstable and may be positive or negative, depending on the period examined.
2. Second, there are apparent inter-country differences in these correlations.

Given the variability of these correlations, our next step is to consider the various drivers that may cause them to vary.

a) The stock market cycle:

In general, a bear market in equities is associated with a flight to quality and increased demand for bonds, which leads to a decline in the correlation between equities and bonds.

b) The interest rate cycle:

It directly affects the price of bonds and equities by changing their discount rates, causing bond and equity prices to be inversely related to interest rate changes.

However, stock correlation tends to be higher during a tightening cycle than during an easing one; the impact of changing interest rates on bonds is direct and immediate, but its effect on stocks tends to be quicker during tightening phases than easing periods.

c) The expected inflation:

Higher expected inflation decreases the real value of future coupon payments, thus lowering bond prices. Stocks are also affected adversely since real earnings growth is negatively impacted. Thus, higher inflationary expectations will also raise the stock-bond correlation.

2.2 The three common mistakes made by clients when there is a change in market conditions

The mistakes tend to be:

- (a) irrational;
- (b) we are often unaware of it, and
- (c) the mistakes tend to repeat themselves systematically.

By describing the mistakes as irrational, we mean that illogical emotions cloud the mistakes, and it is contrary to sound reasoning.

2.3 Approaches the financial planner should take when advising clients.

The central question a planner must ask is: To Moderate or Adapt?

- When *moderating* a client, the financial planner is attempting to change the behaviour of a client to fit a pre-determined or "rational" asset allocation;
- When *adapting* to a client, the financial planner changes the rational asset allocation to adapt to the irrational behaviour of the client.

2.3.1 When to Moderate and When to Adapt

Here are two guidelines that financial advisors can use when deciding when to attempt to moderate the behaviour of their clients to meet the "rational" asset allocation that was created by the advisor or when to change a "rational" asset allocation the advisor would otherwise recommend to adapt to a client's behavioural biases.

2.3.1.1 Guideline 1:

The financial advisor's decision to moderate or adapt to a client's behavioural biases during asset allocation depends largely on the client's wealth level. Specifically, the wealthier the client, the more the advisor can safely adapt the asset allocation to the client's behavioural biases. The less wealthy the client is, the more the advisor should attempt to moderate a client's biased behaviour to match a rational asset allocation.

The rationale for this guideline concerns the concept of "standard of living" risk. Suppose a client is at risk of outliving their assets or seriously jeopardising their standard of living based on their current asset allocation. In that case, this major problem needs to be carefully considered by the advisor.

No advisor wants to be responsible for naturally causing a client to become destitute. If biased behaviour is likely to endanger a client's standard of living, regulating the client's behaviour is likely to be the best course of action.

It can be the case for both too-conservative and too-risky allocations. On the other hand, if a client bears no standard of living risk (that is, the client's standard of living is highly unlikely to be jeopardised and will remain in the 99.9th percentile save a market crash of unprecedented proportions), irrational biases become a lesser consideration, and adapting the rational allocation to the client's irrational behaviour may be the more appropriate action. In other words, destitution constitutes a far graver investment failure than a client's inability to amass the greatest possible fortune.

2.3.1.2 Guideline 2:

The financial advisor's decision whether to moderate or adapt to a client's behavioural biases during the asset allocation process also depends fundamentally on the type of behavioural biases being exhibited by the client. Specifically, clients exhibiting cognitive biases, which stem from illogical reasoning, should be moderated, while those exhibiting emotional biases, which stem from impulsive feelings, should be adapted.

The rationale for Guideline 2 is straightforward. As we have learned, behavioural biases fall into two broad categories, cognitive and emotional, though both types yield irrational decisions.

Because cognitive biases stem from illogical reasoning, better information and advice can often correct them.

Conversely, because emotional biases originate from impulsive feelings or intuition--rather than conscious reasoning--they are difficult to correct.

Financial advisors need to understand this difference because they will become frustrated and ineffective if they attempt to correct biases that they have little chance of correcting.

Cognitive biases include heuristics, such as anchoring and adjustment, availability, and representativeness biases. Other cognitive biases include selective memory and overconfidence.

Emotional biases include regret, self-control, loss aversion, hindsight, and denial.

For advisors who encounter less-wealthy clients exhibiting cognitive biases, the best course of action is to attempt to change the client's behaviour to meet the rational asset allocation that the advisor might typically recommend. For clients exhibiting emotional biases at higher levels of wealth, advisors should modify the rational asset-allocation recommendation and adapt to the client's behavioural biases.

Advisors should offer a blended recommendation for clients at low levels of wealth who exhibit emotional biases and those at high levels of wealth who exhibit cognitive biases.

How might this blended recommendation be accomplished? The short answer is that a client's asset allocation may not change as much, for example, for a higher-wealth client exhibiting emotional biases as when adapting to a higher-wealth client who exhibits cognitive biases. In the case of a less-wealthy client with strong emotional biases, the advisor might modify a client's asset allocation decision modestly rather than recommending the rational asset allocation as an advisor would for a less-wealthy person exhibiting cognitive biases. The following table summarises advisors' adapt and moderate actions with their clients.

2.3.2 Adapt and Moderate Recommendations

Cognitive Bias		Emotional Bias
High Wealth Level	Modest Asset Allocation Change	Stronger Change
Low Wealth Level	Typically Recommend Rational Asset Allocation	Modest Change

2.4 Investment Approaches that the financial planner can follow

2.4.1 Bottom-up approach

In a bottom-up analysis, the financial planner identifies behaviours (biases) either by questionnaire or, once they know enough about biases, by instinct.

2.4.2 Top-down approach

There are three key steps to a top-down approach to a client's investment behaviour. The aim is that you will be able to classify the investor according to a behavioural investor type and can then adjust the asset allocation based on your analysis of the client's behaviour.

The three steps are:

1. Identify active or passive traits;
2. Do a risk tolerance questionnaire;
3. Classify, according to behavioural investor type and confirm the behavioural biases.

Summary

A **bull** has a positive outlook on an asset class or an entire market. In investing terminology, the bull is the opposite of a bear.

A **bear market** is several months or years during which stock prices consistently fall. The term is typically used about the stock market, but it can also describe specific sectors such as real estate, bonds, or foreign exchange.

Risk versus return

All investments carry the risk that you might not get your money back. In return for the risk the client takes, he/ she expects a return compensating for bearing this risk.

The higher the risk inherent in the asset class, the higher the return you can get from an investment and vice versa. Investors aim for the highest possible return.

High return-bearing assets, e.g. stocks, do not necessarily guarantee a high return for the investor. A good investor can weigh the difference between risk and return. Investors with a high-risk tolerance: should invest more money into assets like stocks.

Three Different risk preferences:

1. Risk-indifferent people – no increase in return is required for the increase in risk;
2. Risk avoiders – even a reduction in return is accepted for an increase in risk;
3. Risk acceptors – Wants a higher return for higher risk.

What needs to be taken into consideration?

1. *Time Horizon* – always consider the amount of time the client has to keep their money invested. The riskier an investment is, the higher its volatility/price fluctuations. Longer time horizons mean more time to recoup possible losses and, therefore, more tolerance of higher risks;
2. *Finances* – determining the amount of money the client can stand to lose, invest only this money in high-risk investments so that you do not have to be pressured to sell off investments in a panic. The more money you have, the more risk you can take;
3. *Short-term and long-term goals* - Determine the client's short-term and long-term goals— E.g. Short-term: Children's education, long-term: retirement.

The risk associated with different asset classes

Each asset class has different levels of risk and return. Generally, the higher the potential income or capital growth, the higher the risk associated with a particular product.

Diversification

Creating diversification by dividing assets among major categories such as cash, bonds, stocks, and property will result in the best risk/return combination.

Diversification is the key to managing portfolio risk because it allows investors to minimise risk without adversely affecting the return.

Investment Risk Pyramid (one possible tool)

After deciding how much risk is acceptable in the client's portfolio, the investor can use the risk pyramid approach during asset allocation.

The central question a planner must ask is: To Moderate or Adapt?

- When *moderating* a client, the financial planner is attempting to change the behaviour of a client to fit a pre-determined or "rational" asset allocation;

- When *adapting* to a client, the financial planner changes the rational asset allocation to adapt to the irrational behaviour of the client.

Investment Approaches that the financial planner can follow

Bottom-up approach

In a bottom-up analysis, the financial planner identifies behaviours (biases) either by questionnaire or, once they know enough about biases, by instinct.

Top-down approach

There are three key steps to a top-down approach to a client's investment behaviour. The aim is that you will be able to classify the investor according to a behavioural investor type and can then adjust the asset allocation based on your analysis of the client's behaviour.

The three steps are:

1. Identify active or passive traits;
2. Do a risk tolerance questionnaire;
3. Classify, according to behavioural investor type and confirm the behavioural biases.

Unit 5: Self-Assessment

Please note that the questions which follow are formative.

1. Explain the possible effect of different market conditions on asset classes. Also, indicate which asset classes will do well in a bear and bull market.

2. Your client, Peter Atkins, is moderately conservative. Considering the client's risk tolerance and current market conditions, propose which portfolio of asset classes a client should invest in. Take the following into consideration:
 - a) Risk versus return;
 - b) Client's risk tolerance;
 - c) Risks associated with different asset classes;
 - d) Diversification;
 - e) Any tools you can use to assist you?

3. Discuss the relationships between asset classes concerning the changes in market conditions and investor behaviour.

4. Discuss the three common mistakes clients make when there is a change in market conditions.

5. According to behavioural finance, when dealing with clients, the financial planner should take one of two possible approaches when advising clients. Please describe these.

6. The financial planner can follow two approaches to advise a client regarding his investments. Give a brief description of the bottom-up and top-down approaches.

Unit 5: Self-Assessment: Answers

Please note that the questions which follow are formative.

1. Explain the possible effect of different market conditions on asset classes. Also, indicate which asset classes will do well in a bear and bull market.

Effect of different market conditions on asset classes.

The Bull market has a strong demand and weak supply of stock. Share prices will rise. In a bear market, more people are looking to sell than buy.

The investor's interpretation of the market is critical in determining the stock market performance. E.g. During a bear market, investors would move their money out of equities and into fixed-income stock.

A bear market is associated with a weak economy, and in a bull market, the reverse is true.

Bull market

Investors must take advantage of rising prices by buying early and selling when shares reach their peak. Invest in more equity with a higher probability of return.

During an upward trend, investment in the following asset classes would be best:

- Equities – beginning of upswing;
- Shares – beginning of upswing;
- Cash – later on, an upswing.

Bear market

Chances of losses with shares are higher. Prices continually lose value. Safer investments are recommended e.g. fixed-income stock.

During a downward trend, investment in the following asset classes would be best:

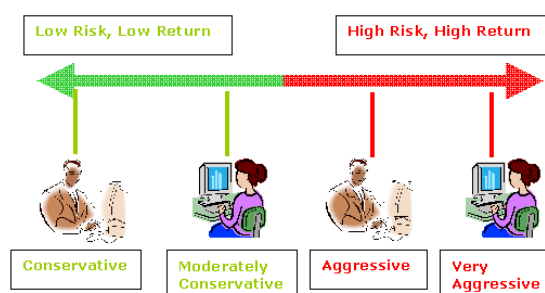
- Bonds – start of downswing;
- Cash.

2. Your client, Peter Atkins, is moderately conservative. Considering the client's risk tolerance and the current market conditions, propose which portfolio of asset classes a client should invest in. Take the following into consideration:

- a) Risk versus return;⁸¹
- b) Client's risk tolerance;⁸²
- c) Risks associated with different asset classes;
- d) Diversification;⁸³
- e) Any tools you can use to assist you?

a) Risk versus return

The risk-return tradeoff states that the potential return rises with an increase in risk. Using this principle, individuals associate low levels of uncertainty with low potential returns and high levels of uncertainty or risk with high potential returns. According to the risk-return tradeoff, invested money can only render higher profits if the investor accepts a higher possibility of losses. In theory, the higher the risk, the more



⁸¹ Fundamentals of Financial Planning, Chapter 14

⁸² Fundamentals of Financial Planning, Chapter 14

⁸³ Fundamentals of Financial Planning, Chapter 14

you should receive for holding the investment, and the lower the risk, the less you should receive, on average.

For investment securities, we can create a chart with the different types of securities and their associated risk/reward profiles.

Although this chart is not scientific, it provides a guideline that investors can use when picking different investments. Located on this chart's upper portion are investments with higher risks but might offer investors a higher potential for above-average returns. On the lower portion are much safer investments, but these investments have a lower potential for high returns.

b) Determining the client's risk tolerance

Risk preferences refer to a specific person's attitude towards risk – to what extent will a person be prepared to accept or not accept the risk?

Three Different risk preferences:

1. Risk-indifferent people – no increase in return is required for the increase in risk;
2. Risk avoiders – even a reduction in return is accepted for an increase in risk;
3. Risk acceptors – Wants a higher return for higher risk.

What needs to be taken into consideration?

1. *Time Horizon* – always consider the amount of time the client has to keep their money invested. The riskier an investment is, the higher its volatility/price fluctuations. Longer time horizons mean more time to recoup possible losses and, therefore, more tolerance of higher risks;
2. *Finances* – determining the amount of money the client can stand to lose, invest only this money in high-risk investments so that you do not have to be pressured to sell off investments in a panic. The more money you have, the more risk you can take;
3. *Short-term and long-term goals* - Determine the client's short-term and long-term goals. E.g. Short-term: Children's education, long-term: retirement.

c) The risk associated with different asset classes

Each asset class has different levels of risk and return. Generally, the higher the potential income or capital growth, the higher the risk associated with a particular product.

The different levels of risk of the different asset classes are summarised below as low, medium or high risk, as follows:

Asset Class	Example	Level of risk
Cash	Savings or deposit accounts	Low
Property	Houses, shops and factories	Low to medium
Bonds (gilts)	Loans to institutions	Low to medium
Shares (equities)	Part ownership of companies	Medium to high
Derivatives	Futures and options	Medium to high

Asset Class	Risk
Cash	- Returns depend on the provider, e.g. bank; - The provider gives a specific date for income and capital payments; - Banks can also go insolvent; - Inflation might be higher than the growth of investment; - Diversification still best solution.
Bonds	Most secure long-term investment.
Equities	- Income and capital values are uncertain; - Diversification reduces risk; - Equity investments in specific sectors can be used to hedge the risk of other areas.
Property	- Not finding tenants; - Capital values depreciate.

d) Diversification

Creating diversification by dividing assets among major categories such as cash, bonds, stocks, and property will result in the best risk/return combination.

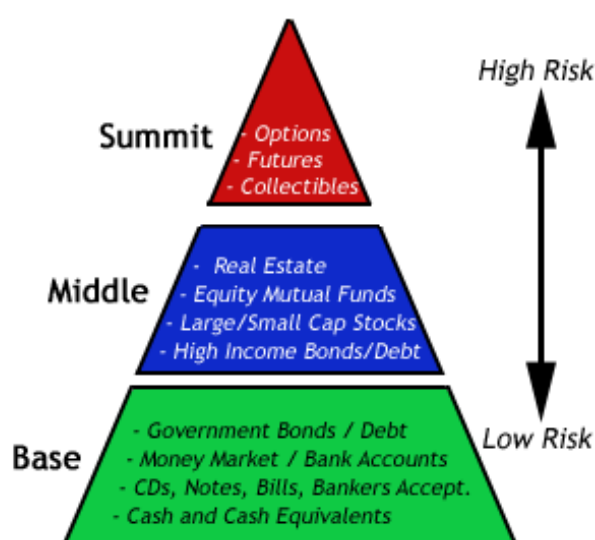
Diversification is the key to managing portfolio risk because it allows investors to minimise risk without adversely affecting the return.

For diversification to reduce risk, one has to assume that different assets will perform differently over the same period. Investments, which are positively correlated, will tend to move in the same direction simultaneously.

The negative of this relationship is essential for the planning and management of investment portfolios. Correlation measures the degree of the mutual relationship between two random values.

e) Investment Risk Pyramid (one possible tool)

After deciding how much risk is acceptable in the client's portfolio, the investor can use the risk pyramid approach during asset allocation.



This pyramid can be considered an asset allocation tool that investors can use to diversify their portfolio investments according to the risk profile of each security. The pyramid, representing the investor's portfolio, has three distinct tiers:

- **The base of the Pyramid** – The foundation of the pyramid represents the most substantial portion, which supports everything above it. This area should be comprised of investments that are low in risk and have foreseeable returns. It is the largest area and composes the bulk of your assets;
- **Middle Portion** – This area should be made up of medium-risk investments that offer stable returns while allowing for capital appreciation. Although riskier than the assets creating the base, these investments should still be relatively safe;
- **Summit** – Reserved specifically for high-risk investments, this is the smallest area of the pyramid (portfolio) and should be made up of money you can lose without any serious repercussions. Furthermore, money in the summit should be disposable so that you do not have to sell prematurely in instances where there are capital losses.

Both investors & clients have personal preferences. The client's net worth does not necessarily link to whether he prefers a high or low-risk portfolio. Those who want more risk in their portfolios can increase the size of the top of the pyramid, and if they want less risk, they can increase the base of the pyramid.

Investment solution

- Investors with a higher risk tolerance should allocate more money to stocks;
 - Investors with lower risk tolerance should invest in, e.g. equities as indicated in the table above.
3. Discuss the relationships between asset classes concerning the changes in market conditions and investor behaviour.
- The learner must present the assessor with a scenario where the following is clear.
- he/ she must mention a specific change in market conditions;
 - he/ she must show the influence of this change on investor behaviour and give reasons for why the investor will change his behaviour.
4. Discuss the three common mistakes clients make when there is a change in market conditions.

The mistakes tend to be:

- (a) irrational;
- (b) we are often unaware of it, and
- (c) the mistakes tend to repeat themselves systematically.

By describing the mistakes as irrational, we mean that illogical emotions cloud the mistakes, and it is contrary to sound reasoning.

5. According to behavioural finance, when dealing with clients, the financial planner should take one of two possible approaches when advising clients. Please describe these.

The central question a planner must ask is: To Moderate or Adapt?

- When *moderating* a client, the financial planner is attempting to change the behaviour of a client to fit a pre-determined or "rational" asset allocation;
- When *adapting* to a client, the financial planner changes the rational asset allocation to adapt to the irrational behaviour of the client.

6. The financial planner can follow two approaches to advise a client regarding his investments. Give a brief description of the bottom-up and top-down approaches.

Bottom-up approach

In a bottom-up analysis, the financial planner identifies behaviours (biases) either by questionnaire or, once they know enough about biases, by instinct.

Top-down approach

There are three key steps to a top-down approach to a client's investment behaviour. The aim is that you will be able to classify the investor according to a behavioural investor type and can then adjust the asset allocation based on your analysis of the client's behaviour.

The three steps are:

1. Identify active or passive traits;
2. Do a risk tolerance questionnaire;
3. Classify, according to behavioural investor type and confirm the behavioural biases.

Unit 6

Discuss the composition of the investment portion of a financial portfolio with reference to asset classes



Analyse and describe the composition of an investment portion of a financial portfolio concerning asset classes.



Investigate how the asset classes impact on the investment portion of a financial portfolio.



You will need to achieve the following:

- Impact of diversification,
- Volatility;
- Market risk;
- Currency risk;
- Optimal growth;
- The expected rate of return;
- Balancing of the portfolio.



You will need to achieve the following:

- Analyse and describe the composition of an investment portion of a financial portfolio concerning asset classes.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments, Nic Oldert, March 2019, Profile Media



Purpose

Portfolio

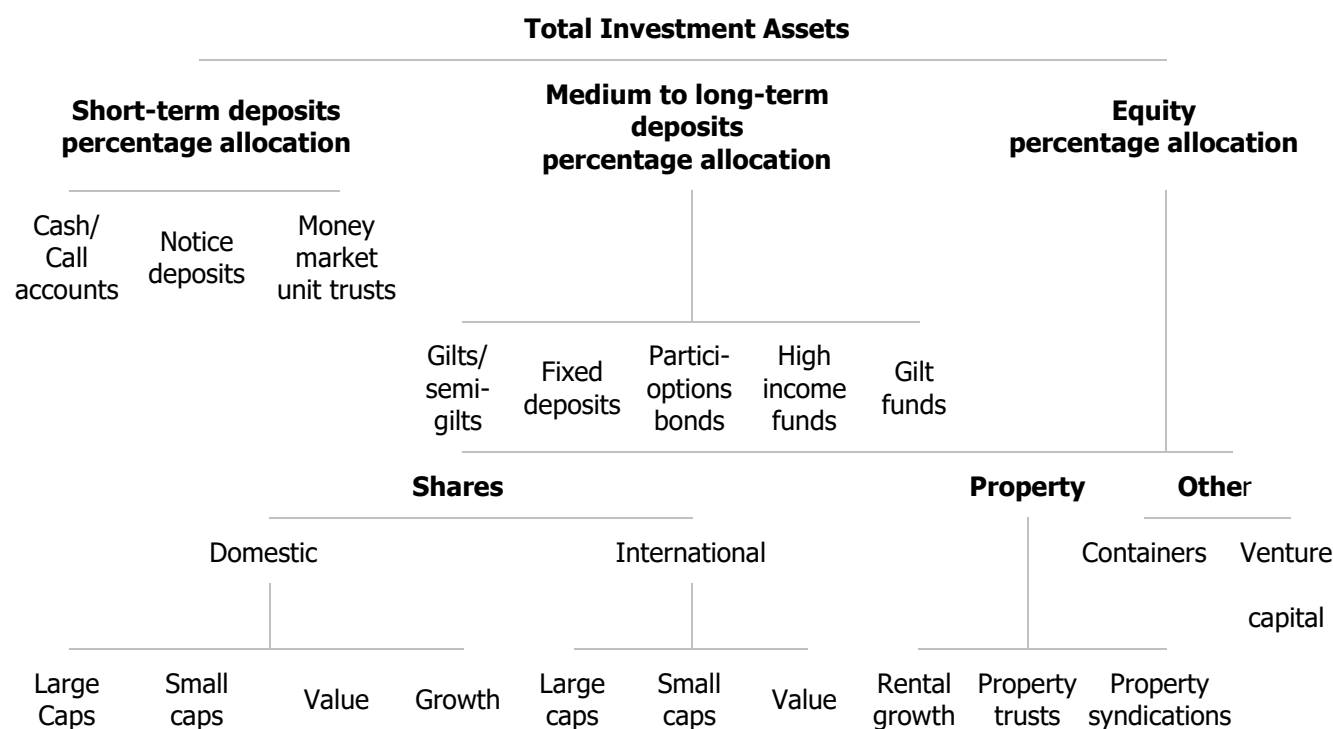
A portfolio is a group of investments. The more diversified the investments in a portfolio, the more likely the investor is to earn the same return as the market.

If you own more than one security, you have an investment portfolio.

You build your portfolio by buying additional stock, bonds, annuities, mutual funds, or other investments. Your goal is to increase the portfolio's value by selecting investments that you believe will go up in price.

According to modern portfolio theory, you can reduce your investment risk by creating a diversified portfolio that includes different asset classes and individual securities chosen from different segments, or subclasses, of those asset classes. That diversification is designed to take advantage of the potential for strong returns from at least some of the portfolio's investments in any economic climate.

An investment portfolio needs to be regularly reviewed in order to ensure that it still meets the investor's needs and matches his or her risk profile.



KO1: The composition of the investment portion of a financial portfolio**1.1 Why is asset allocation so important?**

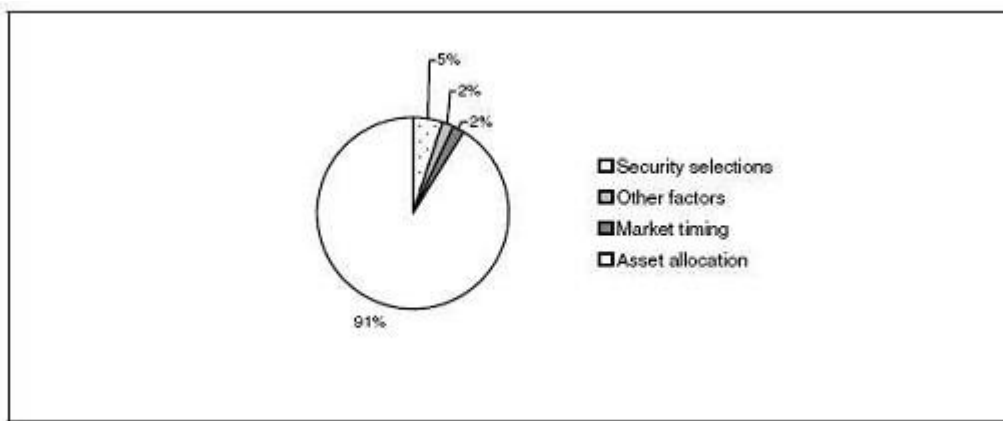
Research investors like Sir John Templeton, William Sharpe, John C Bogle, Warren Buffet, etc.⁸⁴

Sir John Templeton says that “asset allocation and diversification are the foundation stones of successful long-term investing”. It is a qualitative judgement, but he is one of the most successful investors the world has ever seen. His contention is borne out by those who have done quantitative studies on the subject.

William Sharpe, who won the Nobel Prize for Economics for research on what determines investment performance, also concluded that asset allocation is the major contributor to investment performance.

In his studies, he found that an average 90% of the monthly variation of returns in a large sample of US mutual funds is explained by the asset allocation, while only 10% is explained by specific share selection. In a study of collective investment scheme performance by John C Bogle, *Common Sense on Mutual Funds, New implications for the Intelligent Investor*, he found that asset allocation accounted for 84.9% of the variation in returns in balanced funds.

In the US, a company called Ibbotson and Associates has done a regular and comprehensive analysis of the performance of various investments. According to its research, as far as the profit impact is concerned, the most significant decision an investor makes is the allocation of funds to various asset classes, not the choice of an individual stock. An examination of the accompanying pie chart tells the same story visually.



Source: “Determinants of Portfolio Performance 11: An update” by Gary P Brinson, Brian D and Gilbert L Beebower. *Financial Analysts Journal*, May/June 1991.

While these studies relate to the USA, they make sense as far as South Africa is concerned.

Investing in the right asset class is more important than trying to receive above-average returns in a poor asset class.

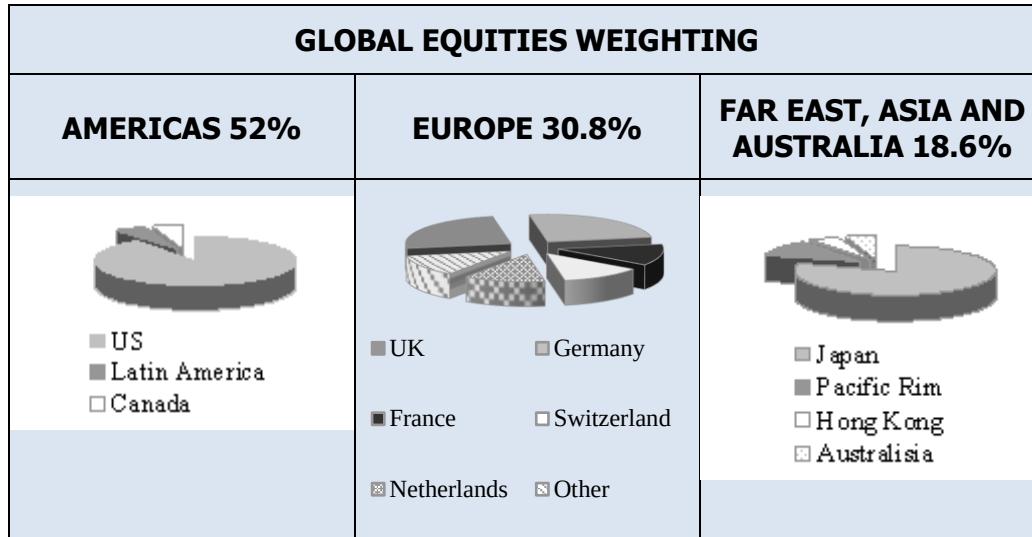
⁸⁴ The South African Financial Planning Handbook, Chapter 19

1.2 What impact does diversification⁸⁵ have on a portfolio?⁸⁶ Provide global equity weightings and other statistics to substantiate your answer.

Diversification across asset classes increases returns and reduces risk. Geographical diversification does the same.

The South African market is tiny relative to the world's major stock exchanges. It is primarily due to the number of companies listed on those stock exchanges. The Johannesburg Stock Exchange lists just over 400 companies. North America lists over 14 000.

South Africa also boasts a mere 0.6% of the world's quoted equities.



By limiting investment locally, South Africans would focus their capital on an extremely restricted range of investment opportunities. They would also miss major developments in technology, health and communications.

An article by Anne Cabot-Alletzhauser of M Cubed entitled "Knowing Your Asset Allocation from Your Elbow" compares the performance of four portfolios from September 1976 to September 1996. In each case, the initial amount invested was R10 000.

Asset classes	Portfolio 1	Portfolio 2	Portfolio 3	Portfolio 4
Equities	75%	60%	50%	25%
Bonds	10%	20%	50%	25%
Property	7.5%	10%		25%
Cash	7.5%	10%		25%
The value after 10 years	R244 766	R164 670	R98 574	R69 634
Annual return	20.01%	17.23%	13.89%	11.85%
Volatility	16.16	14.01	12.3	8.8

Over the 20 years, the portfolio that was heavily geared to equities performed better than the others. However, the fluctuations in the value of that portfolio during the period were much more significant.

⁸⁵ Fundamentals of Financial Planning, Handbook, Chapter 14

⁸⁶ The South African Financial Planning Handbook, Chapter 19

Two points need to be stressed about using correlations for asset allocation. Firstly, correlations can vary substantially over time. A correlation that applies to one particular period may not apply to another. Secondly, one should design a portfolio where asset classes are not closely correlated to achieve effective asset allocation.

The following table shows the correlation between SA equities, SA bonds, SA Cash and SA Listed property and Global Equities and Bonds and US Cash for the 10 years ending 2007.

	SA Equities	SA Bonds	SA Cash	Global Equities (Rand)	Global Bonds (Rand)	US Cash	SA Listed Property
SA Equities	100%						
SA Bonds	–1%	100%	100%	100%	100%	100%	100%
SA Cash	–24%	20%	–22%	65%	91%	30%	
Global Equities (Rand)	57%	–34%	–5%	73%	34%		
Global Bonds (Rand)	10%	–30%	–13%	54%			
US Cash	12%	–41%	–20%				
SA Listed Property	58%	9%					

1.3 The volatility of investment returns⁸⁷ and the measurements that can be used to measure volatility.

Looking at the statistics quoted, it would seem that all an investor needs to do is buy some collective investment schemes and hold them. Taking a 20-year view and being prepared to accept wide swings in the value of the investments might be the correct strategy to follow.

There are three reasons why this approach can be challenged.

- **The first reason** is that different assets perform differently at different phases of the economic cycle.
There are periods where Gilts investments have outperformed equities. Since 1960, this has happened on no less than 14 occasions.
- **The second reason** is that certain investments fluctuate much more widely than others do.

Since 1960, the JSE All Share Index has varied from a loss of 25.8% to a gain of 91.3%. If an investor had been forced to liquidate the portfolio in a market downturn, the result would have been disastrous.

The way we measure this volatility is to take the standard deviation of a specific asset class. Standard deviation estimates the likely divergence of an actual return from an expected return. If the expected return on investment is 20% per annum and its standard deviation is 25, the expected return would fall within the range of –5% and +45% in two out of three years.

It puts an entirely different perspective on quoting historical rates of return, which are often only valid if the time horizon of the individual's investment is very long-term.

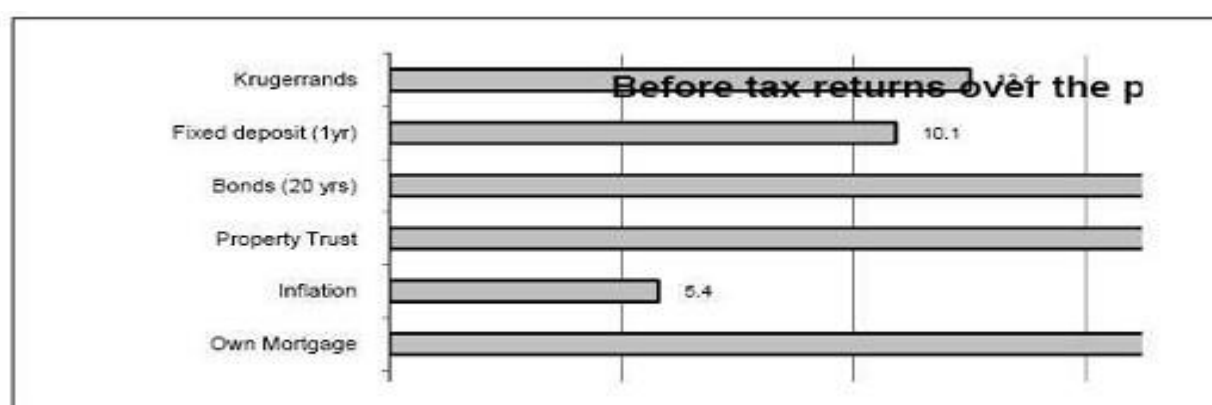
⁸⁷ The South African Financial Planning Handbook, Chapter 19

The standard deviation of various South African investments for the past 20 years is given in the table below.

Asset class	20-year annual return before tax	Standard deviation
Gold	7.5	21.3
Equities	17.0	22.3
Bonds	18.2	13.6
Fixed deposits (1 year)	11.8	3.3
Property unit trusts	18.4	17.6
Own mortgage	16.3	3.1
Inflation	8.7	4.5

- The third reason is that South African financial policy has changed to one that pays real rates of interest.

The table below shows the impact that this can have on returns.



Taking a long-term view, it can be argued that investors should pay off their bond first, then invest in a portfolio weighted towards equities for long-term growth and also hold Gilts and cash to reduce the volatility of their portfolio.

1.4 The term risk and market risk.⁸⁸ How does managing risk impacts on you as a financial planner?

For financial planning, the concept of risk can be defined as follows:

The risk is a condition in which there is a possibility of an adverse deviation from the desired outcome that is expected or hoped for.⁸⁹

Given this definition, risk is a phenomenon that confronts us all in different ways, both as individuals and within the business, which may result in adverse circumstances arising. The possibility that an undesirable outcome may arise due to a change in circumstances is called a risk. As such, risk is always related to uncertainty. We try to reduce the uncertainty and the consequences of risk by managing risks differently. Although there are many different types of risk, financial risk is usually the risk financial advisors are most concerned about.

⁸⁸ The South African Financial Planning Handbook, Chapter 19

⁸⁹ Vaughan J, *Fundamentals of Risk & Insurance*, page 18. Wiley.

1.4.1 Financial risk consists of the risks associated with money in all its different forms.

The nature, severity and frequency of risks (including financial risk) vary from person to person and business. The variations in risk depend on the available resources, the risk prevention strategies that are in place, and the attitude to risk of individuals and businesses. It also depends on the exposure a person has to risk, many of which are outside of our control. For example, we have no direct control over the interest rates and the effect that movement in the interest rates will have on available cash.

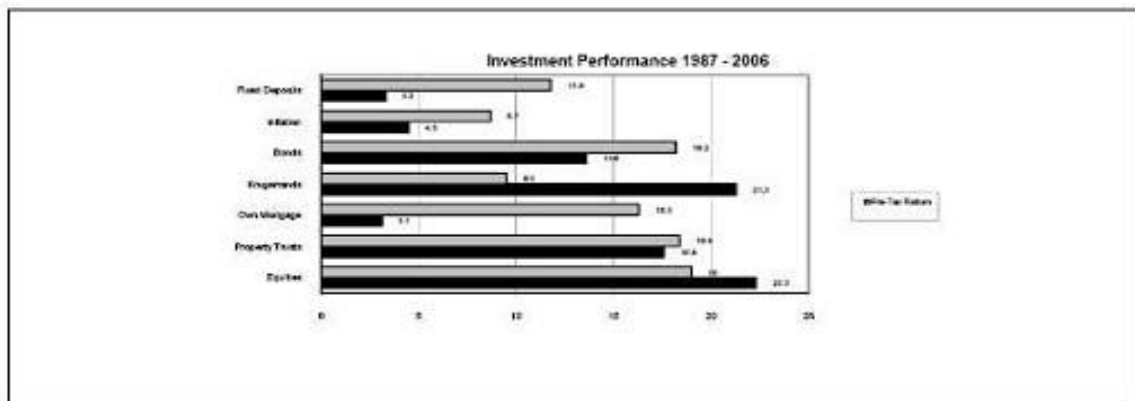
To minimise the risk, it is essential to capture any relevant information. It will put you in a better position to analyse the information and identify trends that are taking place over time. By managing the risk, you will be able to take the necessary course of action to limit the losses going into the future, and you will be able to take advantage of the opportunities that arise.

For an investment manager, risk can be defined as how much the investment is likely to diverge from its expected return. This risk is normally measured by the standard deviation of an investment. The standard deviation is a simple statistical measure of how much the investment is likely to diverge from its expected return. Sometimes the term “volatility” is used instead of the more technical term “standard deviation”.

Volatility, therefore, indicates the riskiness of a particular investment, a portfolio of investments, or the market as a whole.

Mathematically, the standard deviation is the square root of the investment’s variance. The variance of an investment is the arithmetic average of the squares of the deviations around the investment’s arithmetic average.

Fortunately, an investor does not need to understand how these figures are derived mathematically. It is much more important to understand the significance of the concepts.



Source: Franco Buseti – Credit Suisse Standard Securities

1.5 The volatility of the rand and currency risk in general.⁹⁰

South Africa is vulnerable to world sentiments as an emerging economy. The rand has declined consistently since 1980. In 1996, a 28% return would have been realised just by holding dollars.

During 1999, the rand behaved more stably. It weakened against the yen, which was internationally strong and declined marginally against the dollar. Indeed, it appreciated against other major currencies, such as the British pound and the euro. In 2000, the rand depreciated substantially against the US dollar. It did the same in 2001. In 2002 and 2003, however, it appreciated dramatically in value and held onto its gains in 2004. From 2008 to 2009, there were wide fluctuations in value. The rand can be a volatile currency, as the table below shows.

SA RAND vs US DOLLAR	
Year	% Change
2000	–18.8%
2001	–37%
2002	37.6%
2003	27.8%
2004	17.5%
2005	–10.8%
2006	–7.41%
2007	2.8%
2008	–37%
2009	24.7%

Offshore investment is an excellent means of hedging against the negative effects of a depreciating currency. The returns expected from these investments may be relatively attractive in their own right.

One major problem in this area is the question of currency risk. Ideally, global asset allocation should be currency hedged unless one can accurately forecast currency returns, an impossible task and too expensive.

Certain examples highlight the importance of this.

From a US dollar perspective, foreign exchange accounts for 33% of the risk in an un-hedged foreign equity portfolio.

In the case of Gilts, foreign exchange accounts for 88% of the risk in an unhedged international Gilts portfolio.

In the case of Australian dollars, the figures are 27% for equity and 82% for Gilts.

In the ten years ending 1998, the volatility of the Japanese stock market was 20.1% in yen. In US dollars, it was 25.8%. Gilts were 6.9% in yen but 17% in US dollars.

1.6 Foreign exchange as a percentage of the risk involved in overseas investment⁹¹

Currency	Unhedged foreign equity	Unhedged international Gilts
US Dollar	33%	88%
Australian Dollar	27%	82%
Japanese stock market investments		
	Equity	Gilts
Japanese Yen	20.1%	6.9%
US Dollar	25.8%	17%

Currency adds another dimension to the asset allocation problem.

There are enormous opportunities for the few that can successfully bet on exchange rates. The majority should hedge.

⁹⁰ The South African Financial Planning Handbook, Chapter 19

⁹¹ The South African Financial Planning Handbook, Chapter 19

1.7 What exactly is an investment portfolio?⁹²

It is an important question to answer for the client. Every client has different needs during his lifetime.

Some of these needs are as follows:

- risk protection planning;
- retirement planning;
- estate planning;
- investment planning.

It is no longer feasible for the financial planner to evaluate the client's risk and add relevant risk benefits together with a unit trust portfolio. Providing clients with a structured investment plan detailing long-term financial objectives is becoming increasingly important.

An investment plan consists of a portfolio that will meet the client's investment needs over a specified period. Drawing up an investment portfolio is discussed in more detail below.

1.8 Portfolio construction.⁹³

What must the financial planner consider when recommending a portfolio of investments to a client?

Provide a breakdown of how you will allocate the client's investment portfolio by percentage.

A financial planner must consider the following questions when recommending a portfolio of investments to a client:

- Which asset classes should be invested in? Being in the right asset class or the right country is more important than getting above-average returns in a poor asset class or emerging country. As we showed earlier, this is of critical importance in determining investment performance;
- What policy weights should be assigned to those classes over the long term?
- What short-term strategic weights should be assigned to each asset class?
- Which managers and management strategies should be used within and/or across asset classes?

Ibbotson and Brinson give an example of such a portfolio of investments by percentage.

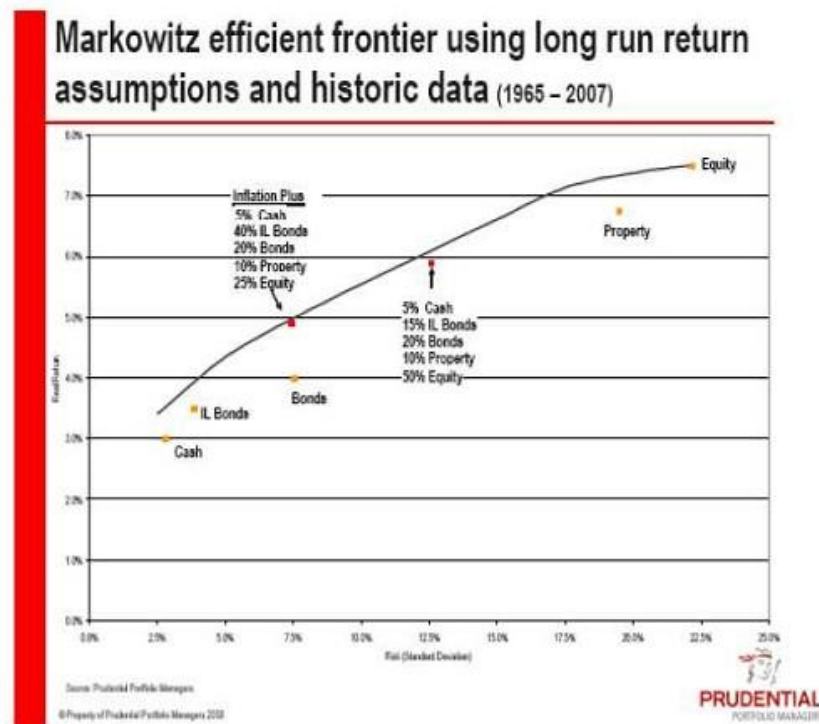
	Policy norm	Range
Equity	55	30–80
<i>Domestic</i>	45	25–75
Large capitalisation	30	15–45
Specialised equity	15	15–30
<i>International</i>	10	15–15
Venture capital	5	3–6
Fixed income	25	1–10
<i>Domestic</i>	15	15–30
<i>International</i>	10	15–15
Real estate	15	12–18
Cash management	0	10–45

Recently they amended these ratios. International shares have been increased to 15%, and real estate has been reduced.

⁹² Fundamentals of Financial Planning, Chapter 14

⁹³ The South African Financial Planning Handbook, Chapter 19

Another portfolio design approach is trying to achieve a specifically targeted return as efficiently as possible. A chart produced by Prudential using the Markowitz efficient frontier model for the period 1965 to 2007 highlights the asset allocation that would have been most efficient for achieving returns of CPI+6 and CPI+7.



1.9 Conclusion⁹⁴

We can diversify the client's investment portfolio:

- across asset classes;
- within asset classes;
- geographically.

As Peter Bernstein has pointed out in his book, *Against the Gods, The Remarkable Story of Risk*, the most fundamental principle of investment theory is that one cannot expect to make large profits without taking the risk of substantial losses.

Diversification is not a guarantee against a loss. It is, however, a guarantee against losing everything at once. For financial planners, it is a prudent thing to do.

In the USA, the basic rule governing the investment of trust assets, known as the prudent investor rule, has been restated: "Focus on the trust's portfolio as a whole and the investment strategy on which it is based, rather than viewing a specific investment in isolation" (American Law Institute Publications 1992 p ix).

⁹⁴ The South African Financial Planning Handbook, Chapter 19

Summary

A portfolio is a group of investments. The more diversified the investments in a portfolio, the more likely the investor is to earn the same return as the market.

If you own more than one security, you have an investment portfolio.

You build your portfolio by buying additional stock, bonds, annuities, mutual funds, or other investments. Your goal is to increase the portfolio's value by selecting investments that you believe will go up in price.

Diversification across asset classes increases returns and reduces risk. Geographical diversification does the same.

The South African market is tiny relative to the world's major stock exchanges. It is primarily due to the number of companies listed on those stock exchanges. The Johannesburg Stock Exchange lists just over 400 companies. North America lists over 14 000.

Taking a 20-year view and being prepared to accept wide swings in the value of the investments might be the correct strategy to follow.

There are three reasons why this approach can be challenged.

- The first reason is that different assets perform differently at different phases of the economic cycle;
- The second reason is that certain investments fluctuate much more widely than others;
- The third reason is that South African financial policy has changed to one that pays real rates of interest.

For financial planning, the concept of risk can be defined as follows:

The risk is a condition in which there is a possibility of an adverse deviation from the desired outcome that is expected or hoped for.

By managing the risk, you will be able to take the necessary course of action to limit the losses going into the future, and you will also be able to take advantage of the opportunities that arise.

Every client has different needs during his lifetime.

Some of these needs are as follows:

- risk protection planning;
- retirement planning;
- estate planning;
- investment planning.

A financial planner must consider the following questions when recommending a portfolio of investments to a client:

- Which asset classes should be invested in? Being in the right asset class or the right country is more important than trying to get above-average returns in a poor asset class or emerging country. As we showed earlier, this is of critical importance in determining investment performance;
- What policy weights should be assigned to those classes over the long term?
- What short-term strategic weights should be assigned to each asset class?
- Which managers and management strategies should be used within and/or across asset classes?

Ways to diversify the client's investment portfolio:

1. across asset classes;
2. within asset classes;
3. geographically.

Unit 6: Self-Assessment

Please note that the questions which follow are formative.

1. What impact does diversification have on a portfolio?

2. What is an Investment portfolio?

3. How do you build a portfolio?

4. For the purposes of financial planning, the concept of risk can be defined as?

5. Every client has different needs during his lifetime. What are some of those needs:

6. A financial planner must consider at least 4 questions when recommending a portfolio of investments to a client. What are the questions to consider?

Unit 6: Self-Assessment: Answers

Please note that the questions which follow are formative.

1. What impact does diversification have on a portfolio?

Diversification across asset class increases returns and reduces risk. Geographical diversification does the same.

2. What is an Investment portfolio?

If you own more than one security, you have an investment portfolio.

3. How do you build a portfolio?

You build your portfolio by buying additional stock, bonds, annuities, mutual funds, or other investments.

Your goal is to increase the portfolio's value by selecting investments that you believe will go up in price.

4. For financial planning, the concept of risk can be defined as:

The risk is a condition in which there is a possibility of an adverse deviation from the desired outcome that is expected or hoped for.

By managing the risk, you will be able to take the necessary course of action to limit the losses going into the future, and you will be able to take advantage of the opportunities that arise.

5. Every client has different needs during his lifetime. What are some of those needs:

- risk protection planning;
- retirement planning;
- estate planning;
- investment planning.

6. A financial planner must consider at least 4 questions when recommending a portfolio of investments to a client. What are the questions to consider?

- Which asset classes should be invested in? Being in the right asset class or the right country is more important than trying to get above-average returns in a poor asset class or emerging country. As we showed earlier, this is of critical importance in determining investment performance;
- What policy weights should be assigned to those classes over the long term?
- What short-term strategic weights should be assigned to each asset class?
- Which managers and management strategies should be used within and/or across asset classes?

Unit 7

Analyse the risk profile of a client in order to propose a financial solution



At the end of the session, you will be able to:
Analysing the risk profile of a client in order to propose a financial solution.



Investigate how the market conditions impact on asset classes to assist with the pricing of unit trusts, product development, and giving information to intermediaries, financial planners and advisors.



You will need to achieve the following:

- The personal circumstances of a client are determined in terms of needs, wants, the appetite for risk and lifestyle;
- A client's financial situation is analysed to determine a risk profile at a specific life stage;
- The risk profile of a client is matched to the appropriate asset classes;
- The risk a client is prepared to take is matched to the risk associated with the different asset classes in order to recommend an investment solution for a specific client.

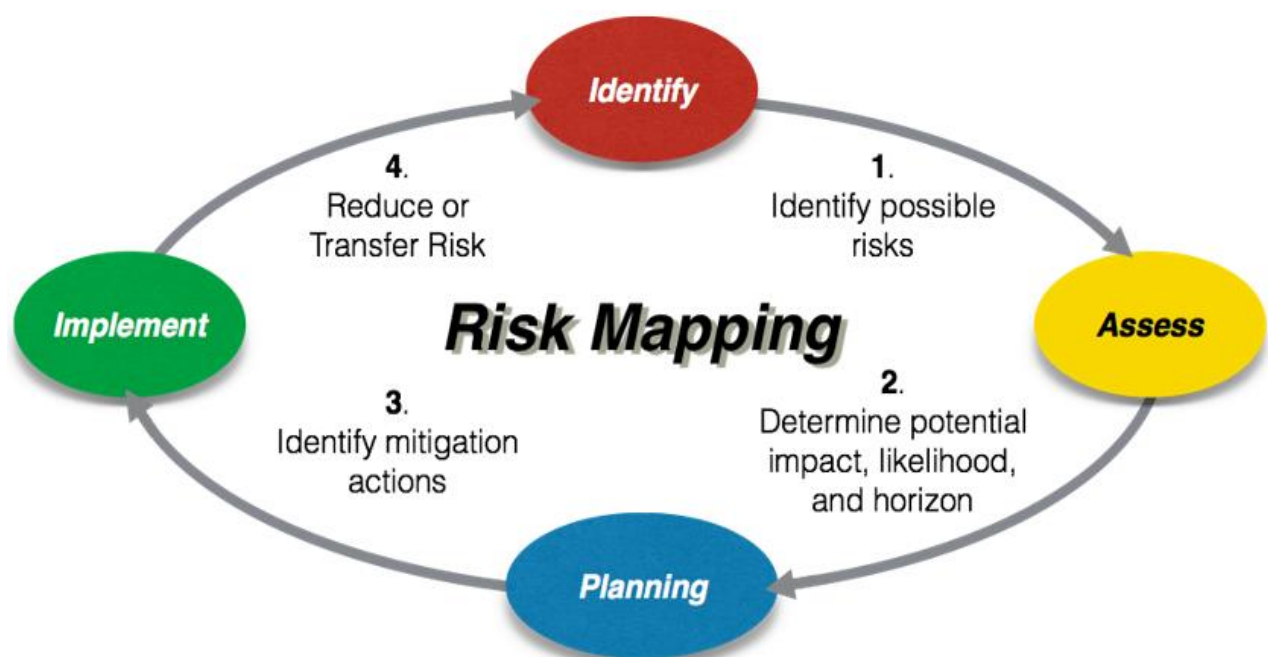


You will need to achieve the following:

- Communicate effectively in proposing a financial solution to a client.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis);
- Profile's Unit Trust & Collective Investments, Nic Oldert, March 2019, Profile Media



Purpose

Successful investing requires an understanding of the fundamental risk and return relationship - the more risk you take; the higher your returns are likely to be in the long term. Moreover, the higher the long-term returns the more volatility you may have to endure in the short term.

Risk tolerance is the degree of uncertainty that an investor can handle a negative change in the value of his or her portfolio.

An investor's risk tolerance varies according to age, income requirements, financial goals, etc.

For example, a 70-year-old retired widow will generally have a lower risk tolerance than a single 30-year-old executive, who generally has a longer time frame to make up for any losses she may incur on her portfolio.

KO1: Determine the personal circumstances of a client in terms of needs, wants, the appetite for risk and lifestyle.⁹⁵

1.1 Identify a client and then qualify this client by way of a short questionnaire. Draw up a list of 10 possible questions that you can ask the client to ensure that you can offer him/her the service the client requires and match that with your ability to supply this service.

The learner needs to select a live client for which they do an analysis. The following needs to be addressed as part of this activity.

- 1.1.1 Before embarking on a client-focused consultative selling process with every person who comes into your office, only to find that you are not in a position to assist them or that the client does not meet your client profile, it is worth spending some time qualifying the client. By doing so you will save time and money and focus your energies where they will pay off.
- 1.1.2 A process of qualifying the client may consist of a short questionnaire to identify the types of services and products the client is looking for. If you do not offer the necessary services and products, it is better to refer the client to a colleague who can offer the client the services and products he is looking for, rather than trying to be all things to all clients.

Some of the areas that should be covered when qualifying clients

- What exactly are the needs or wants of the client?
- What services and products does the client require?
- What part of the life cycle is the client in?
- What is the client's appetite for risk?
- Does the client have any knowledge of financial planning?
- Does the client want to purchase a product for a specific need only?
- Does the client require full financial planning to be done by a financial planner?
- What are the goals and objectives of the client?
- What are the expectations of the client concerning the financial planning process?
- Is the client happy with your fee structure?

⁹⁵ Fundamentals of Financial Planning, Chapter 14

KO2: Analyse a client`s financial situation and determine a risk profile at a specific life stage.

2.1 Study the material in the book: Fundamentals of Financial Planning, Chapter 4 about the life cycle model and briefly discuss how you can apply this to investment planning for your clients. Also, read the section in chapter 14 regarding risk profiling versus lifestyle planning. Make use of the life cycle model to substantiate your answer.⁹⁶

Life cycle model⁹⁷

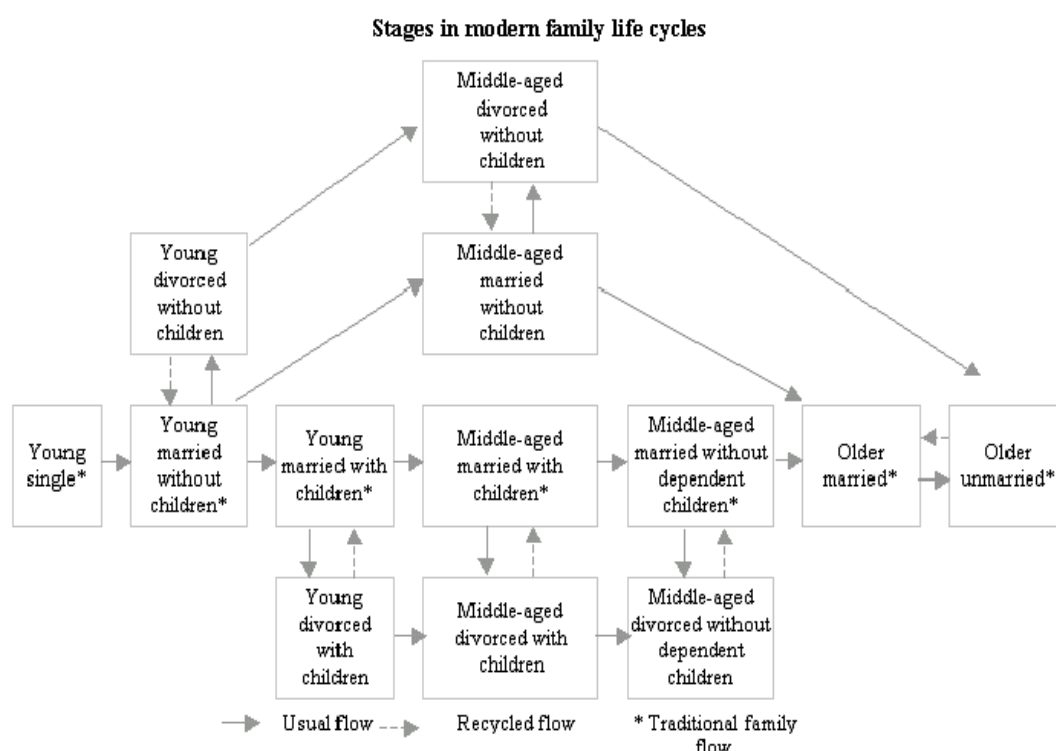
The life cycle model is concerned with consumption and saving of income by taking into account the income and expenditure patterns of a client over their lifetime. Where the client is in their life cycle will have a bearing on their income and expenditure patterns.

Initially, individuals rely on others to expend money on their behalf while in their younger years.

Then during their working lives, they need to generate sufficient income to meet current expenditure needs and to provide for a future period when little or no income is being generated.

Although the consumption pattern does fall at the time of retirement, consumption generally remains constant while income falls dramatically.

By understanding this theory and where the client is in their life cycle, the financial advisor is in a better position to do financial planning for the client.



However, it must be noted that people move through the cycle at different paces, each with different circumstances. Furthermore, not all clients follow the usual path through the life cycle model.

The above diagram indicates the different stages in the modern life cycle.

⁹⁶ Fundamentals of Financial Planning, Chapter 4

⁹⁷ Fundamentals of Financial Planning, Chapter 4

Clients must accumulate sufficient capital during their working lives to ensure that they have sufficient capital at the time of retirement to generate an adequate income.

Several factors influence the accumulation of capital, for example, the amount of income earned, several dependents to support, and the amount of effective financial planning that has been done over the years, amongst others.

While risk profiling may measure a client's attitude to taking the risk, it does not measure their ability to take it. Since traditional risk profiling does not consider the client's current and future lifestyle needs, many financial advisors today are promoting the philosophy of lifestyle planning.

Example

Client A is 35 years old. He has no children. He has a secure job and will inherit a substantial amount from his parents at the age of 40. He is married and has paid his bond off. He has a pension fund and a retirement annuity that will payout at the age of 60.

Client B is 35 years old. He has three children aged 5, 7 and 9. His wife is a stay-at-home mother. A large banking institution employs him. He has a pension fund with this institution but has no other retirement planning in place. What would each of these clients' risk profiling be?

Traditional risk profiling will put client A into a high-risk category, as he is young with substantial capital available. Client B, on the other hand, will be in a low-risk category as he does not have adequate funds available and cannot afford to lose what he has.

The difference in lifestyle planning is that the client needs to realise what commitments he has and plan accordingly. Client B needs to put three children through school and university and needs to plan accordingly. The only way he will achieve the goal is to take a certain amount of risk. If Client B decides to be conservative, he will not achieve the required goals.

On the other hand, Client A does not need to take any unnecessary risks. His objective should be capital preservation, and because of his age, some capital growth.

The comparison mentioned above indicates that there are different philosophies in terms of risk profiling. There are various viewpoints, but they all boil down to the same principle: how much tolerance does the client have for losing his capital?

Lifestyle planners suggest that risk should be the last factor that is taken into account. There are different schools of thought on this view. One should perhaps try to combine the two in order to find a better solution.

The different factors that can affect the client's ability to take risk are as follows:

- Age;
- Time;
- Liquidity;
- Volatility;
- Inflation;
- Interest rates;
- Goals;
- Unexpected events;
- Asset classes;
- Client personality.

KO3: The risk profile of a client is matched to the appropriate asset classes.**3.1 Make use of your company-specific risk-profiling instruments to match the risk profile of a client to the appropriate asset classes. Once you have established a specific profile for your client, e.g. conservative, prudent, moderate, venturesome or aggressive, suggest possible asset allocations address all five these risk profiles. Attach your risk profile to this page. Give a brief description of the following three risk categories: (a) conservative, (b) moderate, (c) aggressive.**

A risk profile is a degree to which various risks are essential to a particular individual.

What questions should I ask myself as I prepare to develop my risk profile?

Ask yourself when you plan to use your investment risk profile in a few years to buy a home, start a business, or pay for college, or in the future for retirement. After you have decided how long your money will work, the focus of your preparation should shift to personal preferences:

1. Is capital preservation more critical to you than outpacing inflation?
2. Are you willing to accept fluctuating values when investing for the long term?
3. Are you more comfortable with dividends and income, or with growth through capital appreciation?
4. Will you accept the above-average risk to generate above-average returns?

3.1.1 Risk profiling⁹⁸

Much work has been done on the design of different risk profile questionnaires and analysis programmes to assist a financial planner in correctly assessing a client's risk profile.

One of the leaders in this field is an organisation called BARRA. It makes use of a very sophisticated computer programme to draw up models of how an investor should invest in various circumstances.

As already pointed out, several companies offer risk-profiling services. The financial planner should ask a client to complete one of these questionnaires to ascertain the client's risk profile.

Different asset classes perform differently over various periods. By investing in different asset classes, you can reduce risk. Indeed, some asset classes tend to move in different directions. The technical term for this is a correlation.

There is no single perfect investment. There is a wide range of investment products available, which a good advisor can use to give his client the return he requires to meet his financial objectives at a level of risk he is prepared to live with.

3.1.2 Client personality

Every client has a different personality, and this should be considered when choosing a risk profile. If the client is a very volatile and insecure person, it would be foolish to place him in a high-risk investment portfolio.

An important point to remember is that none of these factors can be analysed in isolation. The financial planner and his client must consider all the above factors and make a rational decision that will satisfy all the client's needs and expectations.

Investors who have different risk profiles and needs will need a different mix of investments. Below is an illustration of the different risk categories by combining different asset classes.

⁹⁸ The South African Financial Planning Handbook, Chapter 19

Note: These are only indicative and may vary from client to client. There are also different levels other than those discussed here.

3.2.1.1 Conservative

This investor has a very little appetite for risk and is looking for long-term capital preservation. There is little possibility of growth in this portfolio, and the asset types comprise mostly cash and bonds. A typical split will be –

- 40% cash;
- 5% property;
- 35% bonds;
- 20% equities.

3.2.1.2 Moderate

The moderate investor is someone who seeks both income and growth. The equity portion slightly outweighs the cash and bond portions. He wants to smooth out the portfolio's volatility and is seeking long-term growth with short-term income. The portfolio breakdown is usually as follows:

- 10% cash;
- 10% property;
- 30% bonds;
- 50% equities.

3.2.1.3 Aggressive

The aggressive investor has a high tolerance for risk and seeks high growth opportunities. This portfolio can, however, be very volatile and should be considered within a long-term strategy. If, however, the investor is doing lifestyle planning, this option might be necessary to meet stated goals and objectives. The portfolio breakdown usually consists of –

- 5% cash;
- 10% bonds;
- 10% property;
- 75% equities.

Summary

Risk tolerance is the degree of uncertainty that an investor can handle an adverse change in the value of his or her portfolio.

An investor's risk tolerance varies according to age, income requirements, financial goals, etc.

The life cycle model is concerned with consumption and saving of income by considering a client's income and expenditure patterns over their lifetime. Where the client is in their life cycle will have a bearing on their income and expenditure patterns.

Initially, individuals rely on others to expend money on their behalf in their younger years.

The different factors that can affect the client's ability to take risks are as follows:

- Age;
- Time;
- Liquidity;
- Volatility;
- Inflation;
- Interest rates;
- Goals;
- Unexpected events;
- Asset classes;
- Client personality.

Every client has a different personality, and this should be considered when choosing a risk profile. If the client were a very volatile and insecure person, it would be foolish to place him in a high-risk investment portfolio.

An important point to remember is that none of these factors can be analysed in isolation. The financial planner and his client must consider all the above factors and make a rational decision that will satisfy all the client's needs and expectations.

Unit 7: Self-Assessment

Please note that the questions which follow are formative.

1. Describe the factors that can influence the level of risk of an investment for an active private investor.

2. Discuss the basic principles of the life cycle model.

3. Investors who have different risk profiles and needs will need a different mix of investments. To illustrate this difference, utilise the different risk categories by combining different asset classes.

Unit 7: Self-Assessment: Answers

Please note that the questions which follow are formative.

1. Describe the factors that can influence the level of risk of an investment for an active private investor.
 - a) Age;
 - b) Time;
 - c) Volatility;
 - d) Inflation;
 - e) Interest Rates;
 - f) Goals;
 - g) Unexpected events;
 - h) Asset Classes;
 - i) Client Personality.
2. Discuss the basic principles of the life cycle model.

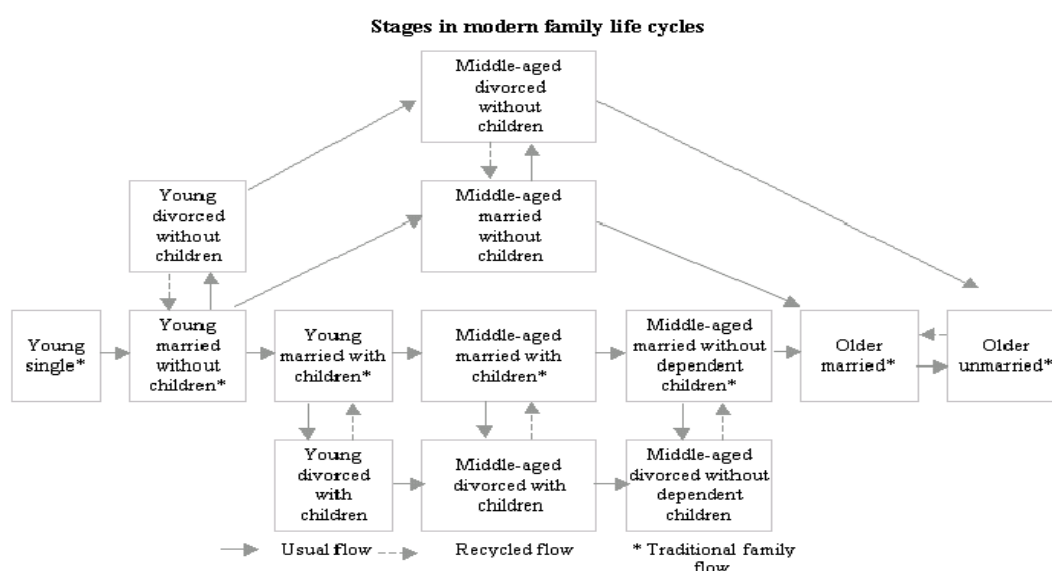
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Initially, individuals rely on others to expend money on their behalf in their younger years.

Then during their working lives, they need to generate sufficient income to meet current expenditure needs and to provide for a future period when little or no income is being generated.

Although the consumption pattern does fall at the time of retirement, consumption generally remains constant while income falls dramatically.

By understanding this theory and where the client is in their life cycle, the financial advisor is in a better position to do financial planning for the client.



However, it must be noted that people move through the cycle at different paces and each with a different set of circumstances. Furthermore, not all clients follow the usual path through the life cycle model.

The above diagram gives an indication of the different stages in the modern life cycle.

3. Investors who have different risk profiles and needs will need a different mix of investments. To illustrate this difference, utilise the different risk categories by combining different asset classes.

(a) Conservative

This investor has a minimal appetite for risk and is looking for long-term capital preservation. There is little possibility of growth in this portfolio, and the asset types comprise mostly cash and bonds. A typical split will be –

- 40% cash;
- 5% property;
- 35% bonds;
- 20% equities.

(b) Moderate

The moderate investor is someone who seeks both income and growth. The equity portion slightly outweighs the cash and bond portions. He wants to smooth out the portfolio's volatility and is seeking long-term growth with short-term income. The portfolio breakdown is usually as follows:

- 10% cash;
- 10% property;
- 30% bonds;
- 50% equities.

(c) Aggressive

The aggressive investor has a high tolerance for risk and seeks high-growth opportunities. This portfolio can, however, be very volatile and should be considered within a long-term strategy. If, however, the investor is doing lifestyle planning, this option might be necessary to meet stated goals and objectives. The portfolio breakdown usually consists of –

- 5% cash;
- 10% bonds;
- 10% property;
- 75% equities.